BUSINESS & ENTREPRENEURSHIP (INDIA)

Contracts, IP & Legal Essentials (India)

Indian Contract Act fundamentals, Section 27 non-competes, stamp duty and e-signature, NDAs, MSA/SOW structure, copyright and patent law for software, IP assignment and open-source compliance, liability caps and indemnities, DPDP and GDPR clauses, arbitration and a 30-minute contract review method.

india · contracts · intellectual-property · copyright · patents · trademarks · nda · msa · liability · indemnity · dpdp · gdpr · arbitration · open-source · employment · negotiation

Study Pack · Comprehensive reference & interview prep · ~178 min read · 39,179 words

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Why an Engineer Must Be Able to Read a Contract

You will sign more contracts in your career than you write lines of production code that survive five years. An employment agreement, an ESOP grant, an NDA before every pitch, a consulting MSA, a SaaS order form, a sub-contractor agreement, a founders' agreement. Each one allocates risk and ownership, and almost all of the pain comes from the same five clauses. You do not need a law degree. You need to be able to find those five clauses in forty minutes, know what "market" looks like, and know when to stop and call an advocate.

✕ **This is educational material, not legal advice**

Indian contract, intellectual property, employment, data protection and arbitration law is statutory, fact-specific and evolves through amendment and judicial decision. Nothing here is advice on your facts or your documents. Before you sign, assign IP, agree an indemnity, file a trade mark or patent, terminate a contract or respond to a legal notice, **engage a qualified advocate** — and for anything touching tax, a Chartered Accountant. Every fee, statutory limit, time period, form number and procedural step in this guide is stated as at **early 2026** and **must be re-verified** at the official source before you rely on it.

⚠ **Four things are in flight — verify current status**

(1) The Income-tax Act, 2025 replaces the Income-tax Act, 1961 from **1 April 2026**, introducing a unified **"tax year"** concept. Any tax section cited in a contract (TDS under Section 194J, withholding gross-ups, Section 40(a)(ia) clauses) will need renumbering. Cross-check the new section map at **incometax.gov.in**. **(2) The GST rate rationalisation of September 2025** restructured slabs to principally **5% and 18%** with a **40% demerit rate**. Contracts with hard-coded GST rates need review. Confirm your SAC rate at **gst.gov.in**. **(3) The DPDP Act 2023 Rules** were notified in **late 2025** with **phased compliance deadlines**. Data processing addenda written before that need updating. Confirm which phase binds you at **meity.gov.in**. **(4) Arbitration law reform.** A substantial overhaul of the Arbitration and Conciliation Act, 1996 has been under active consideration. Before drafting an arbitration clause, confirm the provisions in force at **legislative.gov.in** and **indiacode.nic.in**.

Official sources — use these, not a blog post

Source	Authoritative for	What you will look up
indiacode.nic.in	Government of India, Legislative Department	The actual text of the Indian Contract Act 1872, Copyright Act 1957, Patents Act 1970, Trade Marks Act 1999, IT Act 2000, Arbitration and Conciliation Act 1996, DPDP Act 2023
ipindia.gov.in	Controller General of Patents, Designs and Trade Marks	Trade mark search and filing (TM-A), patent filing forms and fees, the Manual of Patent Office Practice, CRI Guidelines, design registration
copyright.gov.in	Copyright Office, DPIIT	Copyright registration (Form XIV), fee schedule, source-code deposit practice
meity.gov.in	Ministry of Electronics and IT	DPDP Act 2023 and the DPDP Rules, IT Rules 2021, CERT-In directions
mca.gov.in	Ministry of Corporate Affairs	Companies Act 2013, board resolutions, authorised signatory position, charge filings
incometax.gov.in / **gst.gov.in**	CBDT / GSTN	TDS rates and thresholds for the tax clause; GST rates for the fees clause
shcilestamp.com and your **state stamp authority**	Stock Holding Corporation of India (e-stamping) and state governments	Stamp duty payable on your agreement in your state
registry.in / **wipo.int**	NIXI / WIPO Arbitration and Mediation Center	INDRP for .in domains; UDRP for gTLDs
mcia.org.in / **siac.org.sg** / **iccwbo.org**	Arbitral institutions	Model clauses, rules, fee calculators
dgft.gov.in	Directorate General of Foreign Trade	SCOMET list for export-controlled technology and software

The five clauses that cause almost all the pain

#	Clause	What goes wrong	What it costs	Where to look in a document
1	**Intellectual property**	You assign more than you meant to — your reusable libraries, your templates, your side project, your general know-how. Or the client assigns you nothing and you find you have no right to show the work.	Your entire toolkit. Deals have died at diligence because a founder's prior employer owned the codebase.	Usually a clause headed "Intellectual Property", "Ownership", "Work Product" or "Proprietary Rights". Also check the definitions of "Deliverables" and "Developments".
2	**Limitation of liability**	No cap, or a cap far above the contract value, or carve-outs so broad that the cap is decorative.	Unlimited. A ₹20 lakh engagement with uncapped liability can end your business.	"Limitation of Liability", often in ALL CAPITALS. Read it with the indemnity clause — they interact.
3	**Indemnity**	You agree to defend and hold harmless against claims you cannot control — third-party IP claims, claims arising from the client's own data, open source you did not choose.	Unlimited, and typically excluded from the liability cap.	"Indemnity", "Indemnification". Check whether it is **mutual** and whether it is **carved out of the cap**.
4	**Payment, acceptance and termination**	Payment conditional on undefined "acceptance"; termination for convenience with	Months of unpaid work; no leverage.	"Fees and Payment", "Acceptance", "Term and Termination". Look specifically for

		no payment for work done; net 90 terms; no suspension right.		what happens to money on termination.
5	**Governing law and dispute resolution**	Foreign law, foreign courts, or an arbitration seat where a small claim costs more to pursue than it is worth.	Makes every other clause theoretical, because you cannot afford to enforce them.	Almost always the second-to-last clause before boilerplate.

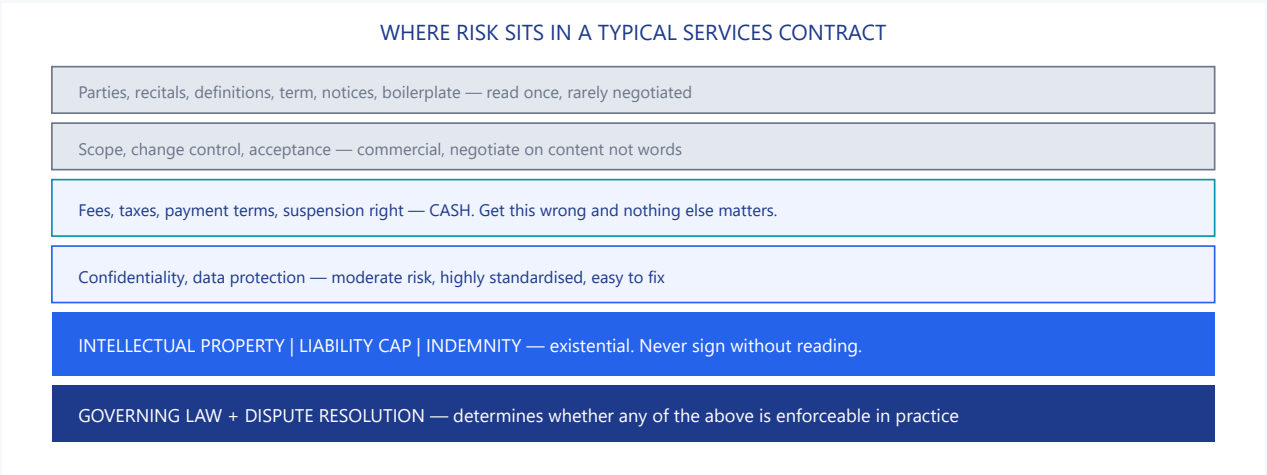
5
CLAUSES THAT CARRY MOST RISK

30 min
A DISCIPLINED FIRST-PASS REVIEW

12 months' fees
THE MARKET LIABILITY CAP ANCHOR

Void
POST-EMPLOYMENT NON-COMPETE, SECTION 27

In writing
COPYRIGHT ASSIGNMENT, SECTION 19



Read bottom-up. The last two bands decide whether the first four mean anything.

Three habits that prevent most contract disasters

1. **Never sign the same day you receive it.**
   Nothing commercially sensible is lost by taking 48 hours. Urgency on the other side is a negotiating technique far more often than it is a real constraint.

2. **Read the definitions before the clauses.**
   Most dangerous drafting hides in a definition. "Deliverables means all work product, materials, inventions and developments created, conceived or reduced to practice by the Supplier during the Term" is an IP assignment clause wearing a definition's clothing.

3. **Write down your three walk-away points before you negotiate.**
   If you decide in the moment, you will concede in the moment. Deciding in advance converts a negotiation into an execution.

Indian Contract Act 1872 — Fundamentals

The Indian Contract Act 1872 is short, old, and still the backbone of every commercial agreement governed by Indian law. You need about fifteen sections of it. The two that come up most often in a technology practice are **Section 27**, which makes restraints of trade void and therefore kills post-employment non-competes, and **Section 74**, which converts penalty clauses into claims for reasonable compensation.

> ⚠ **Section references below are to the Indian Contract Act 1872 as in force in early 2026**
> Read the current text at **indiacode.nic.in**. Judicial interpretation matters as much as the text; the cases mentioned are illustrative of settled positions, not a substitute for an advocate's advice on your facts.

What makes an agreement a contract

Section 10: "All agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not hereby expressly declared to be void."

Element	Section	The rule	How it fails in practice
Offer and acceptance	2(a), 2(b), 3–9	A proposal communicated, and acceptance that is absolute and unqualified, communicated in a prescribed or usual manner. A counter-offer rejects the original offer.	"Looks good, just change the payment terms to net 30" is a counter-offer, not an acceptance. There is no contract until the counter is accepted.
Consideration	2(d), 23, 25	Something given, done or promised at the promisor's desire. An agreement without consideration is void, with narrow exceptions in Section 25 (written and registered promise made out of natural love and affection; compensation for past voluntary service; written promise to pay a time-barred debt).	A "letter of intent" with no consideration flowing either way is usually not enforceable as a contract. Free pilots and unpaid proofs of concept frequently fall here.
Capacity	11, 12	Must be of the age of majority (18 under the Indian Majority Act 1875), of sound mind, and not disqualified by law. A minor's agreement is void *ab initio*.	A 17-year-old co-founder cannot validly sign. For companies, capacity turns on the memorandum, the board resolution and the authorised signatory — see the next section.
Free consent	13–22	Consent is free when not caused by coercion (15), undue influence (16), fraud (17), misrepresentation (18) or mistake (20–22). Consent caused by the first four makes the contract **voidable** at the option of the aggrieved party; bilateral mistake of fact as to a matter essential to the agreement makes it **void**.	Material misstatements in a due-diligence questionnaire, or an inflated capability claim in a proposal relied upon by the client, can amount to misrepresentation.
Lawful object and consideration	23, 24	Unlawful if forbidden by law, defeats the provisions of any law, is fraudulent, involves injury to person or property, or	An agreement to circumvent exchange control, to pay an undisclosed commission

		is immoral or opposed to public policy.	to a government official, or to share fees in a manner a professional regulator forbids.
Certainty	29	Agreements the meaning of which is not certain, or capable of being made certain, are void.	"Fees to be mutually agreed later" is an agreement to agree and is unenforceable. Put a mechanism in, not a hope.

Void versus voidable — the distinction that decides your remedy

VOID AGREEMENT

Section 2(g): not enforceable by law, from the outset. A minor's contract, an agreement in restraint of trade, an agreement with an unlawful object, an uncertain agreement. No rights arise for anyone. Section 65 may require restoration of any advantage received.

VOIDABLE CONTRACT

Section 2(i): enforceable at the option of one party. Induced by coercion, undue influence, fraud or misrepresentation. The aggrieved party may affirm or rescind. If they affirm, or delay unreasonably, the right to rescind can be lost.

VOID *AB INITIO* VS BECOMES VOID

A contract can be valid when made and become void later — Section 56, impossibility or unlawfulness arising after formation (frustration). The commercial consequence differs: work done before frustration is treated differently from a contract that never existed.

Section 27 — restraint of trade, and what it means for non-competes

TEXT

SECTION 27, INDIAN CONTRACT ACT 1872

"Every agreement by which any one is restrained from exercising a lawful profession, trade or business of any kind, is to that extent void.

EXCEPTION 1 - SAVING OF AGREEMENT NOT TO CARRY ON BUSINESS OF WHICH GOODWILL IS SOLD. One who sells the goodwill of a business may agree with the buyer to refrain from carrying on a similar business, within specified local limits, so long as the buyer, or any person deriving title to the goodwill from him, carries on a like business therein, provided that such limits appear to the Court reasonable, regard being had to the nature of the business."

WHAT THIS MEANS IN PRACTICE

VOID (post-employment / post-engagement restraints)
"For 24 months after termination you shall not work for any competitor of the Company."
"You shall not provide services to any company in the fintech sector for 12 months after this Agreement ends."
>>> Indian courts have consistently declined to enforce restraints that operate AFTER the relationship ends, regardless of how reasonable they look, because Section 27 contains no "reasonableness" test for them - unlike English law.

ENFORCEABLE (restraints DURING the relationship)
"During your employment you shall devote your whole time and attention to the Company and shall not engage in any other business."
"During the Term the Consultant shall not provide services to the named competitors in Schedule 3."
>>> A negative covenant operating during the subsistence of the contract is treated as a legitimate term of service, not a restraint of trade.

ENFORCEABLE (sale of goodwill, within Exception 1)
Founders selling a business can be restrained from competing, within reasonable local limits, for as long as the buyer carries on a like business.

PARTIALLY ENFORCEABLE
Non-solicitation of CLIENTS and EMPLOYEES - Indian courts have granted relief where the restraint is narrow, limited in time, connected to confidential information or to clients the person actually dealt with, and does

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    not amount to a general bar on working. Outcomes are
    fact-specific.

  ALWAYS ENFORCEABLE
    Confidentiality obligations. These do not restrain the
    exercise of a profession; they restrain the use of the
    other party's information. This is why a well-drafted
    confidentiality clause is worth more to a client than a
    non-compete they cannot enforce.
──────────────────────────────────────────────────────────
VERIFY: this is a summary of a settled general position.
Outcomes depend on drafting and facts, and a restraint in a
contract governed by FOREIGN law is analysed under that law.
Take advice before relying on - or ignoring - a non-compete.
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Section 27 does not protect you if the contract is governed by another law

A consulting agreement with a US client governed by the law of Delaware or California, with a Delaware forum, will be analysed under that law — and some US states enforce reasonable non-competes. California does not; many others do. The Indian position gives you no comfort in a foreign forum. If you cannot get the non-compete removed, get the governing law and seat changed, or narrow the restraint to named competitors for a short period.

Section 28 — restraint of legal proceedings

Section 28 voids agreements that absolutely restrict a party from enforcing their rights through ordinary legal proceedings, or that limit the time within which rights may be enforced, or that extinguish rights or discharge liability on the expiry of a specified period. Two exceptions preserve **arbitration agreements**. A further exception, introduced by amendment, preserves certain provisions in bank guarantees and similar instruments. **Verify the current text at indiacode.nic.in.**

Clause	Likely position under Section 28
"Any dispute shall be referred to arbitration"	Valid — expressly saved
"No claim shall be brought more than 6 months after the event giving rise to it"	**Problematic.** A clause that curtails the limitation period, or extinguishes the right after a short period, engages Section 28. Clients frequently insert these; they may not survive under Indian law.
"The Supplier waives all rights to bring any claim"	Void as an absolute restraint
"Claims shall be brought exclusively in the courts of Mumbai"	Generally valid as an exclusive jurisdiction clause between two courts that would otherwise both have jurisdiction — it channels proceedings rather than barring them
"The parties shall first attempt mediation for 30 days before commencing proceedings"	Generally valid as a procedural pre-condition, not an absolute bar

Section 74 — penalty versus liquidated damages

This is one of the sharpest divergences between Indian law and English law, and it matters every time you see a clause fixing a sum payable on breach — a service-level credit, a delay penalty, a termination fee.

TEXT

SECTION 74, INDIAN CONTRACT ACT 1872 (summarised)

"When a contract has been broken, if a sum is named in the contract as the amount to be paid in case of such breach, or if the contract contains any other stipulation by way of penalty, the party complaining of the breach is entitled, whether or not actual damage or loss is proved to have been caused thereby, to receive from the party who has broken the contract REASONABLE COMPENSATION NOT EXCEEDING THE AMOUNT SO NAMED or, as the case may be, the penalty stipulated for."

THE PRACTICAL EFFECT

1. Indian law does NOT distinguish between an enforceable "liquidated damages" clause and an unenforceable "penalty" clause the way English law does. Both are treated under Section 74.
2. The named sum operates as a CEILING, not an entitlement. You cannot recover more than the figure named, however large your actual loss.
3. The claimant must still establish that loss was suffered, and the court awards REASONABLE compensation, which may be far less than the named sum.
   - Fateh Chand v Balkishan Das (1963) established the ceiling principle.
   - ONGC v Saw Pipes (2003) allowed recovery of the named sum where it was a genuine pre-estimate and loss was difficult to prove.
   - Kailash Nath Associates v DDA (2015) reaffirmed that compensation is payable only where loss is shown, except where loss is impossible to prove.

WHAT THIS MEANS WHEN YOU DRAFT

- If you are the party PROTECTED by the clause, draft it as a genuine pre-estimate of loss, record in a recital WHY loss would be difficult to quantify, and keep evidence of the estimate. "The parties acknowledge that loss arising from a Service Level failure is difficult to quantify and that the Service Credits represent a genuine pre-estimate of such loss."
- If you are the party EXPOSED, remember the sum is a ceiling and the other side must still show reasonable compensation. A ₹50 lakh "penalty" is not automatically a ₹50 lakh liability.
- A clause stating that service credits are the SOLE AND EXCLUSIVE REMEDY converts a floor into a cap in your favour. That is usually the more valuable drafting.

Damages, performance and discharge — the sections you will actually cite

Section	Subject	What it gives you
37	Obligation of parties to perform	The baseline duty to perform or offer to perform
39	Refusal to perform wholly	If a party refuses or disables itself from performing entirely, the other may put an end to the contract — the basis of a termination for repudiatory breach
51–54	Reciprocal promises	Where performance is dependent, the party who prevents the other's performance cannot claim its benefit — useful where a client fails to give access or approvals
56	Impossibility / frustration	A contract becomes void when performance becomes impossible or unlawful after formation. The bar is high — commercial hardship and cost increases do not frustrate a contract. This is why you need an express **force majeure** clause.
62	Novation, rescission, alteration	The basis for amendment and for substituting a new contract
63	Dispensing with performance	A promisee may remit or extend time — relevant when you informally allow a client to pay late
65	Restoration of advantage	Where an agreement is void or becomes void, a party who received an advantage must restore it or compensate — the route to recovery where a contract fails
73	Compensation for loss or damage	Damages for loss naturally arising in the usual course, or which the parties knew would be likely to result. **Remote and indirect loss is expressly not recoverable** — which is why Indian law already gives some of what a "no consequential loss" clause gives.
74	Liquidated damages / penalty	Reasonable compensation, not exceeding the named sum
75	Compensation on rightful rescission	A party rightfully rescinding is entitled to compensation for loss sustained through non-fulfilment

The Specific Relief (Amendment) Act 2018

Before 2018, specific performance in India was a discretionary remedy granted only where damages were inadequate. The 2018 amendment changed the architecture, which matters for technology contracts where damages are often a poor substitute for the thing itself — a source-code escrow release, a data export on termination, an IP assignment the counterparty refuses to execute.

Provision	Change	Why it matters to you
Section 10	Specific performance **shall** be enforced, subject to Sections 11(2), 14 and 16 — it is no longer purely discretionary	A refusal to execute an assignment, hand over data, or transfer a domain is more realistically enforceable
Section 14	Lists contracts not specifically enforceable, including those involving continuous supervision by the court and contracts dependent on personal qualifications	A court will not order a consultant to keep consulting. Specific performance is for **transfers and deliverables**, not for compelling ongoing services.
Section 20	Introduced **substituted performance** — the aggrieved party may get the contract performed by a third party or its own agency and recover the cost from the defaulter, after giving at least 30 days' written notice	If a vendor abandons a project, you can engage a replacement and claim the cost — provided you serve the notice. Put a reference to substituted performance in your termination clause.
Section 20A	Bars injunctions that would delay the progress or completion of a notified infrastructure project	Relevant if you contract into infrastructure programmes
Section 20B / 20C	Special courts; suits under the Act to be disposed of within **twelve months** from service of summons, extendable by six months	A statutory timeline, which Indian commercial litigation badly needed. Performance against it varies.
Section 14A	Court may appoint experts to assist on technical issues	Useful in software disputes where the judge needs help on what the code does

Drafting consequence

Because specific performance is now the rule rather than the exception, it is worth stating expressly in your contract that **damages would be an inadequate remedy** for breach of the confidentiality, IP assignment and data-return obligations, and that the aggrieved party is entitled to seek injunctive relief and specific performance without proving special damage. It does not bind a court, but it removes an argument.

Contract Mechanics in India

A perfectly drafted contract signed by the wrong person, on the wrong kind of signature, without stamp duty, is a problem you will only discover at the worst moment — when you try to enforce it. These mechanics are boring, cheap to get right, and expensive to get wrong.

Who can sign

Counterparty type	Who has authority	What to ask for	Risk if you skip it
Private/Public limited company (India)	The board, acting through a resolution under Section 179(3) of the Companies Act 2013, delegating authority to a named director or officer; or a general authorisation in the articles	A certified copy of the **board resolution** naming the signatory and the transaction, or a certified extract. For large contracts, ask for it. For routine ones, at minimum ensure the signatory is a director or a person described as "authorised signatory" with a designation.	The company may later deny that the signatory had authority. The doctrine of indoor management offers some protection to an outsider acting in good faith, but it is not a complete answer.
LLP (India)	A **designated partner**, per the LLP agreement	Confirm the signatory is a designated partner on the MCA master data (free lookup on mca.gov.in)	Same as above
Partnership firm	A partner, with implied authority for acts in the usual course of business; otherwise express authority	Partnership deed extract	Unusual transactions may not bind the firm
Sole proprietor	The proprietor personally	PAN and an identity document; note the proprietor is personally liable	Low
Foreign company	Per its own constitutional documents and the law of its incorporation	A signature block showing name, title and "duly authorised"; for high-value contracts, a secretary's certificate or incumbency certificate	Enforcement against a foreign entity is already hard; authority disputes make it harder
Anyone acting under a Power of Attorney	The attorney, within the four corners of the POA	A copy of the POA. Note the POA itself requires stamping, and under Schedule I of the IT Act 2000, a power-of-attorney	Acts outside the POA do not bind the principal

		is **excluded from electronic execution**.	

✦ **A free 90-second check on any Indian company counterparty**
Go to **mca.gov.in** → MCA Services → View Company/LLP Master Data. Enter the CIN or name. You get the registered address, date of incorporation, authorised and paid-up capital, whether the company is **active** or has been **struck off**, and the current list of directors with their DINs. If the status is "Strike Off", "Under Liquidation" or "Dormant", stop and ask questions. This check has saved a great many people from contracting with a shell.

Electronic contracts and e-signature

Provision	What it does
Section 4, IT Act 2000	Legal recognition of electronic records — where law requires information to be in writing, that requirement is satisfied by an electronic record accessible for subsequent reference
Section 5, IT Act 2000	Legal recognition of electronic signatures — where law requires a signature, an electronic signature affixed in the prescribed manner satisfies it
Section 10A, IT Act 2000	Inserted by the 2008 amendment: where a contract is formed by communication of proposals, acceptance, revocation and so on in electronic form or by means of an electronic record, **the contract shall not be deemed unenforceable solely on the ground that such electronic form or means was used**
Section 3, IT Act 2000	**Digital Signature Certificate (DSC)** — asymmetric cryptosystem and hash function, issued by a licensed Certifying Authority. The most robust form.
Section 3A and the Second Schedule	**Electronic signature** — includes the Aadhaar-based e-KYC e-signature service (**Aadhaar eSign**), which is widely used in India and provides an audit trail tied to Aadhaar authentication
Section 1(4) and the First Schedule	**Exclusions.** The Act does not apply to the documents listed in the First Schedule

TEXT

DOCUMENTS EXCLUDED FROM ELECTRONIC EXECUTION
(First Schedule, Information Technology Act 2000)

1. A negotiable instrument as defined in section 13 of the Negotiable Instruments Act, 1881, OTHER THAN A CHEQUE
2. A power-of-attorney as defined in section 1A of the Powers-of-Attorney Act, 1882
3. A trust as defined in section 3 of the Indian Trusts Act, 1882
4. A will as defined in clause (h) of section 2 of the Indian Succession Act, 1925, including any other testamentary disposition
5. Any contract for the sale or conveyance of immovable property or any interest in such property

PRACTICAL CONSEQUENCE FOR A TECHNOLOGY PRACTICE

- MSAs, SOWs, NDAs, employment agreements, consulting agreements, SaaS order forms, DPAs, IP assignments: ALL can be executed electronically.
- A POWER OF ATTORNEY authorising someone to sign on your behalf CANNOT. Execute it on paper, stamped, and notarised.
- An office LEASE or a sale of property: wet ink, stamped, and registered where required.

VERIFY the current First Schedule at indiacode.nic.in - it has been amended by notification in the past.

Signature method	Legal standing in India	Evidentiary strength	Cost	When to use
Class 3 DSC (USB token)	Section 3, IT Act — digital signature	**Highest** Presumptions under the Indian Evidence Act apply to digital signatures	₹1,000–₹3,000 for 2–3 years	Statutory filings (MCA, GST, income tax), high-value contracts
Aadhaar eSign	Section 3A and Second Schedule	**High** Aadhaar-authenticated with an audit trail	₹10–₹60 per signature via a provider (Leegality, Digio, NSDL eSign, Zoho Sign)	Indian counterparties, employment documents, NDAs at volume
DocuSign / Dropbox Sign / Adobe Sign (click-to-sign with audit trail)	Relies on Section 10A — the contract is not unenforceable merely because it was formed electronically. Not a "prescribed" electronic signature under Section 3A unless it uses a recognised method.	**Moderate** Enforceability is usually fine; evidentiary presumptions are weaker, so the audit trail matters	₹800–₹3,000/month	Cross-border commercial contracts — this is what your US and EU clients will use
Scanned wet signature exchanged by email	Valid as an electronic record under Sections 4 and 10A	**Moderate** Widely accepted in practice; authenticity can be disputed	Free	Routine contracts where both sides are comfortable
Email confirmation without a signature block	Can form a binding contract if offer, acceptance and consideration are present	**Weak but real**	Free	Beware: "yes, go ahead, we'll sort the paperwork later" can itself be a contract, on the terms discussed.

				Say "subject to contract" if you do not mean it.

> ✕ **"Subject to contract" is not decoration**
> Indian courts look at whether the parties intended to be bound. Detailed email exchanges agreeing scope, price and timeline, followed by the consultant starting work and the client accepting it, can constitute a binding contract even if the formal MSA is never signed — and the terms will then be whatever the emails say, with none of your protective clauses. If you do not intend to be bound before signature, write **"These discussions are subject to contract and do not create binding obligations"** in the email footer, and do not start work.

Stamp duty

Stamp duty is a **state** subject for most instruments. The Indian Stamp Act 1899 applies at the Union level and in some states; most states have their own Stamp Act with their own Schedule of rates. An agreement that is not duly stamped is not void, but it is **inadmissible in evidence** under Section 35 of the Indian Stamp Act — which means you cannot rely on it in court until the defect is cured by paying the duty plus a penalty, which can be a multiple of the duty.

State	Indicative duty on a general agreement / MSA	How to pay
Karnataka	Fixed duty on agreements not otherwise specifically provided for — commonly a few hundred rupees; higher where the agreement relates to specified transactions	e-stamp paper via SHCIL or an authorised vendor
Maharashtra	Fixed duty on agreements not otherwise provided for; different articles apply to service agreements, leave-and-licence, IP assignment	e-SBTR / GRAS / franking
Delhi	Low fixed duty on general agreements	e-stamp paper (SHCIL)
Tamil Nadu, Telangana, Gujarat, West Bengal and others	Each has its own Schedule; fixed duty for general agreements, ad valorem for conveyances and certain assignments	State portal or SHCIL

⚠ **Do not rely on the table above for an actual payment**

Stamp duty rates, the applicable Article, and whether duty is fixed or ad valorem depend on the **nature of the instrument**, the **state of execution**, and in some cases the state where it is first received. An **assignment of intellectual property** may attract ad valorem duty as a conveyance in some states, which is materially more than the fixed duty on a services agreement. **Check the current Schedule of your state Stamp Act and confirm the applicable Article with an advocate or on shcilestamp.com before executing a high-value assignment.**

TEXT

STAMPING IN PRACTICE – WHAT TO ACTUALLY DO

FOR A ROUTINE SERVICES AGREEMENT OR NDA

1. Buy an e-stamp paper of the applicable value in the state of execution (shcilestamp.com, or your state's portal, or an authorised vendor).
2. Print the first page of the agreement on it, or attach it as the first page with the certificate number recorded.
3. Record the state of execution and the date in the opening words: "Executed at Bengaluru on 2 March 2026".
4. Keep the e-stamp certificate with the agreement.

FOR AN ELECTRONICALLY SIGNED AGREEMENT

Indian e-sign providers (Leegality, Digio, SignDesk and others) can bundle an e-stamp with the electronic execution flow. Use that – it is the clean route.

FOR A CROSS-BORDER CONTRACT SIGNED ABROAD

Where an instrument is executed outside India and subsequently RECEIVED in India, duty may become payable within a prescribed period of receipt. Take advice – this is a common and quietly expensive oversight.

IF YOU DISCOVER AN UNSTAMPED AGREEMENT LATER

It is CURABLE. The instrument can be impounded under Section 33 and admitted in evidence on payment of the deficit duty plus penalty under Section 35 of the Indian Stamp Act 1899. It is expensive and embarrassing, not fatal.

ARBITRATION AGREEMENTS AND STAMPING

A seven-judge bench of the Supreme Court held in "In Re: Interplay Between Arbitration Agreements under the Arbitration and Conciliation Act 1996 and the Indian Stamp Act 1899" (December 2023) that non-stamping or insufficient stamping renders an agreement INADMISSIBLE but NOT void or unenforceable, and that the defect is curable – so an arbitration can proceed and the stamping objection is dealt with separately.

VERIFY the current position; this area has moved.

Notarisation, apostille and attestation

Process	What it does	When you need it	Cost / time
Notarisation	A notary certifies the execution of the document and the identity of the signatory	Rarely required for commercial contracts in India. Required for affidavits, certain declarations, powers of attorney, and by some foreign counterparties as a matter of their own practice.	₹100–₹1,000; same day
Apostille	Authentication for use in another country party to the Hague Apostille Convention 1961	When an Indian document (a board resolution, a POA, a company incorporation certificate) must be produced to a foreign authority	Via the Ministry of External Affairs through authorised agencies; ₹1,000–₹5,000; 3–10 working days
Consular legalisation	Authentication for countries not party to the Apostille Convention	Depends on the destination country	Higher; 2–4 weeks
Registration	Registration with the Sub-Registrar under the Registration Act 1908	**Mandatory** for instruments affecting immovable property, and for leases above the prescribed term. Not required for ordinary commercial contracts.	Ad valorem registration fee; 1–3 days

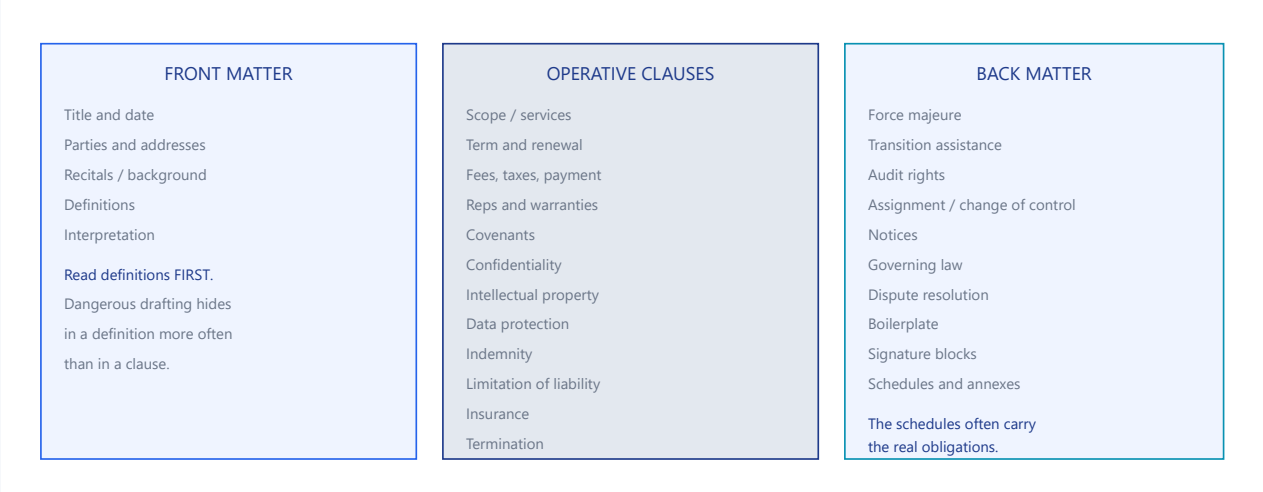
Counterparts, version control and the signed-copy problem

- ☐ Include a **counterparts clause**: "This Agreement may be executed in any number of counterparts, including by electronic signature or by exchange of signed PDF copies, each of which is an original and all of which together constitute one agreement." Without it, a purist can argue that a contract signed on two separate documents is not one instrument.
- ☐ Use a **document control footer** on every page: document name, version, date, and page X of Y. Disputes about which version was signed are depressingly common.
- ☐ Circulate negotiation drafts as **Word with tracked changes** and the final as **PDF**. Never send an untracked redraft; it is read as an attempt to slip something past.

- [ ] Name files unambiguously: `Northwind-MSA-v4-RaoSystems-markup-2026-02-18.docx`. Never "final", "final2", "final-FINAL".
- [ ] Store the **fully executed** copy — with all signature pages and all schedules — in one PDF, in your contracts folder, the day it is signed. A contract you cannot find is a contract you do not have.
- [ ] Keep the **negotiation trail**: the email in which each change was agreed. Under Section 92 of the Indian Evidence Act, extrinsic evidence is generally not admissible to contradict a written contract, but the trail is invaluable for commercial discussions and for proving what was and was not agreed on ambiguous points.
- [ ] Where schedules, policies or URLs are incorporated by reference, **take a dated copy**. "The Supplier shall comply with the Customer's Security Policy available at customer.com/security" means you have agreed to a document the other side can change unilaterally. Attach the version you saw, or add "as at the Effective Date".

Anatomy of a Commercial Agreement

Nearly every commercial agreement you will ever read follows the same skeleton in the same order. Learn the skeleton and you can navigate a 40-page MSA from a company you have never heard of in twenty minutes, because you know where everything lives.



The universal skeleton. Every MSA, SaaS agreement and consulting contract you read follows it.

Parties and recitals

The parties clause must identify each party by its **exact legal name**, its form, its jurisdiction of incorporation, its registered address and, for Indian companies, its CIN. "Northwind Analytics" is not a party; "Northwind Analytics, Inc., a corporation incorporated under the laws of the State of Delaware, having its principal place of business at…" is. Recitals are not operative — they describe background and purpose — but they are used to interpret ambiguous clauses, so a recital that accurately states the commercial intent is worth having.

TEXT

WORKED — PARTIES AND RECITALS

THIS MASTER SERVICES AGREEMENT is made on 2 March 2026

BETWEEN:
(1) NORTHWIND ANALYTICS, INC., a corporation incorporated under the laws of the State of Delaware, United States of America, having its principal place of business at 1200 Market Street, Suite 400, San Francisco, California 94102, USA ("Customer"); and
(2) RAO SYSTEMS, a sole proprietorship of Ms Ananya Rao, an Indian national, having its principal place of business at No. 14, 2nd Floor, 5th Cross, Indiranagar, Bengaluru 560038, Karnataka, India, PAN ABCDE1234F, GSTIN 29ABCDE1234F1Z5 ("Supplier"),

each a "Party" and together the "Parties".

RECITALS
A. The Customer operates a business-to-business software platform that incorporates machine-learning features.
B. The Supplier provides specialist engineering consultancy in the design, evaluation and operation of retrieval and large-language-model systems.
C. The Parties wish to establish a framework under which the Customer may engage the Supplier to provide services from time to time under statements of work, on the terms of this Agreement.
D. The Supplier is an independent contractor and not an employee of the Customer, and the Parties do not intend to create a relationship of employment, partnership, joint venture or agency.

NOW IT IS AGREED as follows:

WHY RECITAL D MATTERS
It is evidence of the parties' intention on worker classification. It does not determine the question — a court or authority looks at substance — but it is the first thing anyone will read.

Definitions and interpretation

✕ **The definition trick you must learn to spot**

Compare these two definitions of the same term:

(A) "**Deliverables** means the items expressly identified as deliverables in the relevant Statement of Work."

(B) "**Deliverables** means all work product, materials, documentation, software, inventions, discoveries, improvements and developments conceived, created, authored, developed or reduced to practice by the Supplier, alone or with others, during the Term, whether or not in connection with the Services."

Definition (B), combined with a one-line clause saying "all Deliverables shall vest in the Customer", assigns your entire year of creative output — including your unrelated weekend project. **Always read the definitions of "Deliverables", "Work Product", "Developments", "Confidential Information", "Affiliate", "Losses" and "Services" before anything else.**

Defined term	What to check
Affiliate	Does it extend obligations and benefits to entities you have never heard of? A liability cap of "fees paid under this Agreement" is very different if twelve Affiliates can place orders under it.
Confidential Information	Is it marking-dependent or catch-all? Is there a residual-knowledge carve-out? Are the standard exclusions present?
Deliverables / Work Product	Scope of the IP assignment. See above.
Services	Is it "the services set out in the SOW" or "the services set out in the SOW and such other services as the Customer may reasonably require"? The second is an unbounded obligation.
Losses	Does it include legal fees, regulatory fines and "amounts paid in settlement"? Settlement amounts not approved by you are a trap.
Business Day	Which country's holidays? Matters for every notice period and payment date.
Change of Control	Trigger threshold — 50%, or "ability to direct management"? Does it give the other side a termination right?

The operative clauses, one by one

Clause	What it does	Worked language or test	What is market
Scope of services	Defines what you must do	"The Supplier shall provide the services described in each Statement of Work executed by both Parties. No obligation arises in respect of services not described in an executed Statement of Work."	Always tie scope to a document that both sides sign. Resist "and such other services as may reasonably be required".
Term and renewal	How long it runs and how it rolls over	"This Agreement commences on the Effective Date and continues for twelve (12) months, renewing automatically for successive twelve (12) month periods unless either Party gives sixty (60) days' written notice of non-renewal."	Auto-renewal is market. **Always check the notice period and diarise it** — a 90-day non-renewal notice on an annual term means you have a 9-month window, not a 12-month one.
Fees	How much and on what basis	"Fees are set out in the applicable Statement of Work and are exclusive of taxes. Fees may be increased once in any twelve-month period on sixty (60) days' written notice by not more than the increase in the Consumer Price Index plus three per cent."	An uplift mechanic is market for multi-year agreements. Without one you are locked at year-one pricing.
Taxes, GST gross-up, TDS	Who bears which tax	See the worked tax clause below	Fees exclusive of indirect taxes; withholding grossed up or credited; both sides cooperate on treaty documentation
Payment terms and interest	When money moves and what happens if it does not	"Invoices are payable within thirty (30) days of the invoice date. Undisputed amounts outstanding after the due date bear interest at 1.5% per	Net 30 standard; net 45–60 at large enterprises; interest 1–2% per month; **the suspension right is the clause consultants**

		month. The Supplier may suspend the Services on ten (10) Business Days' written notice if any undisputed invoice remains unpaid thirty (30) days after its due date."	**most often forget and most need**
Representations and warranties	Statements of fact and promises about quality, with remedies if untrue	"The Supplier warrants that the Services will be performed with the reasonable skill and care to be expected of a competent professional in the Supplier's field, and that the Deliverables will materially conform to the specifications in the Statement of Work for thirty (30) days following acceptance."	Reasonable skill and care is the normal services standard. Resist "best efforts", "highest industry standards", "error-free" and "fit for the Customer's purpose" — all are unmeasurable and therefore always breached.
Covenants	Ongoing promises to do or not do things	Compliance with laws, maintenance of registrations, notification of material changes, no conflicts	Keep them capable of performance. "Shall comply with all applicable laws" is fine; "shall comply with all Customer policies as amended from time to time" is an open cheque.
Confidentiality	Protects non-public information	See the NDA section	Mutual, with standard exclusions, 3–5 year survival, indefinite for trade secrets
Intellectual property	Who owns what	See the IP in Contracts section	Client owns deliverables on payment in full; supplier retains background IP with a licence-back
Indemnity	One party funds the other's defence and losses for defined claims	See the Liability and Indemnity section	Mutual where possible; IP infringement and confidentiality breach are the usual triggers; always carve out client-caused claims

Limitation of liability	Caps exposure	See the Liability and Indemnity section	No indirect/consequential loss; aggregate cap at 12 months' fees; narrow, defined carve-outs
Insurance	Requires cover to back the risk allocation	"The Supplier shall maintain professional indemnity insurance with a limit of not less than ₹2,00,00,000 per claim, and cyber liability insurance of not less than ₹1,00,00,000, and shall provide a certificate of insurance on request."	Ask for the limits to be **consistent with the liability cap**. Requiring US$5m of cover while capping liability at US$25,000 is incoherent and expensive.
Force majeure	Excuses non-performance for events beyond control	"Neither Party is liable for failure or delay in performance caused by an event beyond its reasonable control, including act of God, war, terrorism, epidemic, government action, or failure of public utilities or telecommunications infrastructure, provided it notifies the other Party promptly and uses reasonable efforts to mitigate. **This clause does not excuse any obligation to pay.** If the event continues for more than sixty (60) days either Party may terminate on written notice."	The payment carve-out is essential. So is the right to terminate on prolonged force majeure.
Termination	How it ends and what survives	For convenience on notice; for material breach not cured in 15–30 days; immediately on insolvency. Payment for work performed to the date of termination.	Mutual rights. Resist one-way termination for convenience that lets the client walk without paying.
Consequences of termination	The clean-up	Payment of accrued amounts; return or destruction of	Spell out **data export format and window** for

		confidential information; export of data; licences that survive; licences that end	anything SaaS-like
Transition assistance	Help the client move to a successor	"On termination for any reason, the Supplier shall, if requested within thirty (30) days, provide reasonable transition assistance for up to sixty (60) days at the Supplier's then-current time-and-materials rates."	Market. **Insist it is paid.** Unpaid transition assistance after a client terminates for convenience is a common and unfair ask.
Audit rights	Lets a party verify compliance	"On thirty (30) days' notice, not more than once in any twelve-month period, during normal business hours, limited to records directly relating to amounts invoiced under this Agreement, at the auditing Party's cost unless a discrepancy of more than five per cent (5%) is found."	Those five limitations — notice, frequency, hours, scope, cost — are what turn an invasive clause into a reasonable one
Assignment and change of control	Who can transfer the contract	"Neither Party may assign without the other's prior written consent, not to be unreasonably withheld, except that either Party may assign to a successor to all or substantially all of its business on written notice."	Mutual. Watch for a clause letting the client assign freely but barring you — and for a change-of-control termination right triggered if you incorporate.
Notices	How formal communications are given	Email plus courier for breach and termination notices; named addresses; deemed receipt rules	**Update your notice address when you move.** A termination notice served at an old address can be validly served.
Boilerplate	Entire agreement, variation, waiver, severability, counterparts, no third-party rights, survival	"This Agreement constitutes the entire agreement and supersedes all prior discussions. No variation is effective unless in writing and signed by both Parties."	Standard. The entire-agreement clause matters: it means the reassuring things said on the sales call are not part of the contract.

The tax clause, worked for an India-to-overseas services contract

TEXT

CLAUSE X – TAXES

X.1 All Fees are exclusive of value added tax, goods and services tax, sales tax, service tax and any similar indirect taxes ("Indirect Taxes"), which shall be added to the Fees where chargeable and paid by the Customer.

X.2 The Supplier is established in India. Where the Services constitute an export of services within the meaning of section 2(6) of the Integrated Goods and Services Tax Act, 2017 and are supplied under a Letter of Undertaking, no Indian goods and services tax is chargeable, and the Supplier shall endorse its invoices accordingly. Where the Services do not so qualify – including where the Customer directs that invoices be raised on an Indian affiliate of the Customer – Indian goods and services tax shall be added to the Fees at the applicable rate.

X.3 All payments shall be made without deduction or withholding on account of any tax, unless such deduction or withholding is required by law. If any deduction or withholding is required by law, the Customer shall:

(a) promptly notify the Supplier;

(b) INCREASE THE AMOUNT PAYABLE so that, after the deduction or withholding, the Supplier receives an amount equal to the amount it would have received had no deduction or withholding been required; and

(c) within thirty (30) days of payment, deliver to the Supplier an official receipt or certificate evidencing the amount withheld and paid to the relevant authority, in a form sufficient for the Supplier to claim credit for it.

X.4 The Parties shall cooperate, and provide such documentation as the other reasonably requests, to obtain the benefit of any applicable double taxation agreement, including the Supplier furnishing a Tax Residency Certificate, an electronically filed Form 10F, and a Form W-8BEN or W-8BEN-E as applicable.

X.5 Where the Customer is required under Indian law to deduct tax at source on the Fees, such deduction shall be made on the taxable value of the invoice excluding Indirect Taxes, and the Customer shall furnish the relevant withholding certificate within the statutory

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      period.

X.6   Each Party is responsible for its own taxes on its own
      income and for its own statutory contributions in
      respect of its personnel.

_____________________________________________________________

WHY X.3(b) IS THE MOST IMPORTANT SUBCLAUSE
  Without a GROSS-UP, a 10% withholding turns a US$100,000
  contract into US$90,000 of cash. You may recover some of
  it through foreign tax credit under Rule 128 and Form 67,
  but credit is capped at the Indian tax attributable to
  that income - and under presumptive taxation that base is
  only 50% of receipts, which can strand a large part of the
  credit. Push hard for the gross-up.

  Customers resist it because it transfers their tax cost to
  them. A common compromise: no gross-up, but the Customer
  must provide withholding certificates promptly and
  cooperate fully on treaty documentation - which at least
  preserves your credit claim.

VERIFY all section references - the Income-tax Act, 2025
renumbers provisions from 1 April 2026, and GST rates were
rationalised in September 2025.
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The NDA

You will sign more NDAs than any other document. Most are harmless, a few are badly drafted, and one or two will contain a clause that quietly gives away the thing the NDA is supposed to protect. Learn to read one in six minutes.

Mutual versus one-way

MUTUAL NDA

Both parties disclose and both receive. Obligations are symmetrical. This is appropriate for almost every commercial conversation — a sales call where you discuss your methodology and they discuss their architecture. Default to mutual and say so.

ONE-WAY NDA

Only one party discloses; only the other has obligations. Appropriate where genuinely one-sided — an investor receiving a data room, an employee receiving company information. If a client hands you a one-way NDA for a two-way conversation, ask for mutual. It costs them nothing and tells you how they negotiate.

The seven things to check in any NDA

#	Element	What good looks like	Red flag
1	**Definition of Confidential Information**	Information disclosed in connection with the Purpose that is marked confidential, or that a reasonable person would understand to be confidential given its nature and the circumstances	"All information disclosed, in any form, whether or not marked" with no reasonableness qualifier — this makes casual conversation confidential and is unworkable
2	**Exclusions**	Public domain through no breach; already lawfully known to the recipient; independently developed without use of the discloser's information; lawfully received from a third party without restriction; required to be disclosed by law or a competent authority	Missing exclusions. An NDA with no "independently developed" carve-out means you can be accused of breach for building something you would have built anyway.
3	**Purpose limitation**	A narrow, defined Purpose — "evaluating a potential engagement for retrieval system remediation"	No purpose stated, or a purpose so broad it permits the discloser to argue any use was outside it
4	**Permitted disclosures**	To employees, contractors and professional advisers with a need to know, who are bound by equivalent obligations, with the recipient remaining responsible for their compliance	No permitted disclosure at all — you cannot then show the document to your own lawyer or accountant
5	**Term versus survival**	A term for disclosures (e.g. 2 years) and a separate survival period for obligations (e.g. 3–5 years from disclosure, indefinite for trade secrets)	"Perpetual" obligations over all information. Unbounded confidentiality for ordinary business information is

			unreasonable and, in practice, unmanageable.
6	**Residual knowledge**	Either absent, or carefully bounded	**See the warning below.** A broad residuals clause can hollow out the entire NDA.
7	**Return or destruction**	On written request, return or destroy, with an exception for one archival copy retained for legal or audit purposes and for copies in routine backups that are not readily accessible	An absolute destruction obligation you cannot honestly comply with, because immutable backups exist

The residual knowledge clause — read this one twice

A typical residuals clause reads: "*Notwithstanding anything to the contrary, the Receiving Party may use Residuals, where 'Residuals' means information retained in the unaided memory of individuals who have had access to Confidential Information.*" On its face that is reasonable — you cannot un-know things. In practice a broad residuals clause can **gut the NDA**, because almost anything can be characterised as retained in memory. If you are the **discloser** (you are showing a client your methodology), push to delete it or narrow it to exclude any information that is a trade secret, any specifically identified confidential information, and any use that would infringe IP rights. If you are the **receiver**, a residuals clause is genuinely useful protection against an accusation that your next engagement used their ideas. Know which side you are on *before* you negotiate it.

A full worked mutual NDA

TEXT

MUTUAL NON-DISCLOSURE AGREEMENT

THIS AGREEMENT is made on 14 February 2026

BETWEEN:
(1) RAO SYSTEMS, a sole proprietorship of Ms Ananya Rao, of No. 14, 2nd Floor, 5th Cross, Indiranagar, Bengaluru 560038, Karnataka, India; and
(2) NORTHWIND ANALYTICS, INC., a Delaware corporation of 1200 Market Street, Suite 400, San Francisco, CA 94102, USA,

each a "Party" and together the "Parties".

1. PURPOSE
1.1 The Parties wish to explore a potential commercial engagement relating to the evaluation and remediation of the Customer's document retrieval system (the "Purpose"), and in doing so each may disclose Confidential Information to the other.

2. DEFINITION
2.1 "Confidential Information" means any information disclosed by or on behalf of a Party (the "Discloser") to the other (the "Recipient") in connection with the Purpose, whether before or after the date of this Agreement, in any form, which is either marked or identified as confidential at the time of disclosure, or which, from its nature or the circumstances of disclosure, a reasonable person would understand to be confidential. It includes technical data, source code, architecture, algorithms, model weights, prompts, training data, business plans, pricing, customer and supplier information, personnel information, and the existence and content of discussions between the Parties.

3. EXCLUSIONS
3.1 Confidential Information does not include information which the Recipient can demonstrate:
(a) is or becomes publicly available other than through a breach of this Agreement;
(b) was lawfully in the Recipient's possession, without restriction, before disclosure by the Discloser;
(c) is lawfully received from a third party who is free to disclose it;

(d) is independently developed by the Recipient without use of or reference to the Discloser's Confidential Information; or
(e) the Discloser confirms in writing is not confidential.

4. OBLIGATIONS
4.1 The Recipient shall:
(a) use the Confidential Information solely for the Purpose;
(b) keep the Confidential Information confidential and protect it with at least the degree of care it applies to its own confidential information of similar importance, and in no event less than a reasonable degree of care;
(c) not disclose the Confidential Information to any person except as permitted by clause 5; and
(d) notify the Discloser promptly on becoming aware of any unauthorised disclosure or use.

5. PERMITTED DISCLOSURES
5.1 The Recipient may disclose Confidential Information to its employees, officers, contractors and professional advisers who need to know it for the Purpose and who are bound by confidentiality obligations no less protective than those in this Agreement. The Recipient remains responsible for their compliance.
5.2 The Recipient may disclose Confidential Information to the extent required by law, regulation or a competent authority, provided that, where lawful and practicable, it gives the Discloser prior notice and reasonable assistance to seek protective relief, and discloses only the minimum required.

6. NO LICENCE, NO WARRANTY
6.1 Nothing in this Agreement transfers or grants any right, title, interest or licence in or to any Confidential Information or intellectual property. All Confidential Information remains the property of the Discloser.
6.2 Confidential Information is provided "as is". Neither Party makes any representation or warranty as to its accuracy or completeness, except as may be set out in a definitive agreement between the Parties.

7. NO OBLIGATION TO PROCEED
7.1 Nothing in this Agreement obliges either Party to enter into any further agreement, to proceed with the Purpose, or to refrain from entering into any arrangement with any third party.

8. TERM AND SURVIVAL

8.1 This Agreement applies to Confidential Information disclosed during the period of two (2) years from the date of this Agreement.

8.2 The obligations in clauses 4 and 5 survive for three (3) years from the date of each disclosure, and indefinitely in respect of any Confidential Information that constitutes a trade secret under applicable law, for so long as it remains a trade secret.

9. RETURN AND DESTRUCTION

9.1 On the Discloser's written request, the Recipient shall promptly return or destroy all Confidential Information and, if requested, certify destruction in writing.

9.2 Clause 9.1 does not require the deletion of:

(a) one archival copy retained solely to evidence compliance with legal, regulatory or professional obligations; or

(b) copies held in routine, automated backup systems which are not readily accessible in the ordinary course,

which in each case remain subject to this Agreement for so long as they are retained.

10. REMEDIES

10.1 Each Party acknowledges that damages may not be an adequate remedy for breach of this Agreement and that the Discloser is entitled to seek injunctive relief and specific performance, in addition to any other remedy, without the need to prove special damage.

11. NO NON-COMPETE, NO NON-SOLICIT

11.1 Nothing in this Agreement restricts either Party from carrying on any business, from engaging any person who responds to a general advertisement, or from independently developing products or services, provided it does not use or disclose the other's Confidential Information.

12. GENERAL

12.1 This Agreement is the entire agreement between the Parties in respect of its subject matter.

12.2 No variation is effective unless in writing and signed by both Parties.

12.3 This Agreement may be executed in counterparts, including by electronic signature, each of which is an original.

12.4 If any provision is held unenforceable, the remainder

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     continues in force.
12.5 Neither Party may assign this Agreement without the
     other's written consent, save to a successor to all or
     substantially all of its business.

13. GOVERNING LAW AND JURISDICTION
13.1 This Agreement is governed by the laws of Singapore.
13.2 The Parties submit to the exclusive jurisdiction of the
     courts of Singapore, save that either Party may seek
     urgent injunctive relief in any court of competent
     jurisdiction.

SIGNED for and on behalf of the Parties.

For RAO SYSTEMS                For NORTHWIND ANALYTICS, INC.

_____________________          _____________________
Ananya Rao, Proprietor         Name:
Date:                          Title:
                               Date:
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✦ **Clause 11 is the one people forget to include**

NDAs are routinely used to smuggle in non-solicit and non-compete obligations. An express statement that the NDA does **not** restrict either party from doing business, hiring, or independently developing products closes that door. If the other side objects to clause 11, ask why — the answer is informative.

MSA and SOW Structure

The master-and-order structure exists so that you negotiate the hard clauses once and then transact quickly. It only works if the split is right: legal terms in the master, commercial terms in the order, and an unambiguous order of precedence between them.

What belongs where

Goes in the Master Services Agreement	Goes in the Statement of Work
Definitions and interpretation	Description of the services and deliverables
The framework for ordering services	Acceptance criteria for each deliverable
Payment mechanics, interest, suspension, taxes	Fees, rates, payment schedule, expenses policy
Confidentiality	Timeline, milestones and dependencies
Intellectual property framework	Any SOW-specific IP arrangement (e.g. joint ownership of a particular artefact)
Warranties and disclaimers	Named personnel and their time commitment
Indemnity	Client dependencies and assumptions
Limitation of liability	Out-of-scope list
Insurance requirements	Location of performance and travel arrangements
Data protection framework and DPA	Any SOW-specific security or compliance requirement
Term, termination and consequences	SOW term and SOW-specific termination (if different)
Change control process	Change requests signed under that process
Non-solicit	—
Force majeure, assignment, notices, boilerplate	—
Governing law and dispute resolution	—

Order of precedence

TEXT

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CLAUSE — ORDER OF PRECEDENCE

"In the event of any conflict or inconsistency between the
documents forming this Agreement, the following order of
precedence applies:

  (a) any Change Request executed by both Parties, in
      respect of the subject matter of that Change Request;
  (b) the Statement of Work, but ONLY in respect of the
      description of the Services, the Deliverables, the
      acceptance criteria, the Fees, the timeline and any
      matter which the Statement of Work expressly states is
      intended to vary this Agreement and identifies the
      clause so varied;
  (c) the Data Processing Addendum, in respect of the
      processing of personal data;
  (d) the body of this Master Services Agreement;
  (e) any schedule or annex to this Agreement.

A Statement of Work shall not vary the terms of clauses
[Confidentiality], [Intellectual Property], [Indemnity],
[Limitation of Liability] or [Governing Law and Disputes]
unless it expressly refers to the relevant clause by number
and states that it is intended to vary it, and is signed by
an authorised signatory of each Party."

_____________________________________________________________

WHY THE SECOND PARAGRAPH MATTERS ENORMOUSLY

Without it, a project manager on each side signs a
three-page SOW that happens to contain the sentence "the
Supplier shall indemnify the Customer against all losses
arising from the Services" — and a liability cap you spent
three weeks negotiating in the MSA has just been overridden
by a document neither side's lawyer ever read.

Lock the risk clauses to the master. Make overriding them
require an explicit, numbered, deliberate act.
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Change control, properly

TEXT

CHANGE REQUEST - CR-003

Agreement Master Services Agreement dated 12 Nov 2025
Statement of Work SOW-2 "Retrieval Quality and Cost Remediation" dated 14 Feb 2026
Raised by Customer
Date raised 18 March 2026

1. DESCRIPTION OF CHANGE
The Customer requires multilingual retrieval for German and French in addition to English. Multilingual retrieval is expressly excluded from SOW-2 by paragraph 4 (Out of Scope).

2. REASON
Two prospective enterprise customers in the DACH region require German-language document search as a condition of signature.

3. IMPACT ON SCOPE
Additional work:
- extend the golden set with 150 German and 100 French queries, labelled with Customer-provided native speakers (Customer to provide 10 hours)
- evaluate and select a multilingual embedding model
- re-tune hybrid retrieval fusion weights per language
- extend the evaluation harness to report per-language metrics

Assumption A5 of SOW-2 (corpus size) is unaffected.
New assumption A8: the Customer's German and French documents are already present in the corpus and require no re-ingestion.

4. IMPACT ON TIMELINE
Phase 2 completion moves from 20 March 2026 to 1 April 2026.
Phase 3 completion moves from 27 March 2026 to 8 April 2026.
Phase 4 completion moves from 3 April 2026 to 15 April 2026.

5. IMPACT ON FEES
Additional effort: 46 hours at US$110/hour = US$5,060
Revised total SOW-2 fee: US$24,500 + US$5,060 = US$29,560
Payment: the additional US$5,060 is added to the milestone payable on acceptance of D2.

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6. IMPACT ON ACCEPTANCE CRITERIA
   D2 acceptance criterion is amended to read:
   "recall@5 ≥ 0.85 for English and ≥ 0.78 for German and
   French on the respective golden sets, measured by the
   harness delivered as D1, with no regression in p95
   latency beyond 1.8 seconds."

7. ALL OTHER TERMS UNCHANGED
   Save as expressly set out above, the terms of SOW-2 and
   the Master Services Agreement remain in full force.

AGREED

For Northwind Analytics, Inc.   For Rao Systems

_____________________           _____________________
Name:                           Ananya Rao
Title:                          Date:
Date:
═══════════════════════════════════════════════════════════

THE RULE: NO CHANGE REQUEST, NO CHANGE. If the client asks
for something out of scope, you produce one of these within
two business days. You do not start the work. You do not
"just do it as a favour". A consultant who absorbs three
favours has given away a fortnight and set the expectation
that scope is advisory.
```

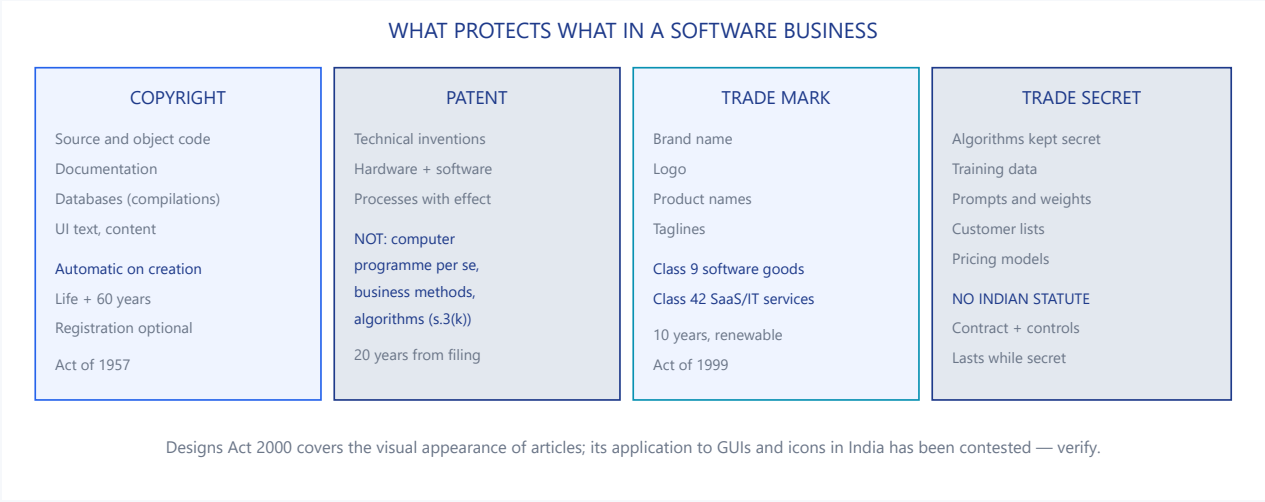
⚠ **Acceptance is where fixed-price projects die**
An acceptance clause without objective criteria and a deemed-acceptance period lets a client hold a deliverable — and your payment — indefinitely while they "review". Always include: (a) **objective, testable criteria** written into the SOW, (b) a **review window** of 5–10 business days, (c) a requirement that rejection be in writing with a **single consolidated list of specific deficiencies measured against the stated criteria**, (d) **deemed acceptance** if no response within the window, and (e) deemed acceptance on **production use** — if they are running it live, they have accepted it.

Intellectual Property Law in India for Software People

Four statutes and one gap. Copyright protects your code automatically. Patents protect inventions but specifically exclude computer programmes "per se". Trade marks protect

your brand. Designs protect appearance. And trade secrets have **no Indian statute at all** — they are protected only by contract and by controls you put in place yourself.

> ⚠ **All fees, timelines and procedural steps are as at early 2026**
>
> Official fees, the Patent Rules, the Trade Marks Rules and the Copyright Rules are amended periodically. **Verify every fee and timeline at ipindia.gov.in and copyright.gov.in before filing.** Fee concessions for natural persons, startups, small entities and educational institutions are a significant discount and are subject to eligibility conditions and documentary proof.



Four regimes plus a statutory gap. Most software value sits in copyright and trade secrets.

Copyright Act 1957 — the one that matters most

Provision	Rule	Consequence for you
Section 2(ffc)	"Computer programme" means a set of instructions expressed in words, codes, schemes or in any other form, including a machine-readable medium, capable of causing a computer to perform a particular task or achieve a particular result	Both source and object code are covered
Section 2(o)	"Literary work" includes computer programmes, tables and compilations including computer databases	Software is protected as a **literary work**, not as a separate category. The same rules that protect a novel protect your repository.
Section 13	Copyright subsists in original literary works. **No registration is required** — protection arises automatically on creation in a fixed form.	Your code is protected the moment you write it. There is no "poor man's copyright", no need to post it to yourself, and no need to register.
Section 14(b)	For a computer programme, copyright includes the right to reproduce, issue copies, perform, make adaptations and translations, **and to sell or give on commercial rental any copy**	Licensing and rental rights are express for software
Section 17	**First ownership.** The author is the first owner, subject to provisos — including proviso (c): where a work is made in the course of the author's **employment under a contract of service or apprenticeship**, the **employer** is the first owner in the absence of agreement to the contrary.	**The single most important provision for a consultant.** See the box below.

Section 19	An assignment of copyright is **valid only if it is in writing signed by the assignor** or their duly authorised agent. It must identify the work, the rights assigned, the duration and the territorial extent. If the duration is not stated, it is deemed to be **five years** (s.19(5)). If the territory is not stated, it is deemed to extend **within India** (s.19(6)). If the assignee does not exercise the rights within one year, the assignment is deemed to have lapsed unless otherwise stated (s.19(4)).	An oral agreement, a handshake, or an email saying "you own it" is **not** a valid assignment. And an assignment silent on duration and territory gives the client five years, in India only — almost certainly not what either side intended.
Section 22	Term: the author's lifetime plus **sixty years** from the beginning of the calendar year following the author's death. For anonymous and pseudonymous works, photographs, cinematograph films, sound recordings and government works, sixty years from publication.	Effectively perpetual for commercial purposes
Section 52(1)(aa)–(ad)	Specific exceptions for computer programmes: making back-up copies; obtaining information essential for **interoperability** of an independently created programme; **observing, studying or testing** the functioning of the programme to determine the ideas and principles underlying it; making copies for non-commercial personal use.	Reverse engineering for interoperability is expressly permitted. A contract purporting to forbid it entirely sits uneasily with this.
Section 57	**Moral rights** — the author's right to claim authorship and to restrain or claim damages for distortion, mutilation or modification prejudicial to honour or reputation. These are **independent of assignment of copyright**.	You cannot assign moral rights away in India the way you can waive them in some jurisdictions. For software this rarely matters commercially, but a "waiver of moral rights" clause may be of limited effect under Indian law.
Section 63	Knowing infringement is a **criminal offence** — imprisonment from six months to three years and a fine from ₹50,000 to ₹2,00,000	Software piracy and wholesale code theft can be prosecuted, not merely sued over

Section 17 and the commissioned-work gap — read this twice if you are a consultant or a client

Section 17's proviso (c) vests first ownership in the **employer** where the work is made in the course of employment under a **contract of service**. An independent consultant works under a **contract for services**, which is a different thing entirely. Proviso (b), which vests ownership in the person who commissions a work for valuable consideration, is limited by its terms to **photographs, paintings, portraits, engravings and cinematograph films** — it does not extend to software.

The consequence: absent a written assignment signed by the consultant, the consultant — not the paying client — is the first owner of the copyright in commissioned software. This is the opposite of what most clients assume and the opposite of the US "work made for hire" expectation. If you are the client, you must obtain a Section 19-compliant written assignment. If you are the consultant, this is real leverage — and it is why an "assignment on payment in full" clause is so powerful. **Confirm the position with an advocate for your facts; the characterisation of a relationship as service versus services is itself a question of substance.**

Copyright registration — optional, and sometimes worth it

Question	Answer
Is it required?	No. Copyright subsists without registration under Section 13.
Why bother?	The Register is **prima facie evidence** of the particulars entered. In an infringement dispute, a registration certificate shifts the practical burden and removes an argument about when the work existed and who authored it. It is also frequently requested in investment and acquisition diligence, and by customs authorities for border enforcement.
Where?	copyright.gov.in — online filing
Form and fee	Form XIV (application for registration of copyright). The statutory fee for a computer programme is modest — commonly cited at ₹500 per work. **Verify the current fee schedule at copyright.gov.in.**
What must be deposited?	For a computer programme, the practice is to deposit the **first ten and last ten pages of source code** (or the entire source code if fewer than twenty pages), with no blanked-out portions in some practice and limited redaction permitted in others. **Confirm the current deposit requirement before filing — this practice has varied.**
Timeline	A diary number issues immediately; a mandatory waiting period for objections follows (commonly cited as 30 days); then examination; then registration. Total 6–18 months in practice.
Catch	Registration covers the version deposited. Software changes continuously. Register the thing with enduring value — a core library, an algorithm implementation, a product release — not every commit.

Patents Act 1970 — Section 3(k) and what you can actually claim

TEXT

SECTION 3, PATENTS ACT 1970 — "WHAT ARE NOT INVENTIONS"

  3(k) "a mathematical or business method or a computer
         programme PER SE or algorithms"

  3(m) "a mere scheme or rule or method of performing
         mental act or method of playing game"

  3(n) "a presentation of information"

THE WORDS THAT DO THE WORK ARE "PER SE"

The Joint Parliamentary Committee that inserted "per se"
explained that the intention was to exclude computer
programmes AS SUCH, but not inventions developed based on
computer programmes where there is a technical contribution.

THE OPERATIVE TEST (Computer Related Inventions Guidelines,
Indian Patent Office — VERIFY the current edition at
ipindia.gov.in)
  - Determine the SUBSTANCE of the claim, not its form.
    Drafting a claim as "a system comprising a processor and
    a memory" does not rescue an otherwise excluded subject
    matter.
  - Ask whether the invention makes a TECHNICAL CONTRIBUTION
    or produces a TECHNICAL EFFECT beyond the normal
    interaction of a programme with a computer.
  - Mere automation of a known manual or business process on
    a general-purpose computer is not patentable.

LIKELY PATENTABLE (with good drafting and a real technical
effect)
  - A method of compressing data that reduces memory
    footprint and improves processor throughput
  - A novel network protocol that reduces latency or packet
    loss
  - A method of controlling a physical device, sensor array
    or manufacturing process
  - A hardware-software system where the software causes a
    measurable improvement in the functioning of the
    computer or a connected technical system
  - Signal processing, image processing or compression with
    a demonstrable technical improvement

LIKELY NOT PATENTABLE IN INDIA
  - A recommendation algorithm expressed as a mathematical
    method
  - A method of matching buyers and sellers (business

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    method)
  - A user interface workflow for onboarding customers
  - "A machine learning model that predicts X" with no
    technical effect beyond the prediction itself
  - A prompt-engineering technique

STRATEGIC CONSEQUENCE FOR AN INDIAN SOFTWARE BUSINESS
  Most pure-software innovation is better protected by
  COPYRIGHT plus TRADE SECRET plus SPEED than by an Indian
  patent. Spend the ₹1.5-3 lakh on a trade mark, good
  contracts and security controls instead - unless you
  have genuine hardware-adjacent or signal-processing
  innovation, or you need patents for a US or European
  filing strategy where the subject-matter rules differ.
```

Step	Form	Timing	Notes
Foreign filing licence (if you intend to file abroad first)	Form 25, Section 39	Before filing abroad; the Controller must respond within a prescribed period (commonly cited as 21 days)	**A resident of India must not file a patent application abroad for an invention without either first filing in India (and waiting six weeks) or obtaining written permission.** Breach is an offence under Section 118. This catches Indian founders who file a US provisional first.
Provisional specification	Form 1 + Form 2 (provisional)	Establishes priority date	Cheap way to secure a date while you develop. A **complete specification must follow within 12 months** (Section 9) or the application is deemed abandoned.
Complete specification	Form 2 (complete)	Within 12 months of the provisional	Full description, claims, abstract, drawings
Publication	Automatic	18 months from priority (Section 11A)	Early publication available on Form 9
Request for examination	**Form 18**	The Patents (Amendment) Rules, 2024 reduced the period to **31 months** from the priority date (previously 48 months). **Verify.**	No examination happens until you request it. Missing this deadline abandons the application.

Expedited examination	**Form 18A**	Available to defined categories including startups, small entities, female applicants, government undertakings, and applicants under a Patent Prosecution Highway arrangement. **Verify the current eligible categories.**	Materially faster — can reduce grant time from years to months
First Examination Report and response	Reply to FER	Within the prescribed period from issue of the FER	Most Section 3(k) objections are fought here
Pre-grant / post-grant opposition	Form 7A / Form 7	Pre-grant any time before grant; post-grant within 12 months of publication of grant	—
Grant and renewal	—	Term **20 years from the date of filing** (Section 53). Renewal fees payable from the third year.	Lapse for non-payment is common and avoidable
Statement of working	**Form 27**	The 2024 Rules changed the frequency to **once every three financial years**. **Verify.**	A uniquely Indian obligation; non-filing is an offence
Foreign filing information	Form 3, Section 8	At filing and on change	Failure to disclose corresponding foreign applications is a ground of revocation

✦ **The 80% fee rebate**

Official patent fees for a **natural person, startup, small entity or educational institution** are substantially lower than for a large entity — commonly described as an 80% reduction. For an Indian software founder or consultant this turns a prohibitive filing cost into a manageable one, but eligibility requires documentary proof (for a startup, recognition by DPIIT; for a small entity, evidence of the MSME classification). **Verify the current fee schedule, the eligibility conditions and the proof required at ipindia.gov.in — and note that losing small-entity status later can trigger a demand for the differential.**

Trade Marks Act 1999 — the registration that actually earns its cost

Element	Detail
What can be registered	A mark capable of being represented graphically and of distinguishing the goods or services of one person from another — words, devices, logos, labels, shapes of goods, packaging, and combinations of colours (Section 2(1)(zb))
Classification	The Nice Classification: **classes 1–34 for goods, 35–45 for services**. For a software business the relevant ones are usually: **Class 9** (downloadable software, recorded software), **Class 42** (SaaS, PaaS, software design and development, IT consultancy, hosting), **Class 35** (business consultancy, data processing for business, advertising), **Class 41** (training, education), **Class 38** (telecommunications).
Absolute grounds for refusal (Section 9)	Marks devoid of distinctive character; marks that are purely descriptive of kind, quality, quantity, intended purpose, value or geographical origin; marks that have become customary; deceptive marks; marks that hurt religious sentiments; obscene or scandalous marks
Relative grounds (Section 11)	Identity or similarity with an earlier mark covering identical or similar goods or services, where there exists a likelihood of confusion
Application	**Form TM-A**, filed online at ipindia.gov.in. A single application can cover multiple classes, with a fee per class.
Fee	Commonly stated as **₹4,500 per class per mark** for e-filing by an **individual, startup or small enterprise**, and **₹9,000 per class per mark** for others, with higher fees for physical filing. **Verify the current fee schedule at ipindia.gov.in.** Claiming the concessional rate requires proof — Udyam registration for a small enterprise, DPIIT recognition for a startup.
Examination	An Examination Report issues raising Section 9 and Section 11 objections. A written reply is due within the prescribed period (commonly 30 days). A hearing follows if the objections are maintained.
Publication	Accepted marks are advertised in the **Trade Marks Journal**, published weekly
Opposition	Any person may oppose within **four months** of advertisement (Section 21). Oppositions involve a notice of opposition, counter-statement, evidence by affidavit on both sides, and a hearing. An opposed application can take years.
Registration and term	Ten years from the date of application, renewable indefinitely for successive ten-year periods on **Form TM-R** (Section 25). Renewal can be filed within six

	months before expiry, with restoration possible on payment of a surcharge within a further period.
™ versus ®	Use ™ on any mark you claim, registered or not. Use ® *only* for a mark that is actually registered in India for those goods or services. Falsely representing a mark as registered is an offence under Section 107.
Non-use	A registration can be removed on application for non-use for a continuous period of five years and three months from the date of entry (Section 47). Use it or risk losing it.
Enforcement	Infringement action for registered marks (Sections 134, 135); **passing off** at common law for unregistered marks with established goodwill. Remedies: injunction, damages or account of profits, delivery up.

TEXT

WHAT A PROPER TRADE MARK SEARCH COVERS BEFORE YOU FILE

1. INDIAN TM REGISTER
   ipindia.gov.in > Trade Marks > Public Search
   Search: (a) the exact word mark
           (b) phonetically similar marks (the portal has a
               phonetic search option)
           (c) marks starting with the same 3–4 letters
           (d) in YOUR classes AND in adjacent classes
               (9, 35, 38, 41, 42 for a software business)
   Check status: Registered / Objected / Opposed /
   Abandoned / Withdrawn. An abandoned mark is not a bar;
   a registered one usually is.

2. COMPANY AND LLP NAMES
   mca.gov.in company name search. A registered company
   name is not a trade mark, but an existing company with
   goodwill can sue for passing off.

3. DOMAIN NAMES
   Check .com, .in, .co.in, .io and your sector's TLD.
   Also check for existing domains that are confusingly
   similar.

4. COMMON LAW USE
   Plain web search, app stores, GitHub, LinkedIn, product
   directories. An unregistered mark in actual use with
   goodwill can defeat your registration by opposition and
   can sue you for passing off.

5. FOREIGN REGISTERS IF YOU SELL ABROAD
   USPTO (tmsearch.uspto.gov), EUIPO (euipo.europa.eu),
   UKIPO, and WIPO's Global Brand Database
   (branddb.wipo.int) which searches many registers at once.

6. SOCIAL HANDLES
   Not legal, but commercially decisive. Secure them before
   you announce.

COST OF DOING THIS YOURSELF: free, about four hours.
COST OF A PROFESSIONAL SEARCH AND OPINION: ₹8,000–₹30,000.
COST OF SKIPPING IT: rebranding after two years of goodwill,
plus a cease-and-desist you cannot defend.

Designs Act 2000

The Designs Act 2000 protects the **visual appearance** of an article — shape, configuration, pattern, ornament or composition of lines or colours applied to an article by an industrial process — judged solely by the eye. It does not protect function, and it expressly excludes anything that is a mere mechanical device, a trade mark, a property mark or an artistic work.

Element	Position
Term	Ten years from registration, extendable by a further five years on application before expiry (Section 11)
Novelty requirement	The design must be **new or original** and not previously published anywhere in the world. Publishing a product screenshot before filing destroys novelty — file first.
Classification	Locarno Classification. Screen displays, icons and graphical user interfaces fall in the classes relating to graphic symbols and screen displays.
GUIs and icons in India	**Contested.** The Indian Design Office has historically refused GUI applications on the basis that a GUI is not applied to an article by an industrial process and is not visible in a consistent fixed form. Indian courts have more recently taken a more permissive view in at least one significant decision. **This is genuinely unsettled — verify the current position with an IP advocate before investing in a GUI design filing strategy.**
Practical relevance	High for hardware products and physical devices. Low to moderate for pure software, given the GUI uncertainty. Copyright in the artwork is usually the more reliable route for icons and illustrations.

Trade secrets — the statutory gap

✕ **India has no trade secrets statute**

There is no Indian equivalent of the US Defend Trade Secrets Act or the EU Trade Secrets Directive. Protection rests entirely on: **(a) contract** — confidentiality clauses, NDAs, employment terms; **(b) the equitable action for breach of confidence**, developed by the courts; and **(c) your own technical and organisational controls**. A draft National Innovation Act containing trade-secret provisions was circulated years ago and never enacted, and more recent law-reform proposals for a dedicated trade secrets law have been made. **Verify whether any such legislation has been enacted at indiacode.nic.in and prsindia.org before assuming statutory protection exists.**

Control	What it does	Why it matters legally
Identify and mark	Maintain a written register of what you treat as a trade secret — the specific algorithm, the training dataset, the prompt library, the customer pricing model	You cannot claim breach of confidence over information you never treated as confidential. Courts look at whether the claimant took reasonable steps.
Contractual coverage	Confidentiality in every employment contract, consultant agreement, NDA, and vendor agreement, surviving termination indefinitely for trade secrets	Contract is your primary cause of action
Access control	Least privilege. Repository access by team, not by default. Secrets in a vault, not in code. SSO with MFA.	Evidence of reasonable steps; also limits the blast radius
Logging	Repository clone and download logs, document access logs, DLP alerts	Without logs you cannot prove misappropriation. This is where most claims fail.
Exit process	Revoke access on the last working day, not a week later. Exit interview with a signed confirmation of return and non-retention. Collect devices.	Both prevention and evidence
Segmentation	No single contractor or employee has access to the whole of a critical secret where it can be split	Reduces the realistic harm from any one departure

IP in Contracts — The Single Most Important Commercial Issue

For a consultant, every rupee of long-term enterprise value is in what you keep. For a client, every rupee of value is in what they get. A good IP clause resolves that without either side feeling robbed: the client owns what they paid for, you keep the tools you brought with you, and the client gets a licence to the tools to the extent they are embedded in what you delivered.

Background IP versus Foreground IP

BACKGROUND IP (YOURS)

Everything you owned or licensed before the engagement, plus anything you develop independently of it. Your evaluation harness library, your scaffolding scripts, your architecture review checklist, your prompt templates, your deployment patterns, your general methodology and know-how. **You keep it. You grant a licence.**

FOREGROUND IP (THEIRS, ON PAYMENT)

What you created specifically for this client under this engagement — their pipeline configuration, the code written against their schema, the report about their system, the model fine-tuned on their data. **They own it, once they have paid.**

⚠ **If you do not define Background IP, you do not have any**

A clause that assigns "all work product created during the engagement" with no background carve-out assigns your reusable library the first time you drop it into a client repository. The fix is two sentences plus a schedule: define Background IP, exclude it from the assignment, and list the specific items in a schedule attached to the agreement. Maintain that schedule as a living document. Add to it every time you build a reusable tool.

Assignment versus licence

	Assignment	Exclusive licence	Non-exclusive licence
Who owns it	The assignee	The licensor still owns it	The licensor still owns it
Can the original creator still use it?	**No** — unless a licence-back is granted	No, unless reserved	Yes
Can it be given to others?	The assignee decides	No — exclusivity bars the licensor too	Yes
Formality in India	**Must be in writing and signed by the assignor** (Section 19, Copyright Act 1957). Specify work, rights, duration and territory.	Writing strongly advisable; for copyright, a licence must also be in writing signed (Section 30)	Writing advisable
Stamp duty	May attract ad valorem duty as a conveyance in some states — **check your state Stamp Act**	Varies	Usually the fixed agreement rate
When to use it	Client-specific deliverables they paid to have built	Rare in consulting; sometimes for a bespoke product in a defined field of use	Your Background IP embedded in deliverables; any tool you want to keep reusing

Three worked IP positions

TEXT

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POSITION A – CLIENT OWNS EVERYTHING (client-favourable)
Use when: you are paid a premium for it, the work is
entirely client-specific, and you genuinely have no reusable
component you care about.
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"9.1  All right, title and interest in and to the
      Deliverables, including all intellectual property
      rights therein, shall vest in the Customer on creation.
      To the extent any such rights do not vest
      automatically, the Supplier hereby assigns them to the
      Customer absolutely, throughout the world, for the
      full term of such rights including all renewals,
      reversions and extensions.
 9.2  The Supplier shall, at the Customer's cost, execute
      such further documents and do such further acts as the
      Customer reasonably requires to vest, perfect, record
      or enforce such rights.
 9.3  The Supplier shall not use the Deliverables for any
      purpose other than performing this Agreement."

RISK TO YOU: you may not reuse anything, including generic
patterns you wrote for them. Price accordingly – a true
"all rights" position is worth a 20–40% premium.

MITIGATION EVEN HERE: insist on clause 9.4 –
"9.4  Nothing in this clause restricts the Supplier's right
      to use the general skills, knowledge, techniques,
      methodologies and experience acquired in the course of
      performing the Services, provided it does not use or
      disclose the Customer's Confidential Information or
      reproduce the Deliverables."

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POSITION B – CONSULTANT RETAINS TOOLS (balanced, recommended)
Use when: this is a normal consulting engagement. This is
market standard and most clients accept it without comment.
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"9.1  DEFINITIONS.
      'Background IP' means any intellectual property owned
      or licensed by a Party before the Effective Date, or
      developed by that Party independently of this
      Agreement, including in the Supplier's case the items
      listed in Schedule 3.
      'Deliverables' means the work product created by the
      Supplier specifically for the Customer under a
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Statement of Work, excluding Background IP and Third-Party Materials.
'Third-Party Materials' means open-source and third-party components incorporated into the Deliverables, as listed in the delivery note for each Deliverable.

9.2 BACKGROUND IP. Each Party retains all right, title and interest in its Background IP. Nothing in this Agreement transfers any Background IP.

9.3 ASSIGNMENT OF DELIVERABLES. Conditional upon and with effect from the Supplier's receipt of payment in full of all amounts due under the relevant Statement of Work, the Supplier assigns to the Customer all right, title and interest in the Deliverables, including copyright, throughout the world for the full term of such rights. Prior to such payment, the Customer has a limited, revocable, non-transferable licence to use the Deliverables solely for internal evaluation and acceptance testing.

9.4 LICENCE-BACK OF BACKGROUND IP. The Supplier grants the Customer a perpetual, irrevocable, worldwide, non-exclusive, royalty-free, sub-licensable (to the Customer's Affiliates, successors and service providers acting on the Customer's behalf) licence to use, copy, modify and create derivative works of the Supplier's Background IP, solely to the extent incorporated into the Deliverables and solely as part of the Deliverables.

9.5 CUSTOMER MATERIALS. The Customer retains all right, title and interest in its data, content, systems and materials provided to the Supplier, and grants the Supplier a non-exclusive licence to use them solely to perform the Services.

9.6 RESIDUAL KNOWLEDGE. The Supplier may use the general skills, knowledge, techniques, methodologies and experience acquired in performing the Services, provided it does not use or disclose the Customer's Confidential Information or reproduce the Deliverables.

9.7 THIRD-PARTY MATERIALS. Third-Party Materials are licensed, not assigned, and are subject to their own licence terms, which the Supplier shall disclose in the delivery note. The Supplier shall not incorporate

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      any component licensed under the GNU General Public
      Licence, the GNU Affero General Public Licence, or any
      other licence with reciprocal source-disclosure
      obligations, into any Deliverable without the
      Customer's prior written consent.

 9.8  FURTHER ASSURANCE. Each Party shall execute such
      documents and do such acts as the other reasonably
      requires to give effect to this clause, at the
      requesting Party's cost."

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POSITION C — JOINT OWNERSHIP (usually a bad idea)
Use when: genuinely co-developed IP with a partner, and only
with explicit rules on exploitation.
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WHY IT IS USUALLY A BAD IDEA
  Joint ownership under Indian law means neither party can
  deal with the IP freely without the other. Licensing,
  assigning, enforcing against an infringer and even using
  it commercially may require the co-owner's consent or
  involve accounting to them. "We'll both own it" sounds
  fair at signature and becomes a veto in year three.

IF YOU MUST, SPECIFY EVERY ONE OF THESE
  (a) Whether each owner may EXPLOIT independently without
      accounting to the other
  (b) Whether each owner may GRANT LICENCES independently
  (c) Whether each owner may ASSIGN its interest, and
      whether the other has a right of first refusal
  (d) Who may bring INFRINGEMENT PROCEEDINGS, who funds
      them, and how recoveries are shared
  (e) Who pays for PROSECUTION and MAINTENANCE of any
      registered rights
  (f) What happens on a CHANGE OF CONTROL of either owner
  (g) Whether there is any FIELD OF USE restriction

BETTER ALTERNATIVE IN ALMOST EVERY CASE
  One party owns; the other gets a broad, perpetual,
  irrevocable, royalty-free licence — possibly exclusive
  within a defined field of use. Same commercial outcome,
  no deadlock.
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Open-source licence compatibility — and the AGPL trap

Licence	Type	Obligation on distribution	Triggered by SaaS use?	Safe in a client deliverable?
MIT	Permissive	Retain the copyright notice and licence text	No	**Yes**
BSD-2 / BSD-3	Permissive	Retain notice; BSD-3 adds a no-endorsement clause	No	**Yes**
Apache-2.0	Permissive, with an express **patent licence** and a **patent-retaliation** clause	Retain notice, licence, and the NOTICE file; state significant changes	No	**Yes** — and the express patent grant is a positive
ISC, Unlicense, CC0, Zlib	Permissive / public-domain-like	Minimal	No	**Yes**
MPL-2.0	Weak copyleft, **file-level**	Modified files covered by the MPL must be made available in source form; your own separate files are not infected	No	**Usually yes** — keep modifications in separate files and disclose them

LGPL-2.1 / LGPL-3.0	Weak copyleft, **library-level**	Dynamic linking generally permitted without infecting your code, but you must allow the user to replace the library and reverse engineer for debugging. Static linking is more problematic.	No	**Conditional** — link dynamically, disclose, and take advice for anything shipped to customers
GPL-2.0 / GPL-3.0	**Strong copyleft**	If you **distribute** a work based on the programme, the whole derivative work must be licensed under the GPL, with source made available	**No** — running it on your server is not distribution, which is why many SaaS companies use GPL code internally	**Only with explicit client consent** — it can force disclosure of the client's proprietary code if they ship it
AGPL-3.0	**Strong copyleft, network-triggered**	Same as GPL, **plus** section 13: if users interact with a modified version **over a network**, you must offer them the corresponding source	**YES — this is the trap.** Using AGPL code in a SaaS product can require you to publish the source of the whole work.	**No, absent explicit written consent and legal advice**
SSPL	Source-available, **not OSI-approved**	Offering the software as a service requires releasing the source of the entire service stack	**Yes, aggressively**	**No**

BSL / Elastic Licence / Functional Source Licence	Source-available, **not open source**	Usage restrictions, typically barring competing commercial offerings, often converting to an open licence after a change date	Restrictions apply	**Read the actual terms** — these are proprietary licences wearing open-source clothing
CC BY-SA / CC BY-NC	Content licences, not software licences	ShareAlike is viral; NonCommercial bars commercial use outright	Depends	**Never use NC-licensed content in a commercial deliverable**

The AGPL trap, concretely

A client asks you to build an internal analytics service. You use an AGPL-licensed graph database or workflow engine, modify it slightly to add a connector, and deploy it. The service is accessed over the network by the client's users. Under AGPL-3.0 section 13, those users may be entitled to the corresponding source of the **entire modified work** — which may include the client's proprietary business logic. If that service later becomes customer-facing, the exposure widens. The same component under a commercial licence from the same vendor avoids the issue entirely, usually for a few thousand dollars a year. **Check the licence of every dependency before you design around it, not after. Take legal advice on any copyleft component in a commercial product.**

Provenance: third-party code, AI-generated code, and the clause you now need

TEXT

CLAUSE – PROVENANCE AND AI-ASSISTED DEVELOPMENT

"9.9 THIRD-PARTY AND OPEN-SOURCE COMPONENTS. The Supplier shall deliver with each Deliverable a bill of materials listing all third-party and open-source components incorporated into it, their versions, and their licences. The Supplier shall not incorporate any component under a licence imposing reciprocal source-disclosure obligations (including GPL, AGPL, SSPL and LGPL where statically linked) without the Customer's prior written consent.

9.10 AI-ASSISTED DEVELOPMENT. The Supplier may use generative artificial intelligence tools to assist in producing the Deliverables, subject to the following:
(a) the Supplier shall use only tools configured so that the Customer's Confidential Information and data are not used to train any model or retained by the tool provider beyond what is necessary to return a response;
(b) the Supplier shall not submit the Customer's source code, personal data, or Confidential Information to any tool not approved in writing by the Customer;
(c) the Supplier remains fully responsible for the Deliverables, including their originality, quality and licence compliance, irrespective of the use of such tools; and
(d) the Supplier shall review all AI-generated output for third-party code reproduction and licence contamination before incorporating it.

9.11 MODELS, WEIGHTS AND TRAINING DATA. Where the Services involve training, fine-tuning or adapting a machine learning model:
(a) the Customer retains all right, title and interest in its training data and in any output generated from it;
(b) ownership of model weights produced by fine-tuning a base model on the Customer's data vests in the Customer on payment in full, SUBJECT TO the licence terms of the base model, which the Supplier shall disclose;
(c) the Supplier shall not use the Customer's data to train, fine-tune or evaluate any model for any other customer or for the Supplier's own purposes;
(d) prompts, system instructions and evaluation sets created specifically for the Customer are

```
            Deliverables; the Supplier's general prompt
            patterns and evaluation methodology are
            Background IP."

_____________________________________________________________

WHY CLAUSE 9.11(b) SAYS "SUBJECT TO THE LICENCE TERMS OF THE
BASE MODEL"
  You cannot assign more than you have. Fine-tuned weights
  derived from a proprietary base model are subject to that
  provider's terms, which commonly restrict use to the
  provider's platform, restrict training competing models,
  and may claim rights over derivatives. Open-weight models
  carry their own licences with their own restrictions
  (acceptable-use policies, attribution requirements,
  user-count thresholds). DISCLOSE THE BASE MODEL LICENCE
  IN WRITING and do not promise ownership you cannot
  deliver.

WHY THE AI CLAUSE MATTERS NOW
  The copyright status of purely AI-generated output is
  unsettled in India and elsewhere - authorship under the
  Copyright Act 1957 contemplates a human author. If a
  material part of a Deliverable is AI-generated with no
  meaningful human authorship, it may not attract copyright
  at all, which means you cannot validly assign it and the
  client does not get exclusivity. VERIFY the current
  position; this is actively developing. In the meantime,
  the practical answer is substantive human authorship,
  review, and a warranty framed around non-infringement
  rather than around copyright subsistence.
```

⚠ **Warranty wording for AI-assisted work**

Avoid warranting that the deliverables are "original works of authorship of the Supplier" if you used AI assistance at scale — that may not be true. Warrant instead that the deliverables **do not knowingly infringe** third-party rights, that you have **disclosed all third-party and open-source components**, and that you have **reviewed the output**. That is a promise you can keep and it gives the client the protection they actually need. **Have an advocate settle the wording.**

Employment and Contractor Documents

Whether you are signing an employment contract, writing one for your first hire, or structuring a consultant agreement that must not look like employment, the same

handful of Indian-law realities apply: post-employment non-competes are void, IP assignment needs to be drafted for Indian law rather than copy-pasted from a US template, and the substance of a relationship beats the label on the document.

> ⚠ **Labour law is in transition — verify current status**
> The four Labour Codes — the **Code on Wages 2019**, the **Industrial Relations Code 2020**, the **Code on Social Security 2020** and the **Occupational Safety, Health and Working Conditions Code 2020** — were brought into force from **late 2025**, but state rules are still landing and obligations vary by state. The definition of "wages", gratuity eligibility for fixed-term employees, and leave entitlements all change. **Confirm your state's position at shramsuvidha.gov.in and your state labour portal before drafting employment terms.**

Appointment letter versus employment agreement

	Appointment letter	Employment agreement
Form	A letter from employer to employee, usually countersigned	A bilateral agreement with clauses and two signature blocks
Typical length	2–4 pages	8–20 pages
Covers	Role, start date, compensation, probation, notice, place of work, reference to policies	All of the above plus detailed confidentiality, IP assignment, non-solicit, data protection, dispute resolution, specific covenants
Legal effect	Equally binding — form does not determine enforceability	Same
When each is used	Standard for most Indian employment at all levels	Senior hires, roles with access to critical IP, founders, anyone whose departure would cause real harm
What matters more than the form	Whether the **employee handbook and policies are expressly incorporated by reference**, and whether the **IP and confidentiality clauses are drafted for Indian law**. A two-page letter with a proper Section 19-compliant IP assignment beats a twenty-page US template that relies on "work made for hire".	

Probation, confirmation and notice

Element	Common Indian practice	What to check
Probation	3–6 months, extendable once; shorter notice during probation (7–30 days)	Whether confirmation is automatic on expiry or requires a written confirmation letter. If it requires a letter and none is issued, the employee may remain on probation indefinitely — which some employers use and most state Shops and Establishments Acts constrain.
Notice period	30–90 days post-confirmation, often 90 for senior roles	Whether there is a **buy-out** option (payment in lieu) and whether it is at the employer's or employee's election. A unilateral employer-only right to insist on full notice is a common and painful clause.
Garden leave	Employer pays but keeps the employee away from work during notice	The employment subsists, so exclusivity and confidentiality still bite. Generally enforceable in India as a contractual arrangement, provided the employee continues to be paid.
Full and final settlement	Salary to date, leave encashment, gratuity if eligible, reimbursements, less recoveries	Timelines under the Code on Wages; and whether a relieving letter is conditional on anything beyond handover
Relieving letter and experience certificate	Customary and commercially essential in India	Make issuance an express obligation on completion of handover, not a discretionary favour. Many disputes are really about this document.

Can an employer refuse to accept a resignation?
Resignation is a unilateral act. In practice, what an employer can do is insist on the contractual notice period, withhold the relieving letter and full-and-final settlement until handover is complete, and claim damages for breach of the notice obligation. Courts have been reluctant to compel an unwilling person to work — specific performance of a contract of personal service is not available under Section 14 of the Specific Relief Act. The practical leverage is documentary, not injunctive. **Take advice before walking out on notice; the consequences are commercial and reputational.**

Confidentiality and IP clauses that actually work in India

TEXT

EMPLOYMENT IP AND CONFIDENTIALITY – DRAFTED FOR INDIAN LAW

"11. INTELLECTUAL PROPERTY

11.1 In this clause, 'Company IP' means all inventions, discoveries, improvements, designs, works of authorship, computer programmes, databases, specifications, documentation, know-how and other material, and all intellectual property rights in them, which the Employee creates, conceives, develops or reduces to practice, alone or with others:
(a) in the course of the Employee's employment; or
(b) using the Company's materials, information, premises, equipment, systems or Confidential Information; or
(c) which relate to the Company's business or its actual or demonstrably anticipated research and development.

11.2 The Employee acknowledges that, by operation of the proviso to section 17 of the Copyright Act, 1957, the Company is the first owner of copyright in works made in the course of the Employee's employment under this contract of service.

11.3 To the extent that any Company IP does not vest in the Company automatically, the Employee HEREBY ASSIGNS to the Company, with full title guarantee, all right, title and interest in and to such Company IP, including all copyright, for the full term of such rights, throughout the world, including all renewals, reversions and extensions, free of any royalty.

11.4 The Employee shall promptly disclose all Company IP to the Company and shall, at the Company's cost, execute such documents and do such acts as the Company reasonably requires to vest, perfect, register or enforce such rights, both during and after employment.

11.5 EXCLUDED WORKS. Clause 11.1 does not apply to anything created by the Employee entirely in the Employee's own time, without use of any of the Company's materials, information, premises, equipment, systems or Confidential Information, and which does not relate to the Company's business or its actual or demonstrably anticipated research and development. The Employee has listed in Annexure B any such works existing at the date of this Agreement.

11.6 The Employee waives, to the fullest extent permitted by applicable law, any moral rights in the Company IP, and agrees not to assert any such rights against the Company or its licensees.

12. CONFIDENTIALITY

12.1 The Employee shall not, during employment or at any time afterwards, use or disclose any Confidential Information of the Company or of any client of the Company, except in the proper performance of the Employee's duties or as required by law.

12.2 'Confidential Information' includes source code, architecture, algorithms, models, datasets, prompts, client lists, pricing, commercial terms, business plans, personnel information and any information marked confidential or which from its nature a reasonable person would understand to be confidential.

12.3 On termination, the Employee shall return all Company property, documents and data in any form, and shall delete any Company information held on personal devices or accounts, and shall certify compliance in writing if requested."

WHY EACH PIECE IS THERE

11.2 Invokes section 17 of the Copyright Act expressly. Useful, but it only covers COPYRIGHT and only works made in the COURSE OF EMPLOYMENT.

11.3 The present-tense "HEREBY ASSIGNS" operates as an immediate assignment. A promise to assign in the future ("shall assign") can leave a gap if the person refuses. Use the present tense.

11.5 Clause 11.5 and Annexure B are what make the whole clause defensible. A clause claiming EVERYTHING an employee creates, at any time, by any means, is both unreasonable and more likely to be read down. Carving out genuinely personal work makes the rest stronger.

11.6 Moral rights under section 57 of the Copyright Act 1957 are personal to the author and their waivability in India is debatable. Include the clause; do not rely on it.

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VERIFY all of this with an advocate. This is illustrative
drafting, not a template to use unreviewed.
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Non-compete, non-solicit and confidentiality — what actually binds

Restraint	During employment	After employment	Practical reality
Non-compete (not working for a competitor)	**Enforceable** as a term of service	**Void under Section 27** of the Indian Contract Act 1872	Expect a threatening letter anyway. Employers rely on the chilling effect, not on enforceability.
Non-solicit of clients	**Enforceable**	**Partially enforceable** where narrow, time-limited, and connected to confidential information or clients actually dealt with	Indian courts have granted injunctions on narrow non-solicits. Fact-specific.
Non-solicit of employees	**Enforceable**	**Partially enforceable**; a general-advertisement carve-out is market	Commonly included, rarely litigated, occasionally enforced
Non-deal (not accepting business even if unsolicited)	**Enforceable**	**Likely void** — it comes closer to a restraint of trade than a non-solicit	Push back hard on this one
Confidentiality	**Enforceable**	**Enforceable** — it does not restrain a profession, it restrains the use of information	**This is the employer's real protection.** Draft it well and you need the non-compete much less.
Garden leave	**Enforceable** while paid	N/A — employment continues	Effectively a paid non-compete. The only reliable way to keep someone out of the market in India.
Notice period	**Enforceable** as a contractual term; damages, not specific performance	N/A	Employers recover through withheld settlement and the relieving letter, not through litigation

Employment bonds and training-cost recovery

An "employment bond" requiring an employee to serve a minimum period or repay a sum is common in Indian IT services. The position is nuanced.

- ☐ A bond that is simply a **penalty for leaving** is likely to be read as a restraint and, in any event, is subject to **Section 74** — the stated sum is a ceiling, and the employer must show reasonable compensation.
- ☐ A bond that seeks **genuine recovery of quantifiable training costs** actually incurred by the employer — a specific certification programme, an overseas deputation, a paid course — is more likely to be enforced, to the extent of the proven cost, and typically on a reducing balance over the bond period.
- ☐ A bond requiring deposit of **original educational certificates** is widely considered improper and has attracted judicial criticism.
- ☐ A bond disproportionate to the training provided, or applied to ordinary on-the-job experience, is unlikely to survive.
- ☐ If you are drafting one: state the **actual cost incurred**, attach evidence, provide **pro-rata reduction** over the service period, and keep the amount genuinely compensatory.
- ☐ If you are signing one: get the actual training cost in writing, confirm pro-rata reduction, and confirm that no original documents will be retained.

> ⚠ **Verify before acting on a bond**
> The enforceability of service bonds in India is fact-specific and the case law is not uniform. **Take advice on the specific bond before you sign it or before you enforce it.**

Moonlighting clauses

TEXT

A MOONLIGHTING CLAUSE THAT IS DEFENSIBLE AND FAIR

"7.4 EXCLUSIVITY AND OUTSIDE ENGAGEMENTS
(a) During employment, the Employee shall devote their working time, attention and skill to the business of the Company.
(b) The Employee shall not, during employment, engage in any other business, employment, consultancy or engagement, whether or not for remuneration, WITHOUT THE PRIOR WRITTEN CONSENT OF THE COMPANY, such consent not to be unreasonably withheld where the engagement:
(i) does not conflict with the interests of the Company or any of its clients;
(ii) is not with a competitor, client or identified prospect of the Company;
(iii) does not use any Company time, device, system, account, information or Confidential Information; and
(iv) does not impair the Employee's performance of their duties.
(c) The Employee shall disclose in writing any such engagement before commencing it, and shall notify the Company of any change.
(d) Nothing in this clause restricts the Employee from personal investment, teaching, writing, speaking, open-source contribution or charitable activity that complies with (b)(i) to (b)(iv)."

WHY THIS VERSION IS BETTER THAN A FLAT BAN
- A flat ban is widely breached and therefore widely unenforced, which weakens the employer's position when it matters.
- A consent-based clause with objective criteria produces DISCLOSURE, which is what the employer actually needs.
- Clause (d) prevents the absurd outcome where an engineer cannot contribute to open source or give a conference talk - which is a genuine recruitment problem.
- For the EMPLOYEE: if your contract has a flat ban, this is the counter-proposal to put in front of HR. Many companies will accept it.

The consultant agreement drafted to avoid deemed employment

> ✕ **Misclassification risk runs in both directions**
> If you engage someone as a "consultant" who is in substance an employee, you may face claims for statutory benefits (PF, ESIC, gratuity, leave), tax exposure for failure to deduct TDS under Section 192 rather than 194J, and liability under the Labour Codes. If **you** are engaged as a consultant by a foreign client in substance as an employee, the exposure sits in **their** jurisdiction — permanent establishment risk for them, and employment-law claims. Substance beats labels: courts and authorities look at control, integration, economic dependence, provision of tools, and who bears risk.

Factor	Points towards EMPLOYMENT	Points towards INDEPENDENT CONTRACTOR
Control	Client directs how, when and where work is done; fixed hours; reporting line to a manager	Consultant determines method, hours and location; deliverable-based
Integration	Company email address, badge, appears on the org chart, attends all-hands, listed as "team"	External, named as a supplier, uses own identity
Exclusivity	Works only for this client; prohibited from other engagements	Has or may have other clients; no exclusivity
Tools and equipment	Client provides laptop, software, workspace	Consultant provides own
Financial risk	Paid a fixed monthly amount regardless of output; expenses reimbursed as a matter of course	Fixed-price or milestone exposure; bears cost of rework; invoices as a business
Substitution	Must perform personally	May sub-contract or substitute with consent
Benefits	Paid leave, sick pay, bonus scheme, insurance	None; prices them into the rate
Duration and termination	Indefinite; notice period like an employee	Engagement-based; terminable per the contract
Business formalities	Payslip, Form 16	Invoices with GST/PAN, Form 16A, own registrations

TEXT

CLAUSES THAT STRENGTHEN INDEPENDENT-CONTRACTOR STATUS

"4.1 The Consultant is an independent contractor. Nothing in this Agreement creates a relationship of employer and employee, partnership, joint venture or agency between the Parties.

4.2 The Consultant determines the manner, method, sequence and location of performance of the Services, subject only to the deliverables, acceptance criteria and timelines set out in the Statement of Work and to reasonable collaboration requirements.

4.3 The Consultant provides, at the Consultant's own cost, all equipment, software, workspace and connectivity required to perform the Services, save for access to the Customer's systems strictly necessary for the Services.

4.4 The Consultant is free to provide services to other clients during the Term, provided no conflict of interest arises and the Consultant complies with its confidentiality obligations.

4.5 The Consultant may engage sub-contractors with the Customer's prior written consent, not to be unreasonably withheld, and remains responsible for their acts and omissions.

4.6 The Consultant is not entitled to any employee benefit of the Customer, including leave, bonus, provident fund, gratuity, insurance, stock options or severance.

4.7 The Consultant is responsible for all taxes, duties and statutory contributions arising in respect of the Consultant and the Consultant's personnel, and shall indemnify the Customer against any claim arising from the Consultant's failure to discharge the same.

4.8 The Consultant shall invoice the Customer for the Fees and shall not be included in the Customer's payroll.

4.9 Neither Party has authority to bind the other or to hold itself out as having such authority."

WHAT TO AVOID DOING IN PRACTICE (substance, not drafting)
- Do not take a company email address and badge if you can avoid it; use your own identity with guest access

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  - Do not appear on the org chart or in the internal
    directory as a team member
  - Do not accept a job title at the client
  - Do not receive a monthly "salary" on the 30th with no
    invoice
  - Do not accept paid leave, bonuses or equity grants under
    an employee scheme
  - Do keep other clients, or at least the freedom to have
    them
  - Do invoice with your GSTIN/PAN and your own branding
  - Do push back on fixed office hours and mandatory daily
    attendance

TAKE LOCAL ADVICE: classification tests differ by country.
A structure that is safe in India may create employment or
permanent-establishment exposure in the client's
jurisdiction.
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SaaS and Product Agreements

If you build a product rather than sell hours, your contract stack changes: a licence or subscription agreement instead of a services agreement, an SLA with service credits, a data processing addendum, a security schedule, and an acceptable use policy. Enterprise procurement will redline all of them in predictable places.

Licence grant and restrictions

TEXT

CLAUSE – LICENCE GRANT AND RESTRICTIONS

"2.1 GRANT. Subject to the Customer's compliance with this Agreement and payment of the Fees, the Provider grants the Customer a non-exclusive, non-transferable, non-sub-licensable right, during the Subscription Term, to access and use the Service for the Customer's internal business purposes, up to the Authorised Usage specified in the Order Form.

2.2 AUTHORISED USERS. The Customer may permit its employees and contractors to use the Service as Authorised Users, provided the Customer remains responsible for their compliance with this Agreement. Login credentials are personal and must not be shared.

2.3 RESTRICTIONS. The Customer shall not, and shall not permit any third party to:
(a) resell, sub-license, rent, lease or provide the Service as a service bureau to any third party;
(b) reverse engineer, decompile or disassemble the Service, except to the extent such restriction is prohibited by applicable law, including section 52(1)(ab) of the Copyright Act, 1957 in respect of obtaining information necessary for interoperability;
(c) use the Service to build a competing product or service, or to benchmark it for publication without the Provider's prior written consent;
(d) circumvent usage limits, rate limits or security controls;
(e) upload malicious code or unlawful content; or
(f) remove or obscure any proprietary notice.

2.4 RESERVATION. All rights not expressly granted are reserved to the Provider. The Service is licensed, not sold."

NOTE ON 2.3(b): an absolute bar on reverse engineering sits uneasily with the statutory interoperability exception in Indian copyright law. Carving it out is both legally safer and a negotiation point enterprise customers raise. VERIFY the current text of section 52 at indiacode.nic.in.

Subscription term, auto-renewal and price increases

Issue	Provider-favourable	Customer-favourable	Market compromise
Renewal	Auto-renew with 90 days' notice to cancel	No auto-renewal; expires unless renewed	Auto-renew with **30 days'** notice to cancel, plus a renewal reminder sent 60 days before
Price increase on renewal	At the Provider's then-current list price	Fixed for three years	Capped increase — CPI plus a few per cent, or a stated maximum percentage, with 60 days' notice
Mid-term reduction of seats	Not permitted; commitment is for the term	Reduce at any time	No reduction mid-term; true-down at renewal
Mid-term addition of seats	At list price, co-terminous with the current term	At the discounted rate	At the same per-unit rate, pro-rated, co-terminous
Termination for convenience	Not permitted	30 days' notice with pro-rata refund	Not permitted mid-term, except for the Provider's uncured material breach, where a pro-rata refund applies

SLA and service credits, worked

TEXT

SCHEDULE 2 — SERVICE LEVEL AGREEMENT

1. AVAILABILITY COMMITMENT
   The Provider will make the Service Available at least 99.9% of the time in each calendar month (the "Monthly Uptime Percentage").

2. DEFINITIONS
   "Available" means the Service responds to a valid authenticated API request with a non-5xx response within the Response Threshold.
   "Response Threshold" means 2,000 milliseconds at the 95th percentile measured over a five-minute interval.
   "Downtime" means any five-minute interval in which the Service is not Available, as measured by the Provider's monitoring, excluding Excluded Events.
   "Monthly Uptime Percentage" =
      (Total Minutes in Month − Downtime Minutes)
      / Total Minutes in Month x 100

3. EXCLUDED EVENTS
   (a) Scheduled Maintenance, being maintenance notified at least 72 hours in advance and performed within the maintenance window of 18:00–22:00 UTC on Saturdays, not exceeding 8 hours in any calendar month;
   (b) Emergency Maintenance required to address a security vulnerability, notified as soon as practicable;
   (c) failures caused by the Customer's systems, configuration, network or Authorised Users;
   (d) failures caused by third-party services outside the Provider's reasonable control, including the Customer's chosen identity provider;
   (e) suspension in accordance with clause 9 (Suspension);
   (f) Force Majeure events;
   (g) use of the Service other than in accordance with the documentation, or in excess of the Authorised Usage or documented rate limits.

4. SERVICE CREDITS

MONTHLY UPTIME PERCENTAGE	SERVICE CREDIT
≥ 99.9%	0%
≥ 99.5% but < 99.9%	5% of the monthly fee
≥ 99.0% but < 99.5%	10% of the monthly fee
≥ 98.0% but < 99.0%	20% of the monthly fee

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   ≥ 95.0% but < 98.0%            30% of the monthly fee
   <  95.0%                       50% of the monthly fee

5. CLAIMING A CREDIT
   The Customer must request the credit in writing within
   thirty (30) days of the end of the affected month,
   including the dates, times and affected requests. Credits
   are applied against future invoices and are not
   refundable in cash. Credits in any month do not exceed
   50% of the fee for that month.

6. SOLE AND EXCLUSIVE REMEDY
   Service Credits are the Customer's SOLE AND EXCLUSIVE
   REMEDY for any failure to meet the availability
   commitment, save that if the Monthly Uptime Percentage
   is below 95% in any two months within a rolling
   six-month period, the Customer may terminate the
   affected Service on thirty (30) days' written notice and
   receive a pro-rata refund of prepaid Fees for the
   unexpired term.

7. SUPPORT TIERS

   TIER       RESPONSE TARGET    HOURS           CHANNEL
   ──────────────────────────────────────────────────────
   P1 Critical  1 hour           24x7            Phone+portal
     Service wholly unavailable or data loss in production
   P2 High      4 business hours 09:00–18:00 IST Portal
     Major function unavailable; no workaround
   P3 Medium    1 business day   09:00–18:00 IST Portal
     Function impaired; workaround available
   P4 Low       3 business days  09:00–18:00 IST Portal
     Question, documentation issue, feature request

   Response targets are targets for INITIAL RESPONSE, not
   for resolution. The Provider will use commercially
   reasonable efforts to resolve.
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THE DRAFTING POINTS THAT MATTER
  1. DEFINE "AVAILABLE" OBJECTIVELY. "The Service is up"
     is not measurable. Tie it to a response code and a
     latency threshold measured by a named system.
  2. WHOSE MONITORING COUNTS? Say so. Customer-side
     measurement will always show worse numbers.
  3. EXCLUSIONS ARE WHERE THE REAL NEGOTIATION IS. The
     credit table is theatre; the exclusions decide whether
     any credit is ever payable.
  4. "SOLE AND EXCLUSIVE REMEDY" IS THE MOST VALUABLE LINE
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   FOR THE PROVIDER. Without it, credits are a floor and
   the customer can still sue for damages. With it, your
   downtime exposure is capped at 50% of a month's fee.
   Remember Section 74 of the Indian Contract Act: the
   named sum is a ceiling in any event.
5. THE CHRONIC-FAILURE TERMINATION RIGHT is what makes
   the whole SLA credible to an enterprise buyer. Offer
   it; it costs you nothing if the service works.
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Data ownership, DPA and the security schedule

Clause	What it must say
Customer Data ownership	"As between the Parties, the Customer owns all Customer Data. The Provider acquires no right, title or interest in Customer Data other than the limited rights expressly granted."
Provider's licence to use the data	Limited to providing, maintaining and securing the Service, and to complying with law. **Be explicit about aggregated and anonymised data** — many providers reserve the right to use de-identified data for product improvement, and enterprise customers increasingly strike it out. Say what you mean.
AI training	This is now a standard enterprise redline. Either commit expressly that **Customer Data will not be used to train any model**, or disclose precisely what you do and offer an opt-out. Ambiguity here kills deals and creates liability.
Data Processing Addendum	Required where personal data is processed. See the data protection section.
Security schedule	Encryption in transit and at rest, access controls, MFA, logging and retention, vulnerability management and patching SLAs, penetration testing cadence, personnel screening, secure development practices, incident response, business continuity, certifications held (ISO 27001, SOC 2 Type II)
Data export on termination	"For thirty (30) days following termination, the Provider will make Customer Data available for export in [format]. After that period the Provider will delete Customer Data within [X] days, save for copies in routine backups which will be deleted in the ordinary backup cycle, and copies required to be retained by law."
Suspension	Right to suspend for non-payment, for breach of the acceptable use policy, and for a security threat — with notice where practicable, and an obligation to restore promptly once resolved

What enterprise procurement always redlines

1. **Uncapped liability for data breach.**
   They will ask for it. Offer a super-cap — for example, three times the annual fees for breaches of the security and data protection obligations — rather than uncapped.

2. **Unilateral change of terms.**
   Any clause letting you amend the agreement or policies by posting an update. Enterprises insist on notice and, for material adverse changes, a right to terminate.

3. **Auto-renewal with a long notice period.**
   They will reduce 90 days to 30 and add a renewal reminder obligation.

4. **Use of their data for product improvement or AI training.**
   Expect a flat prohibition.

5. **Sub-processors.**
   They want a list, prior notice of changes, and a right to object. Give the list; resist a veto; offer a right to terminate if they reasonably object and you proceed.

6. **Audit rights.**
   They want on-site audit. Offer your SOC 2 report and a questionnaire annually, with an on-site audit only after a material security incident.

7. **Governing law.**
   They will want their own. For a small Indian provider selling into a large enterprise, this is usually a losing battle — trade it for something you care about more.

8. **Insurance limits.**
   They will specify amounts. Get a quote before conceding; cyber cover limits are the expensive ones.

9. **Source code escrow.**
   Common for on-premise and for business-critical SaaS. Agree it, use a reputable escrow agent, and define the release conditions narrowly (insolvency, cessation of support) rather than broadly (any material breach).

10. **Exit and transition.**
    Data export format, duration of access, and assistance. Agree it and charge for assistance beyond the standard export.

Liability and Indemnity in Detail

Liability and indemnity clauses are the two places where a ₹20 lakh contract can generate a ₹20 crore problem. They must be read together, because a carve-out in the liability clause is what determines whether the indemnity is capped. If you read nothing else in a contract, read these two clauses and the definition of "Losses".

Direct versus indirect loss

Category	Meaning	Typically recoverable?	Example in a software context
Direct loss	Loss arising naturally, in the usual course of things, from the breach (the first limb of Section 73, Indian Contract Act 1872)	Yes	The cost of engaging another supplier to fix defective work; the fees paid for a deliverable that was never usable
Indirect / consequential loss	Loss which the parties knew, when they made the contract, would be likely to result from the breach (the second limb) — special circumstances known to both	Only if the knowledge is established; almost always excluded by contract	The customer's lost profit because their launch slipped
Remote loss	Loss too remote from the breach	**No** — Section 73 expressly excludes remote and indirect loss	A third party's lost business because the customer's product was late
Loss of profit, revenue, business, goodwill, anticipated savings, data	Often described as "indirect" but can be direct depending on the facts	Depends; this is why they are listed **expressly** in exclusion clauses rather than relying on the word "indirect"	Always list them by name. "Indirect or consequential loss, including loss of profit" has been read in some jurisdictions as only excluding profit that is itself indirect. List them as standalone exclusions.

TEXT

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THE EXCLUSION CLAUSE, DRAFTED TO ACTUALLY WORK

"14.1 Neither Party shall be liable, whether in contract,
      tort (including negligence), breach of statutory duty,
      restitution or otherwise, for any of the following,
      whether direct or indirect:
      (a) loss of profit;
      (b) loss of revenue;
      (c) loss of business or business opportunity;
      (d) loss of anticipated savings;
      (e) loss of or damage to goodwill or reputation;
      (f) loss, corruption or destruction of data, save for
          the cost of restoring data from the most recent
          available backup;
      (g) wasted management or staff time; or
      (h) any indirect, special, incidental, punitive or
          consequential loss,
      in each case however arising, even if advised of the
      possibility of such loss."

NOTE THE PHRASE "WHETHER DIRECT OR INDIRECT". Without it,
a court can find that loss of profit was a DIRECT loss on
the facts and therefore not caught by an exclusion of
"indirect loss including loss of profit". This is one of
the most consequential six words in commercial drafting.

NOTE THE CARVE-BACK IN (f). An absolute exclusion of data
loss is commercially unacceptable to most customers. The
"cost of restoring from backup" carve-back is a reasonable
and well-understood compromise.
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The liability cap

Cap formulation	What it means	Who it favours	Market?
"Fees paid in the **12 months preceding the event** giving rise to the claim"	A rolling 12-month look-back	Balanced — **the standard anchor**	**Yes, this is market**
"Fees paid under **this SOW**"	Caps per engagement rather than per relationship	Supplier	**Common and defensible for consulting**
"Total fees paid **under this Agreement**"	Grows with the relationship; after five years it is five years of fees	Customer	**Common; push for the 12-month version**
"The **greater of** ₹5,00,00,000 or fees paid"	A floor far above the contract value	Customer, heavily	**Not appropriate for a small supplier**
"**2× or 3×** fees paid in the preceding 12 months"	A multiplier	Customer	**Common for higher-risk engagements; survivable**
Uncapped	No limit	Customer, absolutely	**Never accept for general liability**
"**Aggregate**" vs "**per claim**"	Aggregate caps total exposure across all claims; per-claim resets with each one	Aggregate favours the supplier	**Always ask for aggregate.** A "per claim" cap of 12 months' fees with five claims is five times the exposure.

Carve-outs from the cap — the clause inside the clause

TEXT

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THE CARVE-OUT NEGOTIATION, FROM WORST TO BEST FOR A SUPPLIER

WORST (what customers ask for)
"14.3 The limitation in clause 14.2 does not apply to:
      (a) breach of confidentiality;
      (b) breach of data protection obligations;
      (c) breach of the security requirements in Schedule 4;
      (d) any indemnity given under clause 15;
      (e) any breach of applicable law;
      (f) fraud, wilful misconduct or gross negligence;
      (g) infringement of intellectual property rights;
      (h) death or personal injury caused by negligence;
      (i) the Customer's obligation to pay the Fees."

  >>> Items (a) to (g) cover essentially every realistic
      way you could cause loss. The cap is decorative.

BETTER (a realistic negotiated outcome)
"14.3 The limitation in clause 14.2 does not apply to:
      (a) death or personal injury caused by negligence;
      (b) fraud or fraudulent misrepresentation;
      (c) wilful misconduct;
      (d) the Customer's obligation to pay the Fees; or
      (e) any liability which cannot lawfully be limited.

 14.4 In respect of:
      (a) breach of clause 12 (Confidentiality);
      (b) breach of clause 13 (Data Protection) and
          Schedule 4 (Security); and
      (c) the indemnity in clause 15.1 (IP infringement),
      the Supplier's aggregate liability shall not exceed
      THREE (3) TIMES the Fees paid in the twelve (12)
      months preceding the event giving rise to the claim
      (the 'Super-Cap')."

  >>> The super-cap is the single most useful concept in
      this negotiation. It gives the customer meaningfully
      more protection for the risks they genuinely fear,
      while keeping your exposure finite and insurable.

BEST FOR A SMALL SUPPLIER (where you have leverage)
  Same as above, with the super-cap at 2x, plus:
  - an express statement that the super-cap is aggregate
    across all claims and all SOWs
  - an obligation on the Customer to mitigate
  - exclusion of liability for any claim notified more than
    12 months after the Customer became aware of it
    (NOTE: a time-bar clause may engage Section 28 of the
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    Indian Contract Act where the governing law is Indian –
    take advice)
  – the requirement that the Customer's insurance responds
    first where it covers the loss
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✕ **Check whether your insurance actually responds**

Professional indemnity policies commonly exclude **liability assumed under contract** that would not otherwise exist at law. If you accept an indemnity obligation far wider than your common-law liability, your insurer may decline. Before agreeing to a super-cap of three times fees for a data breach, ask your broker in writing: *"Does my cyber policy respond to a contractual indemnity for a third party's losses arising from a security incident, and at what limit?"* An uninsured contractual liability is a personal liability.

Indemnity — what it is and why it is different from damages

	Damages for breach	Indemnity
Requires a breach?	Yes	No — it is triggered by the defined event occurring
Must the claimant prove loss?	Yes	Generally yes, but the indemnity defines what is recoverable and can include defence costs and settlements
Duty to mitigate?	Yes	Often argued not to apply, or to apply differently — which is why you should add an express mitigation obligation
Remoteness rules apply?	Yes (Section 73)	The indemnity's own wording governs, which can be wider
Caught by the liability cap?	Yes, unless carved out	**Frequently carved out** — which is the whole problem
Covers legal costs?	Subject to the court's discretion	Usually yes, expressly — "defend, indemnify and hold harmless"

TEXT

A BALANCED IP INFRINGEMENT INDEMNITY

"15.1 The Supplier shall indemnify the Customer against direct losses, damages and reasonable legal costs finally awarded against the Customer, or agreed in settlement approved by the Supplier, arising from a third-party claim that the Deliverables, AS ORIGINALLY DELIVERED BY THE SUPPLIER AND USED IN ACCORDANCE WITH THIS AGREEMENT AND THE DOCUMENTATION, infringe that third party's copyright or trade secret rights [or, where agreed, patent rights] subsisting in India, the United States or the European Union.

15.2 Clause 15.1 does not apply to any claim to the extent arising from:
(a) any material, data, specification, instruction, design or requirement provided or directed by the Customer;
(b) any modification of the Deliverables by any person other than the Supplier;
(c) combination or use of the Deliverables with any product, service, data or system not supplied by the Supplier, where the claim would not have arisen but for such combination;
(d) use of the Deliverables other than in accordance with this Agreement or the documentation;
(e) any third-party or open-source component, which is supplied subject to its own licence terms as disclosed by the Supplier;
(f) continued use after the Supplier has notified the Customer to cease use and has offered a non-infringing alternative, a modification, or a refund under clause 15.4; or
(g) any Deliverable supplied at no charge.

15.3 CONDITIONS. The indemnity is conditional on the Customer:
(a) notifying the Supplier promptly in writing of the claim;
(b) giving the Supplier sole control of the defence and settlement, provided no settlement imposing a non-monetary obligation on the Customer is made without the Customer's consent;
(c) providing reasonable assistance at the Supplier's cost; and
(d) not making any admission of liability.

15.4 MITIGATION. If the Deliverables become, or in the

Supplier's reasonable opinion are likely to become, the subject of a claim under clause 15.1, the Supplier may at its option and cost: (a) procure the right for the Customer to continue using them; (b) modify or replace them so they are non-infringing while materially conforming to the specification; or (c) if neither is commercially reasonable, terminate the affected Deliverable and refund the Fees paid for it, depreciated on a straight-line basis over three years.

15.5 Clause 15 states the Supplier's entire liability and the Customer's sole and exclusive remedy for infringement of intellectual property rights."

THE SIX WORDS TO FIGHT FOR

"TO THE EXTENT ARISING FROM" in 15.2 — not "arising from". "To the extent" apportions; without it, a claim that is 10% caused by the customer's own specification may be argued to be wholly inside or wholly outside the carve-out.

THE GEOGRAPHIC LIMIT IN 15.1

"Subsisting in India, the United States or the European Union" prevents an indemnity against patent claims in jurisdictions you have never searched and cannot assess. Customers accept this more often than suppliers expect.

PATENTS

Resist including PATENT infringement in a software indemnity unless you have done a freedom-to-operate analysis. You cannot know whether code infringes an unknown patent, and software patent litigation costs millions. If the customer insists, cap it tightly.

Three worked negotiation outcomes

	Scenario A — small engagement	Scenario B — mid-market SaaS	Scenario C — enterprise, regulated client
Contract value	US$24,500 fixed-price consulting	US$120,000/year subscription	US$450,000/year managed service
Customer's opening position	Uncapped liability, uncapped IP and confidentiality indemnity, no exclusions	Cap at greater of US$1m or fees; data breach uncapped	Uncapped for data, security, confidentiality, IP, regulatory fines; US$10m insurance
What you argued	"A cap above the contract value makes the engagement uninsurable and commercially impossible for a sole practitioner."	"Our cyber policy responds to US$2m. A cap above our insurance transfers uninsured risk to a company of our size."	"We can meet your security requirements and we can insure to your limits. We cannot accept regulatory fines imposed on you, which we do not control."
Landed at	Aggregate cap = fees paid under the SOW (US$24,500). Carve-outs: death/injury, fraud, wilful misconduct. Super-cap of 2× fees for confidentiality breach and IP indemnity. No patent indemnity.	Aggregate cap = 12 months' fees. Super-cap of 3× annual fees for security and data protection breach, backed by the cyber policy. Standard carve-outs only.	Aggregate cap = 12 months' fees. Super-cap of 5× annual fees for data breach and confidentiality. Regulatory fines excluded **except** fines directly attributable to the supplier's breach, within the super-cap. IP indemnity limited to India/US/EU copyright and trade secrets. US$5m cyber and US$5m professional indemnity.
Time taken	Two emails	Three weeks, two calls	Four months, external counsel both sides, ~₹6 lakh of legal cost
Lesson	On small deals, the commercial-viability argument works because it is true	Anchor to your insurance limit — it is an objective, verifiable constraint	Budget legal cost into the price. At this value it is a cost of sale, not an overhead.

Data Protection in Contracts

Every software contract now carries a data protection layer. In India that is the **Digital Personal Data Protection Act 2023** and the Rules notified under it. If you serve EU customers, it is also the **GDPR**, which reaches you as a processor even though you are in Bengaluru. Both push a defined set of obligations into your contracts, and procurement teams will not sign without them.

The DPDP Rules are phasing in — verify which obligations bind you now
The DPDP Act 2023 was enacted in August 2023 but its substantive obligations depend on the Rules, which were notified in **late 2025** with **phased commencement** — different provisions taking effect at different intervals. Your actual compliance deadline depends on which phase applies. **Check the current notified Rules and commencement dates at meity.gov.in before relying on any statement about what is or is not yet in force.**

DPDP Act 2023 — the concepts that flow into contracts

Term	Meaning under the Act	Which are you?
Data Principal	The individual to whom the personal data relates (and, for a child, the parent or lawful guardian)	Your client's end users, your client's employees, your own employees
Data Fiduciary	Any person who alone or with others determines the **purpose and means** of processing personal data	Your client, usually. You, in respect of **your own** employees, leads and contacts.
Data Processor	Any person who processes personal data **on behalf of** a Data Fiduciary	**You, in respect of client data.** This is the role a consultant and a SaaS vendor normally occupy.
Significant Data Fiduciary	A Data Fiduciary notified by the Central Government based on volume and sensitivity of data, risk to rights, electoral democracy, security of the State and public order. Additional obligations: a Data Protection Officer **based in India**, an independent data auditor, periodic Data Protection Impact Assessment and audit.	Unlikely to be you; possibly your large client
Consent Manager	A registered entity enabling a Data Principal to give, manage, review and withdraw consent through an accessible, interoperable platform	A new Indian construct with no GDPR equivalent

Obligation	Section	What it requires	Contract consequence
Lawful basis	4, 6, 7	Processing only for a lawful purpose, with **consent** or for **certain legitimate uses** specified in Section 7. The DPDP Act's consent standard is free, specific, informed, unconditional and unambiguous, with a clear affirmative action.	The Data Fiduciary (your client) warrants it has a lawful basis; you process only on instructions
Notice	5	An itemised notice describing the personal data, the purpose, how to exercise rights and how to complain — available in English and the Eighth Schedule languages	Client's obligation; you may be asked to support it technically
Processor engagement	8(2)	A Data Fiduciary may engage a processor **only under a valid contract**	**This is the clause that makes a DPA mandatory in India.**
Security safeguards	8(5)	Reasonable security safeguards to prevent a personal data breach	A security schedule with specific, auditable controls
Breach notification	8(6)	Notify the **Data Protection Board** and each affected **Data Principal** in the event of a personal data breach, in the manner prescribed by the Rules	You must notify the client **without undue delay** and within a defined window — commonly 24 or 48 hours — so that the client can meet its own deadline
Erasure	8(7)	Erase personal data on withdrawal of consent or when the purpose is no longer being served, unless retention is required by law	Deletion obligations and timelines in the DPA, with a backup carve-out
Accuracy and completeness	8(3)	Ensure completeness, accuracy and consistency where used to make a decision affecting the	Flows to you where you transform or enrich data

		Data Principal or disclosed to another Fiduciary	
Children's data	9	Verifiable consent of a parent or lawful guardian for a Data Principal below **eighteen**; no tracking, behavioural monitoring or targeted advertising directed at children	If the client's product has under-18 users, this is a design constraint, not a contract clause
Cross-border transfer	16	The Act permits transfer outside India **except** to countries or territories notified as restricted by the Central Government — a **negative list** approach, materially different from GDPR's adequacy model	Simpler than GDPR, but check the notified list before committing to a hosting region
Penalties	Schedule	Up to **₹250 crore** (₹2,500,000,000) for failure to take reasonable security safeguards; up to **₹200 crore** for failure to notify a breach; up to **₹200 crore** for children's data breaches; up to **₹150 crore** for Significant Data Fiduciary obligations; up to **₹50 crore** for other breaches; up to **₹10,000** on a Data Principal for breach of their duties. **Verify the current Schedule.**	These numbers are why your client's legal team wants an uncapped data-breach indemnity. They are also why you must super-cap rather than accept uncapped.

⚠ **CERT-In directions sit alongside DPDP and are often forgotten**
The CERT-In directions of **28 April 2022**, issued under Section 70B(6) of the IT Act 2000, require reporting of specified cyber incidents to CERT-In **within six hours** of noticing them, maintenance of ICT system logs **for 180 days within India**, and synchronisation of system clocks to NPL or NIC NTP servers. These apply to service providers, intermediaries, data centres, body corporates and government organisations. They are an operational obligation that your security schedule should reflect. **Verify the current directions at cert-in.org.in.**

GDPR when you serve EU clients

Concept	GDPR	DPDP Act 2023	Practical difference for you
Roles	Controller / Processor / Joint controllers	Data Fiduciary / Data Processor; no express joint-fiduciary concept	Similar architecture; map your role the same way
Lawful bases	Six (consent, contract, legal obligation, vital interests, public task, legitimate interests)	Consent plus enumerated "legitimate uses" in Section 7; **no general legitimate-interests basis**	Indian processing is more consent-centric. A GDPR-style legitimate-interests assessment does not transfer.
Processor contract	**Article 28(3)** — a prescriptive list of mandatory terms	Section 8(2) requires a valid contract; the Rules prescribe details	An Article 28-compliant DPA generally satisfies both if supplemented with DPDP-specific terms
Breach notification	Controller to supervisory authority within **72 hours**; processor to controller **without undue delay**	Fiduciary to the Data Protection Board and to affected Data Principals, in the prescribed manner	Contract for the shorter of the two — commit to notifying the client within **24 hours** of becoming aware
International transfers	Chapter V — adequacy decision, Standard Contractual Clauses, Binding Corporate Rules, or an Article 49 derogation. **India has no adequacy decision**, so EU-to-India transfers need SCCs plus a transfer impact assessment.	Section 16 — permitted except to notified restricted countries	**Your EU clients will send you SCCs. Expect Module Two (controller to processor) and expect to complete Annexes I, II and III.**
Data subject rights	Access, rectification, erasure, restriction, portability, objection, automated decision-making	Access, correction and erasure, grievance redressal, nomination	Your DPA must commit to assisting the client with requests, within a stated time

Penalties	Up to the higher of €20 million or 4% of global annual turnover	Up to ₹250 crore per the Schedule	Both are far above any contract value you will sign. Hence the super-cap negotiation.
DPO	Required in defined cases (Article 37)	Required for Significant Data Fiduciaries, who must have a DPO **based in India**	Nominate a privacy contact even if not legally required — procurement asks for one

A worked DPA clause set

TEXT

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DATA PROCESSING ADDENDUM (extract)
To the Master Services Agreement dated 12 November 2025
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1.  DEFINITIONS
1.1 "Applicable Data Protection Law" means, as applicable:
    the Digital Personal Data Protection Act, 2023 and the
    rules made under it; the Information Technology Act,
    2000 and rules made under it including the CERT-In
    directions; Regulation (EU) 2016/679 (GDPR); and the UK
    GDPR and Data Protection Act 2018.
1.2 "Customer Personal Data" means personal data contained
    in Customer Data which the Supplier processes on behalf
    of the Customer under the Agreement.
1.3 The terms "personal data", "processing", "data
    subject", "controller", "processor", "personal data
    breach", "Data Principal", "Data Fiduciary" and "Data
    Processor" have the meanings given in Applicable Data
    Protection Law.

2.  ROLES
2.1 In respect of Customer Personal Data, the Customer is
    the controller / Data Fiduciary and the Supplier is the
    processor / Data Processor.
2.2 The Customer warrants that it has a lawful basis for
    the processing it instructs, has provided all required
    notices to Data Principals, and has obtained all
    required consents.

3.  PROCESSING INSTRUCTIONS
3.1 The Supplier shall process Customer Personal Data only:
    (a) on the Customer's documented instructions, including
        as set out in Annex 1 (Details of Processing);
    (b) as necessary to provide the Services; and
    (c) as required by law, in which case the Supplier shall
        inform the Customer of that legal requirement before
        processing, unless prohibited from doing so.
3.2 The Supplier shall notify the Customer if, in its
    opinion, an instruction infringes Applicable Data
    Protection Law.
3.3 The Supplier shall NOT:
    (a) sell, rent or otherwise monetise Customer Personal
        Data;
    (b) use Customer Personal Data to train, fine-tune,
        evaluate or improve any machine learning model,
        whether the Supplier's own or a third party's;
    (c) combine Customer Personal Data with data from any
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other source except as instructed; or
(d) process Customer Personal Data for any purpose other than providing the Services.

4. CONFIDENTIALITY AND PERSONNEL

4.1 The Supplier shall ensure that persons authorised to process Customer Personal Data are bound by confidentiality obligations, have received appropriate training, and are subject to least-privilege access controls reviewed at least quarterly.

5. SECURITY

5.1 The Supplier shall implement and maintain the technical and organisational measures set out in Annex 2 (Security Measures), which shall at all times be appropriate to the risk and shall not be degraded during the Term.

6. SUB-PROCESSORS

6.1 The Customer grants a general authorisation to the Supplier to engage the sub-processors listed in Annex 3.

6.2 The Supplier shall give the Customer at least THIRTY (30) days' prior written notice of the addition or replacement of any sub-processor. The Customer may object on reasonable data protection grounds within that period, in which case the Parties shall discuss in good faith; if no resolution is reached, the Customer may terminate the affected Services without penalty and with a pro-rata refund of prepaid Fees.

6.3 The Supplier shall impose on each sub-processor data protection obligations no less protective than those in this Addendum and remains fully liable to the Customer for the sub-processor's performance.

7. DATA SUBJECT AND DATA PRINCIPAL REQUESTS

7.1 The Supplier shall not respond to a request from a data subject or Data Principal relating to Customer Personal Data except on the Customer's instructions or as required by law.

7.2 The Supplier shall notify the Customer within FIVE (5) business days of receiving such a request and shall provide reasonable assistance, taking into account the nature of the processing, to enable the Customer to respond within the period required by Applicable Data Protection Law.

8. PERSONAL DATA BREACH

8.1 The Supplier shall notify the Customer WITHOUT UNDUE DELAY, AND IN ANY EVENT WITHIN TWENTY-FOUR (24) HOURS,

of becoming aware of a personal data breach affecting Customer Personal Data.

8.2 The notification shall include, to the extent known: the nature of the breach; the categories and approximate number of Data Principals and records affected; the likely consequences; the measures taken or proposed; and a point of contact. Where the information is not available at the time, the Supplier shall provide it in phases without undue further delay.

8.3 The Supplier shall provide all reasonable cooperation to enable the Customer to meet its own notification obligations to the Data Protection Board, to supervisory authorities, and to Data Principals, and shall not make any public statement about the breach identifying the Customer without the Customer's prior written consent, save where required by law.

8.4 The Supplier shall comply with its own obligations to report cyber incidents to CERT-In under the directions issued under section 70B(6) of the Information Technology Act, 2000.

9. AUDIT AND INFORMATION

9.1 The Supplier shall make available to the Customer, annually on request, its most recent SOC 2 Type II report (or equivalent) and a completed security questionnaire.

9.2 Where the documentation in clause 9.1 is insufficient for the Customer to demonstrate compliance, or following a personal data breach, the Customer (or an independent auditor appointed by it and bound by confidentiality) may audit the Supplier on thirty (30) days' notice, not more than once in any twelve (12) month period, during business hours, at the Customer's cost, without access to other customers' data.

10. INTERNATIONAL TRANSFERS

10.1 The Supplier processes Customer Personal Data in India and in the regions listed in Annex 1.

10.2 Where Customer Personal Data originating in the European Economic Area or the United Kingdom is transferred to the Supplier, the Parties shall enter into the Standard Contractual Clauses adopted by Commission Implementing Decision (EU) 2021/914, Module Two (controller to processor), which are incorporated by reference and completed as set out in Annex 4, and (for UK data) the UK International Data Transfer Addendum.

10.3 The Supplier shall not transfer Customer Personal Data to any country or territory notified as restricted

under section 16 of the Digital Personal Data Protection Act, 2023.

11. DELETION AND RETURN

11.1 On termination or expiry, and on the Customer's written request within thirty (30) days, the Supplier shall return Customer Personal Data in the format specified in Annex 1 and shall thereafter delete all copies within thirty (30) days, save for:

(a) copies in routine automated backups, which shall be deleted in the ordinary backup cycle not exceeding ninety (90) days and shall remain subject to this Addendum until deleted; and

(b) copies required to be retained by law, which shall remain subject to this Addendum.

11.2 The Supplier shall certify deletion in writing on request.

ANNEX 1 – DETAILS OF PROCESSING

Subject matter	Provision of the Services
Duration	The Term, plus the deletion period
Nature and purpose	Hosting, retrieval, indexing, analysis and support
Categories of data	Name, work email, job title, IP address, usage telemetry, content of documents uploaded by Authorised Users
Special categories	None permitted without prior written agreement and additional safeguards
Data Principals	Customer's employees, contractors and end users
Processing regions	India (ap-south-1), European Union (eu-west-1)
Return format	Newline-delimited JSON plus original binary objects

ANNEX 2 – SECURITY MEASURES [list specific, auditable controls: TLS 1.2+, AES-256 at rest, MFA, SSO, RBAC, quarterly access review, 180-day log retention in India, annual penetration test, patching SLA by severity, documented incident response plan, background screening]

ANNEX 3 – APPROVED SUB-PROCESSORS [name, role, location]

ANNEX 4 – SCC ANNEXES I, II AND III

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✦ **Clause 3.3(b) is the one enterprise buyers look for first**

An explicit, unambiguous commitment that customer data will not be used to train any model — yours or a third party's — resolves the single biggest objection in enterprise AI procurement today. If you cannot make that commitment because of how your product works, say so plainly and offer an opt-out and a contractual description of exactly what you do. Vagueness is read as evasion.

Dispute Resolution

The dispute resolution clause is drafted when everyone is friendly and read when nobody is. For a small Indian supplier, the practical question is not "which forum is most sophisticated" but "which forum can I actually afford to use for a claim of this size".

⚠ **Arbitration law reform — verify before drafting**

The **Arbitration and Conciliation Act 1996** has been amended several times (notably 2015, 2019 and 2021) and a substantial further overhaul has been under active consideration. The **Mediation Act 2023** has also been enacted, with provisions commencing by notification. **Confirm the provisions currently in force at indiacode.nic.in before drafting or relying on any clause in this section.**

The escalation ladder

Negotiation → **Executive escalation** → **Mediation** → **Arbitration or litigation** → **Enforcement**

TEXT

A COMPLETE DISPUTE RESOLUTION CLAUSE

"20. GOVERNING LAW AND DISPUTE RESOLUTION

20.1 This Agreement and any dispute or claim arising out of or in connection with it, including any non-contractual obligation, is governed by and construed in accordance with the laws of [India / Singapore].

20.2 ESCALATION. In the event of any dispute, a Party shall give written notice to the other describing the dispute and the relief sought. Representatives of each Party with authority to settle shall meet (in person or by video) within ten (10) business days and attempt in good faith to resolve it. If unresolved after a further fifteen (15) business days, the dispute shall be escalated to a senior executive of each Party, who shall meet within a further ten (10) business days.

20.3 MEDIATION. If the dispute is not resolved within forty (40) business days of the notice under clause 20.2, either Party may refer it to mediation administered by [the Mumbai Centre for International Arbitration / the Singapore International Mediation Centre] under its mediation rules. The mediation shall be conducted in English and shall conclude within sixty (60) days of appointment of the mediator unless extended by agreement.

20.4 ARBITRATION. Any dispute not resolved under clauses 20.2 and 20.3 shall be referred to and finally resolved by arbitration administered by [the Mumbai Centre for International Arbitration / the Singapore International Arbitration Centre] in accordance with its Arbitration Rules in force at the commencement of the arbitration, which Rules are deemed incorporated by reference.

(a) The SEAT of the arbitration shall be [Mumbai, India / Singapore].

(b) The VENUE of hearings may be any location agreed by the Parties or determined by the tribunal, including by video conference, without affecting the seat.

(c) The tribunal shall consist of ONE (1) arbitrator.

(d) The language of the arbitration shall be ENGLISH.

(e) The award shall be final and binding, and judgment on the award may be entered in any court of competent jurisdiction.

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      (f) The tribunal may award costs, including legal
          costs, on such basis as it considers appropriate.
      (g) The Parties shall keep the arbitration and the
          award confidential, save as required by law or to
          enforce the award.

20.5  INTERIM RELIEF. Nothing in this clause prevents a
      Party from seeking urgent injunctive or other interim
      relief from any court of competent jurisdiction,
      including under section 9 of the Arbitration and
      Conciliation Act, 1996 where the seat is in India.

20.6  CONTINUED PERFORMANCE. Each Party shall continue to
      perform its obligations during any dispute, provided
      that nothing in this clause limits the Supplier's
      right to suspend the Services for non-payment under
      clause 6.6."
```

Seat versus venue — the distinction that decides everything

SEAT

The **legal** home of the arbitration. It determines the procedural law governing the arbitration, which courts have supervisory jurisdiction (appointment of arbitrators, interim relief, challenges to the award), and whether the award is domestic or foreign for enforcement purposes. **This is the one that matters.**

VENUE

The **physical** place where hearings happen. Purely practical. A Singapore-seated arbitration can hold all its hearings by video with participants in Bengaluru and San Francisco. Say so expressly, so nobody argues that the venue implicitly changed the seat.

✕ **Never write "the arbitration shall be held in Singapore" and leave it at that**
Ambiguity about whether a reference to a place designates the seat or merely the venue has generated an enormous volume of Indian litigation. Use the words "**the seat of the arbitration shall be X**" and "**the venue of hearings may be anywhere agreed, including by video conference, without affecting the seat**". Two sentences; years of argument avoided.

Institutional versus ad hoc

	Institutional	Ad hoc
Rules	The institution's rules apply automatically	The Arbitration and Conciliation Act 1996 applies; the parties and tribunal design the procedure
Appointment	The institution appoints if the parties cannot agree	Court application under Section 11 if the parties cannot agree — slow
Fees	Published schedules, usually ad valorem; institution administers payment	Negotiated directly with the arbitrator; the Fourth Schedule to the Act provides a model fee scale
Administration	Secretariat handles scheduling, deposits, communications	The parties and tribunal do it
Scrutiny of the award	Some institutions (notably ICC) scrutinise the draft award	None
Predictability	High	Variable
Cost for a small claim	Institutional fees add up; some institutions have expedited procedures with reduced fees for small claims	Can be cheaper if the arbitrator's fee is modest
Recommendation	**Institutional, with a sole arbitrator, and an expedited procedure where the claim is below the institution's threshold.** Ad hoc arbitration between parties who are already fighting tends to produce a second fight about procedure.	

Institution	Seat typically used	Suited to	Notes
MCIA (Mumbai Centre for International Arbitration)	Mumbai	India-seated commercial disputes	Modern rules, emergency arbitrator, expedited procedure. Good default for an Indian-law contract.
DIAC (Delhi International Arbitration Centre)	New Delhi	India-seated disputes	Attached to the Delhi High Court
IAMC Hyderabad	Hyderabad	India-seated disputes	Newer institution with modern facilities
SIAC (Singapore International Arbitration Centre)	Singapore	Cross-border Asia-Pacific	The most common neutral choice for India–US and India–Asia contracts. Well-regarded, enforceable, English-language. Expensive for small claims.
ICC	Paris, Singapore, London or anywhere	High-value cross-border	Award scrutiny; highest cost; usually disproportionate below US$1 million
LCIA	London	Cross-border with a European nexus	Hourly-rate based fees rather than ad valorem

Key provisions of the Arbitration and Conciliation Act 1996

Section	What it does	Why you care
7	Defines an arbitration agreement; must be **in writing**, including in an exchange of letters or electronic communication	An arbitration clause in an email chain can be valid
8	A judicial authority before which an action is brought in a matter subject to an arbitration agreement shall refer the parties to arbitration	Your arbitration clause stops the other side suing you in court
9	Interim measures by a court, before or during arbitration or after an award but before enforcement	How you freeze assets or get an injunction quickly
11	Appointment of arbitrators by the court where the parties fail to agree	The slow route you avoid by choosing an institution
12 + Fifth and Seventh Schedules	Disclosure of circumstances affecting independence and impartiality; the Seventh Schedule lists relationships that make a person **ineligible** to be an arbitrator	A clause naming the client's own managing director as arbitrator is void. This was a common Indian practice and is no longer permissible.
16	**Kompetenz-kompetenz** — the tribunal may rule on its own jurisdiction, including the existence or validity of the arbitration agreement	Challenges to the clause are decided by the tribunal first
17	Interim measures by the tribunal, enforceable as an order of the court	Once constituted, go to the tribunal rather than the court
23(4)	Statement of claim and defence to be completed within **six months** from the date the arbitrators receive notice of appointment	A statutory pleading timetable
29A	Award to be made within **twelve months** from the date of completion of pleadings, extendable by **six months** by consent of the parties, and beyond that only by the court	The provision that transformed Indian arbitration from indefinite to time-bound. **Verify the current text.**
31A	Costs — the general rule is that the unsuccessful party pays	Makes a strong claim worth bringing

34	Setting aside an award — narrow grounds including incapacity, invalid agreement, lack of notice, excess of jurisdiction, improper composition, non-arbitrability, and conflict with the public policy of India. Application within **three months**, extendable by a further thirty days on sufficient cause.	The award is hard to overturn, which is the point
36	Enforcement of a domestic award as a decree of the court	How you actually get paid
44–52	Part II — enforcement of **foreign awards** under the **New York Convention 1958**. India is a party, with a reciprocity reservation — the award must be made in a territory notified by the Central Government as a reciprocating territory. Section 48 sets out the limited grounds for refusing enforcement.	**A SIAC award is enforceable in India.** Check the notification status of the seat country before choosing it.

Litigation in commercial courts

Element	Position under the Commercial Courts Act 2015
What qualifies	A "commercial dispute" as defined in Section 2(1)(c) — a long list including ordinary transactions of merchants, export/import, service agreements, intellectual property, joint ventures, and agreements for the sale of goods or provision of services
Specified value	**₹3,00,000** (₹300,000) and above, following the 2018 amendment. **Verify the current threshold.**
Pre-institution mediation — Section 12A	**Mandatory** before instituting a suit that does not contemplate urgent interim relief. The Supreme Court has held this requirement to be mandatory, with non-compliance leading to rejection of the plaint. Conducted under the Legal Services Authorities framework, to be completed within **three months**, extendable by **two months** with the parties' consent.
Procedural discipline	The Act amends the Civil Procedure Code for commercial suits: written statement within 30 days, extendable to a maximum of **120 days** with the right to file thereafter forfeited; mandatory case management hearings; disclosure and inspection of documents; summary judgment; costs following the event
Realistic timeline	Two to five years at first instance, longer with appeals. Faster than the general civil courts, slower than arbitration.
Realistic cost	Court fees are ad valorem and state-specific. Advocate's fees for a commercial suit of moderate value: ₹2,00,000–₹15,00,000 through trial.

⚠ **Section 12A pre-institution mediation is a trap for the unwary**
If you file a commercial suit without first attempting pre-institution mediation, and without genuinely contemplating urgent interim relief, your plaint can be rejected — after you have paid court fees and lost months. Some litigants have sought to manufacture an "urgent interim relief" prayer to bypass it; courts look at substance. **Build the three to five months of mediation into your dispute timeline from the outset, and take advice before filing.**

A realistic view of time and cost

Route	Realistic cost	Realistic time	Economic break-even
Formal demand letter from an advocate	₹10,000–₹50,000	2–4 weeks	**Any amount above ₹1 lakh.** This alone resolves a surprising proportion of disputes.
MSME Samadhaan (if you are Udyam-registered and the buyer is Indian)	Free to file	Statutory target 90 days; practically 4–18 months	Any amount
Section 138 NI Act (bounced cheque)	₹25,000–₹1,50,000	1–4 years, but the threat often works in weeks	₹2 lakh
Summary suit (Order XXXVII CPC)	₹75,000–₹4,00,000 plus court fees	1–3 years	₹8 lakh
Commercial court suit	₹2,00,000–₹15,00,000 plus court fees	2–5 years	₹25 lakh
India-seated institutional arbitration, sole arbitrator	₹3,00,000–₹20,00,000 including arbitrator and institutional fees	12–24 months	₹25 lakh
SIAC arbitration, sole arbitrator, expedited	**US$25,000–US$100,000**	6–12 months	**US$150,000.** Below that the process costs more than the claim.
ICC arbitration, three arbitrators	**US$150,000–US$1,000,000+**	18–36 months	US$2 million

The uncomfortable truth about dispute clauses in small contracts

A SIAC arbitration clause in a US$30,000 consulting agreement is not a remedy; it is a deterrent and a bargaining chip in a demand letter. If your typical engagement is below US$100,000, your **real** dispute protections are structural, not procedural: an advance payment, milestone gating, a suspension right, an IP assignment conditional on payment, and short payment terms. Negotiate those hard and treat the arbitration clause as insurance you hope never to claim on.

Documents You Will Meet

Beyond the services stack, a technology career throws up a recurring set of documents. You do not need to draft them, but you need to recognise what each is for and which two or three clauses in each carry the risk.

Founders' agreement

Clause	Why it exists	What to get right
Equity split	Who owns what	Write it down on day one, not "later when we raise". Unrecorded splits are the single most common cause of founder disputes.
Vesting and cliff	Protects the company if a founder leaves early	Four years with a one-year cliff is market. Apply it to **all** founders including yourself. Specify what happens on good leaver / bad leaver.
Roles and decision-making	Who decides what	List reserved matters requiring unanimity (raising capital, selling the company, taking debt, issuing equity, changing the business) and leave everything else to the CEO.
IP assignment	Ensures the company, not the individuals, owns the product	**Critical.** Each founder assigns all pre-existing and ongoing relevant IP to the company in writing, Section 19-compliant. Investors will check this first at diligence.
Commitment	Full-time or not	State expected time commitment and what happens if a founder reduces it
Departure	What happens when someone leaves	Buy-back rights at a stated valuation mechanism; return of unvested equity; handover; continuing confidentiality
Deadlock	Two 50/50 founders who disagree	A casting vote, an odd-numbered board, a mediator, or a shoot-out mechanism. Decide before you need it.

Shareholders' agreement — the clauses that matter

Clause	Effect
Pre-emption rights	Existing shareholders may subscribe pro rata before new shares are issued to a third party — protects against dilution
Right of first refusal / right of first offer	A shareholder wishing to sell must first offer to the others
Tag-along	If a majority holder sells, minority holders may require the buyer to take their shares on the same terms — **minority protection**
Drag-along	If holders of a specified majority agree to sell, they may compel the minority to sell too — **enables an exit**; check the threshold and the price protections
Liquidation preference	Investors get their money back (1×, or a multiple) before ordinary shareholders on an exit; "participating" preference means they also share in the balance
Anti-dilution	Adjusts the investor's conversion ratio if a later round is priced lower. **Broad-based weighted average** is founder-friendly; **full ratchet** is brutal.
Reserved matters / affirmative vote items	Decisions requiring investor consent. A long list gives an investor effective veto over operations.
Board composition and observer rights	Who sits on the board and who may attend
Information rights	Monthly or quarterly financials, annual budget, cap table
Founder lock-in and non-compete	Founders commit to stay; note that a post-exit non-compete between **business** parties in a share sale may be analysed differently from an employment non-compete, and Exception 1 to Section 27 saves goodwill-sale restraints within reasonable limits
Exit	IPO or sale obligations, timelines, and what happens if no exit occurs by a date

⚠ **Shareholders' agreements require specialist advice**
The interaction between a shareholders' agreement, the articles of association, the Companies Act 2013 and — where a foreign investor is involved — FEMA and the Non-Debt Instruments Rules is complex, and some commonly used terms require careful structuring to be enforceable in India. **Do not negotiate a term sheet without a corporate lawyer.**

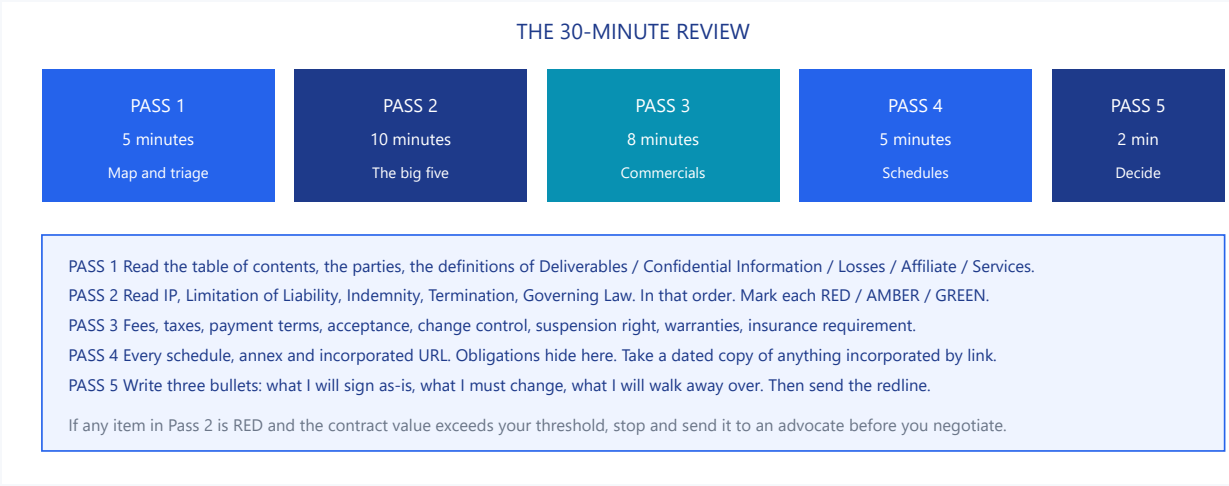
Other documents, briefly

Document	What it is for	The clause that carries the risk
Vendor agreement (you buying)	Buying software, infrastructure or services	Auto-renewal and price escalation; data deletion on exit; the vendor's liability cap, which will be low
Reseller agreement	A partner sells your product in a territory	Exclusivity (resist it, or make it conditional on minimum volumes); who owns the customer relationship; termination and what happens to in-flight customers
Referral agreement	A partner introduces leads for a fee	What triggers the fee, how long the attribution window lasts, and whether the fee is one-off or recurring. Note the **GST intermediary** analysis if the referrer is in India and the client is abroad.
Partner / systems integrator agreement	Joint delivery into a shared customer	Who is prime and who is sub; back-to-back flow-down of obligations; joint liability to the customer; non-solicit of each other's customers
Consulting-to-hire	A trial period before employment	Conversion fee; whether consulting IP transfers on conversion; whether consulting time counts for vesting or seniority
Secondment agreement	Your employee works at a client's site under their direction	**High misclassification and permanent-establishment risk.** Clarify who directs the work, who pays, and who is liable. Take tax advice — a secondment to a foreign entity can create a PE for them and a withholding question for you.
Website terms of use	Governs visitors' use of your site	Acceptable use, disclaimer of warranties, limitation of liability, governing law, and a mechanism for changes
Privacy policy	The DPDP Act notice and GDPR Article 13/14 information	Must describe actual practice. A policy that promises what you do not do is a misrepresentation and a regulatory exposure.
E-commerce and consumer obligations	Selling to consumers in India	The **Consumer Protection Act 2019** and the **Consumer Protection (E-Commerce) Rules 2020** impose disclosure, grievance-officer, country-of-origin, refund and unfair-trade-practice obligations. Unfair contract terms can be challenged. **Verify current requirements.**

Intermediary obligations	If your platform hosts third-party content	Section 79 of the IT Act 2000 safe harbour is conditional on compliance with the **IT (Intermediary Guidelines and Digital Media Ethics Code) Rules 2021** — publishing rules, appointing a grievance officer, acknowledging complaints within a prescribed time, and removing content on a court or government order within the prescribed period. **Verify the current Rules at meity.gov.in.**

Reading a Contract Fast

A repeatable thirty-minute method beats an unstructured three-hour read, because it is the **same** thirty minutes every time, which means you stop missing the same things. Here is the method, the redline conventions, and a risk-rating scheme you can apply consistently.



Same five passes, same order, every time. Consistency is what stops you missing things.

Pass 2 in detail — the questions to ask of each of the big five

Clause	The six questions
IP	(1) What exactly is assigned — read the definition, not the clause. (2) Is there a **Background IP** carve-out, and is there a schedule listing yours? (3) Is the assignment conditional on **payment in full**? (4) Is there a **licence-back** of your background IP, and is it limited to use as embedded in the deliverables? (5) Is there a **residual knowledge / general skills** reservation? (6) Are third-party and open-source components dealt with?
Limitation of liability	(1) Is there a cap at all? (2) Is it **aggregate** or per claim? (3) What is the measure — 12 months' fees, total fees, a fixed sum, a multiple? (4) Is loss of profit, revenue, data and goodwill excluded **whether direct or indirect**? (5) What are the **carve-outs**, and do they swallow the cap? (6) Is it **mutual**?
Indemnity	(1) Who indemnifies whom, and is it mutual? (2) What triggers it — IP infringement, confidentiality, data, breach of law, "any breach"? (3) Is it carved out of the cap or super-capped? (4) Are there **carve-outs** for client-supplied materials, modifications, combinations and open source, and do they say "**to the extent**"? (5) Who controls the defence and settlement? (6) Does it cover patents, and have you done any freedom-to-operate work?
Termination	(1) Can either side terminate for convenience, and on what notice? (2) Is it mutual? (3) Do you get paid for work performed and non-cancellable commitments? (4) Is there a kill fee on fixed-price work? (5) What survives? (6) What are your obligations on exit — transition assistance, data return, and is it paid?
Governing law and disputes	(1) Which law? (2) Courts or arbitration? (3) If arbitration: institution, **seat**, number of arbitrators, language, expedited procedure? (4) Can you afford to use it for a claim the size of this contract? (5) Is there a carve-out for urgent interim relief? (6) Is there an escalation or mandatory mediation step, and have you diarised the timelines?

A risk-rating scheme you can apply consistently

Rating	Definition	Action
RED	Could cause loss materially exceeding the contract value, or is uninsurable, or removes a protection you rely on in every engagement	**Must change before signature.** Escalate to an advocate if the counterparty refuses. Be prepared to walk away.
AMBER	Unfavourable but survivable; increases cost, administrative burden or risk within tolerable bounds	Ask for the change. Trade it away if you must. Record the decision.
GREEN	Market standard, or favourable, or immaterial	Accept without comment. **Do not redline green items** — it dilutes your red ones and makes you look inexperienced.

✦ **The single most effective negotiating discipline**
Redline **only** the red and amber items, and never more than about eight points on a first pass. A document returned with ninety tracked changes signals that you have no priorities, triggers a full legal review on their side, and adds three weeks. A document returned with six precisely reasoned changes gets signed.

Redline conventions

- ☐ Use **tracked changes** in Word. Never send an untracked redraft — it reads as an attempt to slip something through, and it is the fastest way to lose trust.
- ☐ Add a **comment** explaining the reason for each change in one sentence. "Aligning the cap with our insurance limit" is persuasive. A silent deletion is not.
- ☐ Propose **replacement language**, not just a deletion. "Delete clause 14.3" invites a fight; offering a drafted super-cap gives them something to accept.
- ☐ Send a short **covering email** that lists your changes in order of importance, flags which two are essential, and explicitly says you are flexible on the rest. This frames the whole negotiation.
- ☐ Keep every version. Name them `Counterparty-MSA-v3-YourName-markup-2026-03-04.docx`.
- ☐ When you accept a change, **accept it cleanly** and say so, so the other side can see progress.

- [ ] Produce a **clean final** with all changes accepted before signature, and read it once more in clean form. Tracked-change documents hide errors.

A worked review of a problematic clause set

TEXT

RECEIVED — A CLIENT'S "STANDARD" CONSULTING TERMS (extract)

"8.1 All intellectual property conceived, created or developed by the Consultant during the Term, whether or not during working hours and whether or not using Company resources, shall be the sole and exclusive property of the Company.

9.1 The Consultant shall defend, indemnify and hold harmless the Company, its affiliates, officers, directors, employees and agents from and against any and all claims, losses, damages, liabilities, costs and expenses (including attorneys' fees) arising out of or relating to the Services or the Deliverables.

10.1 The Consultant's liability under this Agreement shall be unlimited.

11.1 The Company may terminate this Agreement at any time for any reason upon written notice, whereupon the Company shall have no further payment obligation.

12.1 For a period of twenty-four (24) months following termination, the Consultant shall not provide services of any kind to any business engaged in the provision of software or data services.

13.1 This Agreement shall be governed by the laws of the State of New York. Any dispute shall be resolved exclusively in the state or federal courts located in New York County, New York."

MY REVIEW

8.1 RED. Claims my entire creative output for the term, including my reusable libraries and anything I build on weekends unrelated to this engagement. Also fails to condition the transfer on payment.

9.1 RED. An unlimited, non-mutual indemnity covering "any and all claims ... arising out of or relating to the Services" — which is everything, including claims caused entirely by the Company's own instructions, data or modifications. There is no control-of-defence

provision and no requirement that a settlement be approved by me.

10.1 RED. Unlimited liability on a US$24,500 engagement. Uninsurable. Commercially impossible.

11.1 RED. Termination for convenience with NO payment for work performed. I could deliver four of five phases and receive nothing.

12.1 RED. A 24-month restraint covering "software or data services" would prevent me practising my profession entirely. Void under section 27 of the Indian Contract Act 1872 if Indian law applied - but clause 13.1 means New York law applies, where reasonable restraints can be enforced. So I cannot rely on section 27.

13.1 AMBER-RED. New York law and exclusive New York courts make any claim by me economically impossible and make every other clause one-sided in practice. It also makes clause 12.1 a live risk rather than a dead letter.

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MY REDLINE AND COVERING EMAIL

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Subject: Consulting terms - six points, two of which are essential

Hi Jordan,

Tracked changes attached. Six points. Two are essential for me and the other four I'm flexible on - I've said which.

ESSENTIAL

1. Clause 10.1 (unlimited liability) → aggregate cap at the fees paid under the relevant SOW, with the usual carve-outs for fraud, wilful misconduct and death or personal injury, and a super-cap of 2x fees for breach of confidentiality and the IP indemnity.
   REASON: my professional indemnity policy responds to INR 2 crore. A cap above my insurance transfers uninsured risk to a sole practitioner, and I would be signing something I cannot perform. This is the one point I cannot move on.

2. Clause 9.1 (indemnity) → narrowed to third-party claims

that the Deliverables as originally delivered infringe copyright or trade secret rights, with carve-outs (to the extent arising from) for Northwind-supplied materials and instructions, modifications by others, combinations, use outside the documentation, and third-party/open-source components. Added control of defence and a requirement that settlements imposing obligations on Northwind need your consent. Made it mutual.
REASON: as drafted I am insuring Northwind against claims caused by Northwind's own data and specifications, which I cannot assess or control.

IMPORTANT, BUT NEGOTIABLE

3. Clause 8.1 (IP) → narrowed to deliverables created specifically for Northwind under a SOW; added a Schedule 3 listing my pre-existing tools; added a perpetual royalty-free licence to you for those tools as embedded in the deliverables; made the assignment effective on payment in full.
   REASON: Schedule 3 lists the evaluation harness I bring to every engagement. As drafted I would be assigning it to you, which means I could not use it again - including on your next project.
   NOTE: Indian copyright law requires an assignment to be in writing specifying the work, rights, duration and territory. I've added that language so the assignment is actually effective under my local law - this protects you as much as me.

4. Clause 11.1 (termination) → kept your termination for convenience on 30 days' notice, added payment for work performed and non-cancellable commitments to the termination date, plus 25% of the unperformed balance on a fixed-price SOW.
   REASON: as drafted you could terminate in week four of a five-week fixed-price engagement having received all the value and paid 30%.

5. Clause 12.1 (restraint) → deleted, replaced with a mutual 12-month non-solicit of each other's clients and personnel, with a general-advertisement carve-out. My confidentiality obligation in clause 7 already prevents me using anything of yours.
   REASON: a 24-month bar on "software or data services" would stop me working at all. I cannot sign it.

6. Clause 13.1 (law and forum) → I've proposed Singapore law with SIAC arbitration, sole arbitrator, English,

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   expedited procedure, with a carve-out for urgent interim
   relief anywhere. If New York law is a hard requirement
   on your side I can live with it, provided clause 12.1
   is deleted as above.

Happy to jump on a call for fifteen minutes if that's
faster than email. I'd rather resolve this quickly - I have
capacity from 2 March and would like to hold it for you.

Ananya

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WHY THIS EMAIL WORKS
  - Six points, not sixty.
  - Priorities stated explicitly. They know where to spend
    their legal budget.
  - Every change has a one-line REASON framed as a problem,
    not as a preference.
  - Point 3 reframes a self-interested change as protecting
    THEM (an invalid assignment is their problem too).
  - Point 6 offers a trade: they can keep New York law if
    they drop the restraint.
  - It closes with urgency that is real and a reason to
    move.
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Negotiating Contracts Without a Lawyer in the Room

Most of your contract negotiations will be conducted by you, by email, against a counterparty who has a lawyer. That is survivable if you prepare properly, know your three walk-away points, and trade rather than concede.

Preparation

1. **Know your walk-away points before the first email.**
   Write them down. For most consultants they are: a liability cap at or near contract value, no assignment of background IP, and payment for work performed on termination. Three is the right number — more than that and you cannot hold the line on any of them.

2. **Know your insurance limits.**
   They are an objective, verifiable constraint and the single most persuasive argument available to a small supplier. "I cannot accept a cap above my cover" is a fact, not a position.

3. **Know what the deal is worth to you.**
   If it is 60% of next year's revenue you will concede more than if it is 8%. Be honest with yourself about that before you start, because the other side will sense it either way.

4. **Know what the deal is worth to them.**
   Who inside the client needs this done, and by when? A sponsor with a deadline is your strongest ally against their own legal team.

5. **Have your own template ready.**
   If you move first with your paper, you negotiate from your positions. The party whose template is used wins roughly 70% of the marginal points by default.

6. **Decide your concession ladder.**
   List, in advance, what you will give in exchange for each of your three essentials.

The "I can agree to that if..." formula

TEXT

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NEVER SAY "NO". SAY "YES, IF".

"I can agree to [their ask] IF [your condition]."

WORKED EXAMPLES

Ask:  "We need a 3x fees liability cap."
Say:  "I can agree to a 3x cap IF it is aggregate across all
       SOWs and the carve-outs are limited to fraud, wilful
       misconduct and death or personal injury - so the cap
       is real rather than nominal."

Ask:  "We need you to indemnify us for IP infringement with
       no cap."
Say:  "I can agree to an uncapped IP indemnity IF it is
       limited to my original contributions, excludes
       anything arising from your specifications, your data,
       modifications by others, combinations, and
       open-source components, and excludes patents. If you
       need patents included, I'd need a 2x super-cap
       instead of uncapped."

Ask:  "Net 60 payment terms, it's our policy."
Say:  "I can work with net 60 IF we add a 4% premium to the
       rate to cover the financing cost, or IF there's a
       30% mobilisation payment up front. Either works."

Ask:  "We need you exclusive to us for the engagement."
Say:  "I can commit to 30 hours a week and to not working
       with the three competitors you name IF the engagement
       is a minimum of six months with 30 days' notice.
       Full exclusivity would make me an employee in
       substance, which creates classification risk for you
       as well as for me."

Ask:  "We own all IP including your tools."
Say:  "I can agree that you own everything built for you IF
       my pre-existing tools in Schedule 3 are carved out
       and you get a perpetual royalty-free licence to them
       as embedded in the deliverables. You get everything
       you actually need; I keep the ability to work."

Ask:  "Our MSA cannot be changed."
Say:  "Understood - I can sign the MSA as drafted IF we put
       the two changes I need into the SOW, with an express
       statement that the SOW varies clauses 10.2 and 9.1
       for this engagement. That way your template is
       untouched."
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WHY IT WORKS
  - It never triggers a defensive reaction.
  - It makes every concession a TRADE, so you never give
    something away for free.
  - It puts the decision back on them.
  - It demonstrates that you understand their constraint,
    which buys goodwill for the point you actually care
    about.
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Common client arguments and responses

They say	What is really going on	You say
"This is our standard agreement, we can't change it."	Almost never true. It means the person you are talking to lacks authority, or does not want the internal friction of a legal review.	"I understand. Rather than change the MSA, can we put the two changes I need into the SOW with an express variation of clauses 10.2 and 9.1 for this engagement only? That keeps your template intact."
"Legal says no."	Legal was asked a yes/no question with no commercial context.	"Could I get fifteen minutes with your legal team? Written exchanges on liability caps take weeks; a short call usually takes one. I'm happy to explain the insurance constraint directly."
"Everyone else signs it."	Possibly true, and irrelevant.	"I'm sure that's right for larger suppliers who can carry the exposure. As a sole practitioner I'd be signing something I cannot perform if a claim came. I'd rather tell you that now than discover it later."
"We don't have time for this, can you just sign?"	Manufactured urgency, or a genuine internal deadline — find out which.	"I can start on Monday either way. Let's sign the SOW and the NDA now so work begins, and finish the MSA in parallel this week. I just need the liability cap agreed before I start."
"The cap is standard at 12 months' fees — for a US$450,000 contract that's plenty for you."	Reasonable, actually.	Accept it. Do not negotiate green items.
"We need unlimited liability for data breach because of our regulator."	Often genuine.	"I understand the regulatory exposure. Can we do a super-cap of 3x annual fees for data and security breach, backed by my cyber policy which I'll evidence? Unlimited exposure I cannot insure doesn't actually protect you — it just means there's nothing to recover."
"If you can't accept our terms we'll find someone who will."	Sometimes true. Usually a test.	"That's fair, and I'd understand. For what it's worth the two points I'm holding are the ones any insured supplier will raise. I'd rather lose the work than sign something I

		can't stand behind. If you change your mind I'm here."
"Can you just confirm by email and we'll paper it later?"	They want you working before the terms are agreed.	"Happy to confirm the commercials. I'd rather not start delivery before the liability and IP clauses are settled — those are exactly the ones that get deprioritised once work is under way. Can we close them this week?"

Email etiquette for redlines

- [ ] Keep emails short. A long email reads as anxiety.
- [ ] Number your points and state how many there are up front: "Six points, two essential."
- [ ] Give a reason for every change, framed as a problem you face, not a preference you hold.
- [ ] Never use the words "unacceptable", "non-negotiable" or "deal-breaker" more than once in an entire negotiation. Save it.
- [ ] Never cc more people than necessary. Escalating by audience is a tool; use it deliberately, not reflexively.
- [ ] Reply within one business day even if the reply is "received, I'll come back to you Thursday". Silence is read as a problem.
- [ ] Switch to a call after the second round of email. Two rounds of email is the point at which written exchange stops being efficient.
- [ ] Confirm every call in writing within an hour, with what was agreed. "To confirm what we discussed: 1)… 2)… Let me know if I've misunderstood anything."
- [ ] Be unfailingly pleasant. You are going to work with these people. The lawyer on the other side is doing their job, not attacking you.

Protecting Your Brand and Content

For a small software business the brand is often worth more than the code. It is also cheaper to protect and easier to lose. Three or four decisions made early — the right

trade mark classes, the right domains, a clear copyright notice policy — prevent almost all the expensive problems.

Trade mark strategy for a small company

1. **Search before you name.**
   Run the full search described in the IP section: Indian register across your classes and adjacent ones, company names on MCA, domains, common-law use, and foreign registers if you sell abroad. Four hours now, or a rebrand in year three.

2. **File the word mark first.**
   A word mark protects the name in any font or styling. A device (logo) mark protects only that visual presentation. If you can afford one filing, file the word mark.

3. **Pick classes by what you actually sell, plus one.**
   For a software business:
   Class 42
   (SaaS, software design and development, IT consultancy) is almost always essential. Add
   Class 9
   if you sell downloadable software. Add
   Class 35
   if you sell business consulting or data processing for business. Add
   Class 41
   if you sell training. Each class costs another filing fee.

4. **File as an individual, startup or small enterprise if eligible.**
   The concessional fee is roughly half. You will need Udyam registration or DPIIT startup recognition as proof.
   Verify the current fees and eligibility at ipindia.gov.in.

5. **Use ™ from day one; use ® only after registration.**
   Falsely representing a mark as registered is an offence under Section 107 of the Trade Marks Act 1999.

6. **Keep evidence of use.**
   Dated invoices, website archives, marketing materials, press mentions. You need this to defend against a non-use rectification and to establish goodwill for a passing-off claim.

7. **Watch the Journal.**
   Set a reminder to search for confusingly similar marks quarterly. The opposition window is four months from advertisement and it does not reopen.

8 **Diarise renewal.**
Ten years feels far away. Put it in a calendar that will still exist, with a reminder twelve months before.

9 **File abroad where you actually sell.**
The Madrid Protocol allows a single international application designating multiple countries, based on your Indian application or registration. Economical if you need three or more countries.

Domain disputes

	INDRP (.in and .भारत domains)	UDRP (gTLDs: .com, .net, .org, .io and others)
Administered by	NIXI (National Internet Exchange of India), registry.in	ICANN-accredited providers, principally the **WIPO Arbitration and Mediation Center** and the Forum
Grounds	The domain is identical or confusingly similar to a name or mark in which the complainant has rights; the registrant has no rights or legitimate interests; and the domain was registered or is being used in bad faith	Substantially the same three elements, but bad faith must be shown in registration **and** use
Procedure	Complaint to NIXI; a sole arbitrator is appointed; written submissions; award	Complaint to the provider; a one- or three-member panel; written submissions only; decision
Timeline	Typically 2–4 months	Typically 2–3 months
Cost	Filing and arbitrator fees in the order of **₹30,000–₹50,000**, plus your advocate. **Verify the current schedule at registry.in.**	WIPO fee commonly **US$1,500** for one to five domain names before a single panelist, higher for a three-member panel. **Verify at wipo.int.**
Remedy	Transfer or cancellation of the domain	Transfer or cancellation. **No damages.**
Alternative	A passing-off or infringement suit in a civil court, which can award damages and a wider injunction but takes years	Same

✦ **Cheaper than any dispute**

Register your name in **.com**, **.in**, **.co.in** and the one or two TLDs your sector uses, the day you choose the name. Renew for ten years. Enable registrar lock and auto-renew. The total cost is a few thousand rupees a year and it eliminates the most common and most annoying brand dispute entirely.

Copyright on content and code, and dealing with infringement

Situation	Cheapest effective response	Escalation
Someone copied your blog post verbatim	A polite email asking for removal or attribution with a canonical link. Most comply.	DMCA takedown to the host and to Google; for an Indian host, a notice under Section 79 of the IT Act 2000 and the IT Rules 2021, and under the Copyright Rules 2013
A competitor copied your website copy and structure	Advocate's cease-and-desist letter	Civil suit for copyright infringement and passing off; interim injunction
Your open-source code is used in a commercial product without attribution	Email citing the specific licence term breached, with a deadline	Licence termination notice, then a copyright claim
Your proprietary code appears in a public repository	**Immediate** DMCA takedown to the platform; preserve evidence first with timestamped screenshots and commit hashes	Criminal complaint under Section 63 of the Copyright Act 1957 and Section 66 of the IT Act 2000; civil suit; consider whether it is also a trade secret misappropriation
Someone is using your brand name in ads	Report to the ad platform's trade mark complaint process — this is free and usually fast	Trade mark infringement suit
A fake social media account impersonating your company	Platform impersonation report with your trade mark registration certificate	Grievance officer complaint under the IT Rules 2021

TEXT

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A CEASE-AND-DESIST THAT WORKS WITHOUT A LAWYER
(for low-value, clear-cut content copying)

Subject: Unauthorised reproduction of copyrighted material -
         raosystems.in/writing/long-query-retrieval

Dear Sir or Madam,

I am the author and copyright owner of the article
"Diagnosing long-query retrieval failures", first published
at raosystems.in/writing/long-query-retrieval on
14 November 2025.

The page at example.com/blog/retrieval-failures reproduces
that article substantially verbatim, without licence,
attribution or a link to the original. A comparison is
attached, together with an archived copy of the original
showing the publication date.

Copyright subsists in the article as an original literary
work under section 13 of the Copyright Act, 1957, and
reproduction without licence infringes my rights under
section 14.

I ask that within SEVEN (7) DAYS you either:
  (a) remove the page entirely; or
  (b) reduce it to a short excerpt of no more than 100 words
      with clear attribution and a direct link to the
      original.

If I do not hear from you by [date], I will submit takedown
notices to your hosting provider and to the search engines
indexing the page, and will consider further action.

I would much rather resolve this directly. If you would like
to republish the article with permission, I am happy to
discuss terms.

Yours faithfully,
Ananya Rao
```

WHY THIS WORKS

- Identifies the work, the owner, the date and the infringing URL precisely
- Cites the statute without legal posturing
- Gives a short, specific deadline
- Offers a cheap way out (attribution) as well as removal

```
  - States the next step factually, without threats it
    cannot back up
  - Leaves a commercial door open

WHEN TO USE A LAWYER INSTEAD
  - The infringer is commercial and the copying is
    substantial
  - Source code or trade secrets are involved
  - There is a trade mark element
  - You intend to claim damages
  - The infringer has already ignored one letter
```

Compliance Adjacent to Contracts

Serving foreign clients pulls you into compliance regimes that have nothing to do with Indian law and everything to do with your client's exposure. Procurement will send you questionnaires about bribery, sanctions, modern slavery and ESG. Knowing what they are actually asking saves a week each time.

Anti-bribery

Regime	Reach	What it prohibits	Why it reaches you
Prevention of Corruption Act 1988 (India, as amended in 2018)	India	Giving or taking undue advantage in relation to a public servant. The 2018 amendment introduced **Section 9** — an offence by a **commercial organisation** where a person associated with it gives an undue advantage to a public servant to obtain or retain business, with a defence of having **adequate procedures** in place; and **Section 10**, liability of the person in charge.	If you deal with any government customer, regulator, licensing authority or public-sector undertaking
US Foreign Corrupt Practices Act (FCPA)	Issuers on US exchanges, US domestic concerns, and foreign persons acting in US territory; plus liability for agents and intermediaries of covered entities	Corrupt payments to foreign officials to obtain or retain business; also books-and-records and internal-controls provisions	Your US client is covered and **you are their agent**. Their compliance obligations flow to you through contract.
UK Bribery Act 2010	Organisations carrying on a business or part of a business in the UK, wherever the conduct occurs	Bribing, being bribed, bribing a foreign public official, and **Section 7** — failure of a commercial organisation to prevent bribery by an associated person, with an **adequate procedures** defence. Facilitation payments are **not** exempt, unlike under the FCPA's narrow exception.	UK clients will require you to warrant compliance and may audit

TEXT

THE ANTI-BRIBERY CLAUSE YOU WILL BE ASKED TO SIGN

"18.1 Each Party shall:
(a) comply with all applicable laws, statutes and regulations relating to anti-bribery and anti-corruption, including the Prevention of Corruption Act, 1988 (India), the US Foreign Corrupt Practices Act of 1977 and the UK Bribery Act 2010 (together, the 'Relevant Requirements');
(b) not engage in any activity, practice or conduct which would constitute an offence under the Relevant Requirements if carried out in the relevant jurisdiction;
(c) not make or accept any facilitation payment;
(d) maintain in place throughout the Term its own policies and procedures, including ADEQUATE PROCEDURES under the UK Bribery Act 2010, to ensure compliance;
(e) maintain accurate books and records of all payments made in connection with this Agreement; and
(f) promptly report to the other Party any request or demand for any undue financial or other advantage received in connection with this Agreement.
18.2 Breach of this clause is a material breach entitling the other Party to terminate immediately."

CAN YOU HONESTLY SIGN 18.1(d) AS A SOLO CONSULTANT?
Yes, with a proportionate version. "Adequate procedures" is explicitly risk-proportionate. For a one-person practice, adequate procedures means:
1. A one-page written anti-bribery policy you have read and dated
2. A statement that you make no facilitation payments
3. A record of any gift or hospitality given or received above a stated value (say INR 5,000)
4. Due diligence on any agent or referral partner you pay a commission to
5. Accurate books and records

Write those five things down. It takes an hour and it makes the warranty honest.

VERIFY the current scope of the Prevention of Corruption Act 1988 at indiacode.nic.in, and take advice if you deal with government customers.

Export controls and sanctions

Regime	What it covers	Practical obligation
SCOMET (Special Chemicals, Organisms, Materials, Equipment and Technologies)	India's dual-use export control list, administered by DGFT under the Foreign Trade Policy and the WMD Act 2005. Includes certain software and technology, including some cryptography and specified information security items.	Export of listed items or technology requires authorisation. **Check the current SCOMET list at dgft.gov.in** if you work on cryptography, security tooling, aerospace, or anything with a defence application. "Technology" includes technical data and assistance, so even consulting can be caught.
US sanctions (OFAC)	The Specially Designated Nationals list, and country programmes	Your US clients will require you to warrant that you are not an SDN and that you will not provide services to sanctioned parties or in sanctioned territories. Screen your own clients before onboarding.
EU and UK sanctions	Consolidated lists	Similar; EU and UK clients will ask
UN sanctions	Security Council designations, implemented in India	Applies directly
US export control of software and technology	EAR and, for defence articles, ITAR	If a US client gives you access to controlled technology, "deemed export" rules may apply to disclosure to a non-US person — which is you. Clients handle this with access restrictions; follow them.

⚠ **Sanctions screening is a five-minute task you should actually do**

Before onboarding any new client, search the entity name and the beneficial owners against the OFAC SDN list (sanctionssearch.ofac.treas.gov), the EU consolidated list and the UK list. Record the date and the result in your client file. It costs nothing, it answers a question every enterprise questionnaire asks, and it protects you from a genuinely serious problem.

Modern slavery, conflict minerals and ESG questionnaires

Regime	Who it binds	What you will be asked	Honest answer for a small Indian supplier
UK Modern Slavery Act 2015, Section 54	Commercial organisations supplying goods or services in the UK above a turnover threshold	Your client publishes a transparency statement and asks you to confirm no forced labour in your operations or supply chain, and to have a policy	Write a half-page policy. Confirm you have no forced or child labour, that you pay at or above statutory minimum wage, and that your supply chain is limited to software vendors and named sub-contractors.
California Transparency in Supply Chains Act	Large retailers and manufacturers doing business in California	Similar	Same
German Supply Chain Due Diligence Act (LkSG) and the EU corporate sustainability framework	Large EU companies, cascading to suppliers	Human rights and environmental due diligence declarations, a grievance mechanism, and sometimes an audit right	Adopt the client's supplier code of conduct if it is reasonable; flag anything you cannot comply with rather than signing blind
Conflict minerals (US Dodd-Frank Section 1502)	SEC registrants manufacturing products containing tin, tantalum, tungsten or gold	A sourcing declaration	Almost always "not applicable — we supply software services and do not manufacture or supply any product containing 3TG minerals". Say exactly that.
Supplier codes of conduct	Anyone who wants your business	Signature on a 10–30 page document covering labour, environment, ethics, security and sometimes diversity reporting	**Read it before signing.** They often contain audit rights, flow-down obligations, termination rights and occasionally liability provisions. Check whether it is incorporated into the contract and

			whether the client can amend it unilaterally.

✦ **Build a compliance answer file once**

Create a single document with your standard answers: anti-bribery policy, sanctions screening process, modern slavery statement, conflict minerals not-applicable statement, security controls, insurance certificates, data protection posture, sub-processor list, business continuity summary. Keep it current. The first enterprise questionnaire takes two days; every subsequent one takes forty minutes.

When to Call a Lawyer, How to Brief One, and What It Costs

The question is not whether to use a lawyer but when, and for what. Used well, an advocate is a one-off investment in templates plus a few hours a year of targeted review. Used badly, they are an expensive bottleneck that you route around until something goes wrong.

The triggers

Call a lawyer	Why	Typical cost
Once, to build your template set	MSA, consulting agreement, SOW template, mutual NDA, sub-contractor agreement, DPA. You will use these for a decade.	₹40,000–₹2,00,000 for the set
Any contract above your value threshold	Set a number — commonly 15–25% of annual revenue — above which every contract gets reviewed	₹15,000–₹75,000 per review
Any uncapped liability or uncapped indemnity you cannot negotiate away	This is the existential one	1–3 hours
Any IP assignment of something you built before the engagement	Irreversible	1–2 hours
Founders' agreement, shareholders' agreement, term sheet, ESOP scheme	Complex, interacts with the Companies Act and FEMA, and irreversible in practice	₹75,000–₹5,00,000
Any legal notice received	Responses create a record. An ill-judged reply can concede a point permanently.	₹20,000–₹1,00,000
Employment termination of anyone	Labour law, state rules, the Labour Codes and settlement mechanics	₹15,000–₹60,000
A data breach	Notification deadlines under DPDP, CERT-In and possibly GDPR run in hours, not days	Have a lawyer identified **before** you need one
Cross-border tax characterisation of a fee	Withholding, PE and treaty analysis — a CA plus, for larger matters, a tax counsel	₹15,000–₹1,00,000
Patent or trade mark filing	Specialist IP attorney, not a general advocate	Trade mark ₹8,000–₹25,000 professional fee per class plus official fee; patent drafting and filing ₹60,000–₹2,50,000

Fee models and realistic Indian ranges

Model	How it works	Indicative Indian range	Best for
Hourly	Billed per hour against a time record	Solo advocate ₹2,000–₹8,000/hr; mid-size firm associate ₹8,000–₹20,000/hr; partner at a large firm ₹25,000–₹75,000/hr	Open-ended work, negotiations
Fixed fee	One price for a defined deliverable	NDA review ₹5,000–₹20,000; MSA review with markup ₹25,000–₹75,000; template drafting ₹40,000–₹2,00,000	**Most of what you need.** Ask for fixed fees; good lawyers will quote them for defined work.
Monthly retainer	A fixed monthly amount for a bundle of hours or defined services	₹15,000–₹75,000/month for a small company	Once you have recurring contract volume
Capped fee	Hourly, but with an agreed maximum	Hourly rate with a cap	Work of uncertain scope where you need budget certainty
Success fee / contingency	Payment contingent on outcome	Restricted for advocates in India under professional conduct rules — **take advice on what is permissible**	Rarely available

⚠ **These ranges are observational, not quotations**
Legal fees in India vary enormously by city, firm size, seniority, specialism and urgency. **Always ask for a written fee estimate and a scope of work before instructing.** A good lawyer will give you both without being asked.

How to brief a lawyer so you get a useful answer cheaply

TEXT

A BRIEF THAT GETS A ONE-HOUR ANSWER INSTEAD OF A FIVE-HOUR INVESTIGATION

Subject: Contract review – Northwind MSA – 6 specific questions – fixed fee requested

Hi Priya,

I'd like a focused review rather than a full one. Scope and questions below; please confirm a fixed fee before starting.

CONTEXT (3 lines)
- I'm a sole proprietor providing AI engineering consultancy to overseas clients.
- Northwind is a US (Delaware) company. Engagement value is approximately US$120,000 over 12 months.
- This is their paper. I've attached the MSA with my comments and my own template for comparison.

WHAT I HAVE ALREADY DONE
- Full read; marked clauses 8, 9, 10, 11, 12 and 13 as issues (my notes are in the comments).
- I have professional indemnity cover of INR 2 crore and cyber cover of INR 1 crore; certificates attached.
- I have NOT negotiated anything yet.

THE SIX QUESTIONS
1. Clause 10.1 provides for unlimited liability. What is the minimum acceptable position, and what super-cap structure would you propose for confidentiality and the IP indemnity?
2. Clause 8.1 assigns all IP "conceived during the Term". Does my proposed Background IP carve-out and licence-back (my clause 8.2, drafted) achieve what I need, and is it effective given section 19 of the Copyright Act?
3. Clause 9.1 is an uncapped, non-mutual indemnity. What carve-outs should I insist on, in priority order?
4. Clause 12.1 is a 24-month restraint. Under New York law (clause 13.1), what is my realistic exposure, and is this something I should refuse outright?
5. Clause 11.1 allows termination for convenience with no payment. What is the minimum I should accept?
6. Is there anything in the document I have NOT flagged that you consider a material risk?

WHAT I NEED BACK
- A tracked-changes markup of the MSA

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  - A one-page note listing the issues in priority order
    with a short reason for each, which I can use in my own
    negotiation
  - Your view on which two points are genuinely essential

TIMELINE
  I'd like to respond to the client by Thursday 12 March.

BUDGET
  Please confirm a fixed fee. If it will exceed INR 60,000
  please tell me before starting so I can narrow the scope.

Thanks,
Ananya

_____________________________________________________________

WHY THIS SAVES YOU MONEY
  - It states what you have already done, so the lawyer
    does not repeat it
  - It asks SPECIFIC questions rather than "please review"
  - It supplies the commercial context that determines what
    "acceptable" means
  - It states the budget, which lets the lawyer scope the
    work rather than discover the constraint at invoicing
  - Question 6 preserves the safety net without making the
    whole engagement open-ended
  - It asks for an output you can USE in negotiation, not
    just a memo
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What you should never DIY

- ☐ **Responding to a legal notice or a statutory notice.** Anything you write becomes a record and can concede a point you cannot recover.
- ☐ **Founders' agreements, shareholders' agreements and term sheets.** The interaction with the Companies Act 2013, the articles of association and FEMA defeats templates.
- ☐ **Employment terminations, particularly where there is any allegation of misconduct.** Procedural errors here create liability independent of the merits.
- ☐ **Anything involving a regulator** — income tax, GST, RBI, the Data Protection Board, a labour authority.
- ☐ **Patent drafting.** A badly drafted specification cannot be fixed later and wastes the filing entirely.

- ☐ **A data breach response.** Notification timelines are measured in hours and the first 24 hours determine the regulatory outcome.
- ☐ **Signing an uncapped liability or indemnity** because you ran out of patience.
- ☐ **Cross-border tax structuring**, including characterising a fee as royalty, FTS or business profits.
- ☐ **Anything you do not understand after reading it twice.** That feeling is information.

Frequently Asked Questions

Is a post-employment non-compete enforceable in India?

Generally no. **Section 27 of the Indian Contract Act 1872** provides that every agreement restraining a person from exercising a lawful profession, trade or business is void to that extent, and Indian courts have consistently declined to enforce restraints operating **after** the employment ends. The only statutory exception is Exception 1, which saves a restraint agreed on the sale of goodwill, within reasonable local limits. Two important qualifications. First, a restraint operating **during** employment — an exclusivity or "whole time and attention" clause — is enforceable as a legitimate term of service. Second, if your contract is governed by **another country's law**, Section 27 gives you nothing; some US states, for example, enforce reasonable non-competes. What remains enforceable in India post-employment is **confidentiality**, and a narrow, reasonable **non-solicit** may be partially enforced on the facts. **Take advice on your specific clause and governing law.**

My client paid me to build software. Do they own the copyright automatically?

No, and this surprises most people. Under **Section 17 of the Copyright Act 1957**, the author is the first owner, subject to provisos. Proviso (c) vests ownership in the **employer** where the work is made in the course of employment under a **contract of service** — that is, an employee. A consultant works under a **contract for services**, which is different. Proviso (b), which vests ownership in a person who commissions a work for valuable consideration, is limited by its terms to photographs, paintings, portraits, engravings and cinematograph films, and does not extend to software. So absent a written assignment the **consultant** is the first owner of copyright in commissioned software. **Section 19** then requires any assignment to be in writing signed by the assignor, identifying the work, the rights, the duration and the territory — and if duration is not stated it is deemed five years, and if territory is not stated it is deemed India only. The practical consequence: a US-style "work made for hire" clause alone may not do the job under Indian law. Insist on an express assignment clause drafted for Section 19. **Confirm with an advocate for your facts.**

Can I patent my machine-learning algorithm in India?

Probably not as such. **Section 3(k) of the Patents Act 1970** excludes "a mathematical or business method or a computer programme per se or algorithms" from being inventions. The words that

create room are "per se" — the Indian Patent Office's Computer Related Inventions Guidelines ask whether the claimed invention makes a genuine **technical contribution** or produces a **technical effect** beyond the normal interaction between a programme and a computer, and look at the substance of the claim rather than its drafting. A model that merely makes a better prediction will usually be refused; a method that measurably improves the functioning of a computer or a connected technical system, or that controls a physical process, may be allowable. For most pure-software businesses in India, **copyright plus trade secrecy plus speed** is a better investment than an Indian patent — though the position differs in the US and Europe, so a cross-border filing strategy is a separate question. **Verify the current CRI Guidelines at ipindia.gov.in and take advice from an IP attorney.**

A client's contract makes me liable without any cap. How do I push back?

Use three arguments in order. First, **insurance**: "my professional indemnity cover responds to ₹2 crore; a cap above my insurance transfers uninsured risk to a sole practitioner and would mean signing something I cannot perform." This is an objective, verifiable fact and it is the most persuasive thing you can say. Second, **proportionality**: a ₹20 lakh engagement cannot support unlimited exposure, and no rational supplier would price it that way. Third, offer a **super-cap** rather than a flat refusal — an aggregate cap at 12 months' fees for general liability, with a higher multiple (two or three times fees) for the risks they actually fear, namely confidentiality breach, data breach and IP infringement. Keep the standard uncapped carve-outs: fraud, wilful misconduct, death or personal injury, and liability that cannot lawfully be limited. Also check whether the carve-outs swallow the cap — a cap with seven carve-outs covering every realistic breach is decorative.

Does an unstamped agreement mean my contract is invalid?

No. An insufficiently stamped or unstamped instrument is not void; it is **inadmissible in evidence** under Section 35 of the Indian Stamp Act 1899 until the defect is cured by paying the deficit duty plus a penalty, and it can be impounded under Section 33. That is expensive and embarrassing, not fatal. Specifically on arbitration, a seven-judge bench of the Supreme Court held in *In Re: Interplay Between Arbitration Agreements under the Arbitration and Conciliation Act 1996 and the Indian Stamp Act 1899* (December 2023) that non-stamping renders an agreement inadmissible but not void or unenforceable, and that the defect is curable — so an arbitration can proceed. Stamp duty is a **state** subject, rates vary by state and by the nature of the instrument, and an **assignment of intellectual property** may attract ad valorem duty as a conveyance in some states, which is materially more than the fixed duty on a services agreement. **Check your state Stamp Act and confirm the applicable Article before executing a high-value assignment.**

Can I sign contracts electronically in India?

Yes, for almost everything. **Section 10A of the IT Act 2000** provides that a contract is not unenforceable merely because it was formed by electronic means, **Section 4** gives legal recognition to electronic records, and **Section 5** to electronic signatures. The strongest forms are a **Class 3 Digital Signature Certificate** under Section 3 and **Aadhaar eSign** under Section 3A and the Second Schedule; DocuSign-style click-to-sign with an audit trail is widely used for cross-border commercial

contracts and relies on Section 10A. The exceptions are in the **First Schedule** to the IT Act: a negotiable instrument other than a cheque, a **power-of-attorney**, a trust, a **will**, and any contract for the **sale or conveyance of immovable property**. Those must be executed on paper. **Verify the current First Schedule at indiacode.nic.in.**

What is the difference between the seat and the venue of an arbitration, and why does everyone go on about it?

The **seat** is the legal home of the arbitration. It determines the procedural law, which country's courts have supervisory jurisdiction over appointment, interim relief and challenges to the award, and whether the award is treated as domestic or foreign for enforcement. The **venue** is merely where hearings physically happen, and it can be anywhere, including a video call. Ambiguity about whether a reference to a place designates the seat or the venue has generated a very large volume of Indian litigation, with parties fighting for years about which court can supervise. The fix is two sentences: "**The seat of the arbitration shall be Singapore**" and "**The venue of hearings may be any location agreed by the parties or determined by the tribunal, including by video conference, without affecting the seat.**" Never write only "the arbitration shall be held in Singapore".

My client wants to use AGPL-licensed software in their SaaS product. What do I tell them?

Stop and get legal advice before writing any code around it. The AGPL-3.0 is a strong copyleft licence with a network trigger: **section 13** provides that if users interact with a modified version of the programme **over a network**, you must offer those users the corresponding source of the whole work. For a SaaS product that can require publishing the source of your client's proprietary business logic — exactly the outcome the plain GPL avoids, because merely running software on your own server is not "distribution". The SSPL goes further still. The practical answer is usually one of: use a permissively licensed alternative (MIT, Apache-2.0, BSD); buy a commercial licence from the same vendor, which most AGPL projects offer and which typically costs a few thousand dollars a year; or architect so that the AGPL component is genuinely separate and unmodified — though "separate" is a legally loaded word and should not be assessed by an engineer alone. Put a clause in your contract requiring written consent before any reciprocal-licence component is incorporated, and deliver a bill of materials with every deliverable.

What is the practical difference between an NDA and a confidentiality clause in an MSA?

Functionally very little — both create an obligation not to use or disclose. The difference is **timing and scope**. An NDA covers the **pre-contract** period when you are exploring whether to work together and there is no other agreement in place; a confidentiality clause covers the **engagement**. Once an MSA with a confidentiality clause is signed, it usually supersedes the earlier NDA by virtue of the entire-agreement clause — which is fine unless the NDA was better than the MSA clause. Check two things when signing an MSA: whether the confidentiality clause is at least as protective as the NDA it replaces, and whether information disclosed **before** the MSA is expressly brought within it. A single sentence does it: "Information disclosed under the Non-Disclosure Agreement dated 14 February 2026 shall be treated as Confidential Information under this Agreement."

A US client sent me Standard Contractual Clauses to sign. What are they and do I have to?

You have probably received EU SCCs rather than anything American — the EU Commission's Standard Contractual Clauses adopted by Implementing Decision (EU) 2021/914, which are the main lawful mechanism for transferring personal data out of the European Economic Area to a country without an adequacy decision. **India does not have an EU adequacy decision**, so any EU-origin personal data reaching you needs a transfer mechanism, and SCCs are it. You will normally sign **Module Two** (controller to processor) and complete Annex I (parties, description of transfer), Annex II (technical and organisational measures) and Annex III (sub-processors). Read Annex II carefully — it is a binding description of your actual security controls, and overstating them creates real exposure. Annex II is where most people simply paste a vendor's boilerplate; do not. If the data originates in the UK you will additionally need the UK International Data Transfer Addendum or the UK IDTA. **Have a privacy practitioner review your first set; after that you can reuse the annexes.**

My employer is asking me to sign a bond for ₹3 lakh if I leave within two years. Is that enforceable?

It depends on what it actually compensates. A bond that is simply a penalty for leaving faces two problems: it looks like a restraint, and **Section 74 of the Indian Contract Act 1872** means the stated sum operates as a **ceiling**, with the employer entitled only to **reasonable compensation** which they must generally establish. A bond that recovers **genuine, quantifiable training costs actually incurred** — a specific certification, an overseas deputation, a paid programme — is more likely to be enforced, to the extent of the proven cost, and ideally on a pro-rata reducing basis over the bond period. Retention of your original educational certificates is widely considered improper and has attracted judicial criticism. If you are being asked to sign one: ask for the actual cost in writing, insist on pro-rata reduction, and refuse to hand over originals. If you are drafting one: state the real cost, attach evidence, and make it proportionate. **The case law is not uniform; take advice on the specific bond.**

How long should confidentiality obligations last?

Three to five years from the date of disclosure is the normal commercial range for ordinary business information, with an **indefinite** obligation for anything that constitutes a trade secret, for as long as it remains secret. Perpetual confidentiality over everything sounds protective and is actually counterproductive — it is unmanageable in practice, it is sometimes read down, and it makes the clause harder to negotiate. Distinguish three things in your drafting: the **term of the agreement** (during which disclosures are covered), the **survival period** of the obligations (running from each disclosure, not from the end of the agreement), and the **trade secret carve-out** (indefinite). Note that India has no trade secrets statute — protection rests on contract, the equitable action for breach of confidence, and the controls you actually implement.

What should I do in the first hour after discovering a data breach?

Act on a pre-written plan; do not improvise. (1) **Contain** — isolate affected systems, revoke credentials, preserve evidence rather than destroying it. (2) **Start a written log** with timestamps of everything you know and do; this becomes your evidence. (3) **Call your lawyer and your cyber**

insurer — notification deadlines are statutory and short, and many policies require insurer notification before you incur response costs. (4) **Notify affected clients** within the window in your DPA, commonly 24 hours, even if the picture is incomplete; phased notification is expressly contemplated. (5) Consider the **CERT-In** directions, which require reporting of specified cyber incidents **within six hours** of noticing them. (6) Support your client's obligations to the **Data Protection Board** under Section 8(6) of the DPDP Act 2023 and, where EU data is involved, their 72-hour GDPR notification. (7) Do **not** make public statements naming a client without their consent. Write this sequence down now, with phone numbers, and keep it somewhere you can reach without your corporate systems.

What is the single most common contract mistake engineers make?

Reading the clauses and not the **definitions**. The dangerous drafting almost always lives in a definition rather than in an operative clause. A one-line clause saying "all Deliverables shall vest in the Customer" is unremarkable until you read that "Deliverables" is defined as "all work product, materials, inventions and developments created, conceived or reduced to practice by the Supplier during the Term" — at which point it has assigned your entire year of creative output, including your reusable libraries and your unrelated weekend project. The same pattern recurs with "Confidential Information" (catch-all with no exclusions), "Losses" (including settlements you never approved), "Affiliate" (extending a liability cap across twelve entities) and "Services" (open-ended obligations). Read the definitions first, every time. It takes four minutes.

When is it worth paying a lawyer versus using a template?

Pay once for a **template set** — MSA, consulting agreement, SOW template, mutual NDA, sub-contractor agreement, DPA — drafted or reviewed by an advocate for Indian law and your actual business. That is typically ₹40,000–₹2,00,000 and you will use it for years. After that, use the templates for routine work and set a **value threshold** — commonly 15–25% of annual revenue — above which every contract gets a paid review. Always pay for: anything with uncapped liability or an uncapped indemnity you cannot negotiate away; any assignment of pre-existing IP; founders' and shareholders' agreements and term sheets; any legal notice received; an employment termination; a data breach; and any cross-border tax characterisation. Brief tightly with specific questions, state your budget, and ask for a fixed fee and a one-page priority list you can use in negotiation. A well-briefed hour is worth more than five unfocused ones.

Contract Review Checklist and Template Inventory

Two artefacts close this guide: a checklist you run against every contract before signature, and an inventory of the documents a small Indian technology business should own, with what each is for and who should review it.

⚠ **Every statutory reference in this guide is as at early 2026**

Section numbers, fees, thresholds and procedural timelines change. The **Income-tax Act, 2025** renumbers tax provisions from **1 April 2026**; the **DPDP Rules** are phasing in; the **Labour Codes** are being operationalised state by state; **arbitration law reform** has been under consideration. **Verify at indiacode.nic.in, ipindia.gov.in, meity.gov.in, mca.gov.in and incometax.gov.in before relying on anything here.**

The contract review checklist

TEXT

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PRE-SIGNATURE CHECKLIST - RUN THIS EVERY TIME
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A. PARTIES AND EXECUTION
 [ ] Counterparty's exact legal name, entity type and
     jurisdiction correct
 [ ] For an Indian counterparty: MCA master data checked -
     status ACTIVE, not struck off or under liquidation
 [ ] Signatory has authority (director, designated partner,
     board resolution, or POA sighted)
 [ ] My own details, PAN, GSTIN and address correct
 [ ] Effective date stated
 [ ] Counterparts clause present
 [ ] Execution method valid (not a First Schedule excluded
     document if signing electronically)
 [ ] Stamp duty position checked for the state of execution

B. DEFINITIONS  (read these FIRST)
 [ ] "Deliverables" / "Work Product" - scope of what is
     assigned
 [ ] "Confidential Information" - catch-all or marking-based,
     and are the standard exclusions present
 [ ] "Services" - bounded by the SOW, or open-ended
 [ ] "Losses" - does it include legal fees, fines and
     unapproved settlements
 [ ] "Affiliate" - how far do obligations and the cap extend
 [ ] "Business Day" - whose holidays

C. THE BIG FIVE
 IP
 [ ] Assignment limited to deliverables created for this
     client under a SOW
 [ ] Background IP defined and carved out
 [ ] Schedule listing my Background IP attached and current
 [ ] Assignment conditional on payment in full
 [ ] Licence-back of Background IP, limited to use as
     embedded in the deliverables
 [ ] Residual knowledge / general skills reservation present
 [ ] Open-source and third-party components addressed
 [ ] AI-assisted development and model/weights ownership
     addressed if relevant
 [ ] Assignment language complies with section 19 of the
     Copyright Act (work, rights, duration, territory)

 LIABILITY
 [ ] A cap exists
 [ ] Cap is AGGREGATE, not per claim
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 [ ] Cap measure acceptable (12 months' fees is the anchor)
 [ ] Loss of profit / revenue / data / goodwill excluded
     "whether direct or indirect"
 [ ] Carve-outs limited to fraud, wilful misconduct, death
     or personal injury, unlawful-to-limit, and payment
 [ ] Any other carve-outs converted into a SUPER-CAP
 [ ] Cap is MUTUAL
 [ ] Cap is within my insurance limits

 INDEMNITY
 [ ] Triggers defined and narrow
 [ ] Mutual where possible
 [ ] Carve-outs include client materials, instructions,
     modifications, combinations, out-of-scope use, and
     third-party/open-source components
 [ ] Carve-outs say "TO THE EXTENT arising from"
 [ ] Patents excluded, or tightly capped
 [ ] Geographic limitation on IP indemnity
 [ ] Control of defence and settlement approval addressed
 [ ] Mitigation options (procure / modify / refund) present
 [ ] Stated as the sole and exclusive remedy for IP claims

 PAYMENT AND TERMINATION
 [ ] Payment terms acceptable (Net 15-30)
 [ ] Interest on late payment
 [ ] SUSPENSION right for non-payment
 [ ] Acceptance criteria objective and testable
 [ ] Deemed acceptance after a stated period
 [ ] Change control process, with no work before signature
 [ ] Termination rights mutual
 [ ] Payment for work performed on termination
 [ ] Kill fee on fixed-price work
 [ ] Transition assistance is PAID
 [ ] Survival clause lists the right clauses

 LAW AND DISPUTES
 [ ] Governing law identified
 [ ] Arbitration: institution, SEAT (not just venue),
     number of arbitrators, language, expedited procedure
 [ ] Carve-out for urgent interim relief
 [ ] Escalation / mediation steps and timelines noted
 [ ] Can I actually afford this forum for a claim this size

D. COMMERCIAL AND TAX
 [ ] Fees and rates correct
 [ ] Fees stated as EXCLUSIVE of taxes
 [ ] GST position addressed (export of services / LUT)
 [ ] Withholding gross-up, or at minimum a certificate
     obligation and treaty cooperation
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 [ ] Expenses policy and pre-approval
 [ ] Rate increase mechanism for multi-year terms
 [ ] Bank charges on an "OUR" basis
 [ ] Currency and payment rail specified

E. OPERATIONAL
 [ ] Warranties limited to reasonable skill and care; no
     "error-free", "best efforts" or "fit for purpose"
 [ ] Insurance requirements match what I actually hold
 [ ] Force majeure present, with a payment carve-out
 [ ] Audit rights limited by notice, frequency, hours,
     scope and cost
 [ ] Assignment and change-of-control mutual
 [ ] Non-solicit mutual, narrow, with an advertisement
     carve-out
 [ ] NO post-term restraint on my practice
 [ ] Notices clause has my CURRENT address
 [ ] Publicity: I can describe the work (anonymised) with
     consent

F. DATA AND SECURITY
 [ ] DPA in place if personal data is processed
 [ ] Roles correctly assigned (processor / Data Processor)
 [ ] Breach notification window achievable (24-48 hours)
 [ ] Sub-processor list and change process
 [ ] Security schedule matches controls I ACTUALLY have
 [ ] SCCs / UK IDTA if EU or UK personal data involved
 [ ] AI training prohibition or disclosure
 [ ] Data deletion and return on termination, with a backup
     carve-out

G. SCHEDULES AND INCORPORATED DOCUMENTS
 [ ] Every schedule read
 [ ] Every incorporated URL opened, read and SAVED with a
     date
 [ ] Order of precedence clause present and correct
 [ ] Risk clauses locked to the master, not variable by SOW

H. FINAL
 [ ] Clean version produced and re-read
 [ ] All page numbers, cross-references and defined terms
     consistent
 [ ] My three walk-away points satisfied
 [ ] Fully executed copy saved to the contracts folder
 [ ] Key dates diarised: renewal notice, non-renewal
     deadline, insurance expiry, rate review
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Template inventory

#	Document	What it is for	Who should draft or review it	Refresh
1	**Master Services Agreement**	Your standing terms, used when the counterparty has no paper of their own. The single most valuable document you will own.	Advocate, once	Every 2 years
2	**Statement of Work template**	Scope, out-of-scope, assumptions, acceptance criteria, milestones, fees, dependencies	You, refined after every engagement	Continuously
3	**Change request form**	One page: what changed, impact on scope, timeline, fees and acceptance criteria, two signatures	You	Rarely
4	**Mutual NDA**	Pre-contract conversations	Advocate, once	Every 2 years
5	**Consulting agreement (short form)**	Small engagements where a full MSA is disproportionate	Advocate, once	Every 2 years
6	**Sub-contractor agreement**	Back-to-back with your client terms; IP assigned to you so you can assign onward; confidentiality; TDS acknowledgement; no deemed employment	Advocate, once	Every 2 years

7	**Background IP schedule**	The living list of your reusable tools, libraries, templates and methodologies, attached to every agreement	You	Every time you build a reusable tool
8	**IP assignment deed (standalone)**	For assigning a specific work where no services agreement covers it — a founder assigning pre-incorporation IP to the company, for example. Must comply with Section 19 of the Copyright Act 1957.	Advocate	As needed; check stamp duty
9	**Data Processing Addendum** with Annexes	DPDP Act 2023 processor terms, GDPR Article 28 terms, security measures, sub-processor list, SCC annexes	Privacy practitioner	Annually, and as the DPDP Rules phase in
10	**Security schedule**	The specific, auditable controls you actually operate. Attached to the DPA and to enterprise contracts.	You, reviewed by a security practitioner	Annually
11	**Security questionnaire answer file**	Your standard answers to the 120 questions enterprises ask. Turns two days into forty minutes.	You	After every questionnaire
12	**Anti-bribery policy (one**	Makes the "adequate	You	Annually, dated

	page)	procedures" warranty honest. No facilitation payments, gift register, agent due diligence, accurate records.		
13	**Modern slavery / supplier ethics statement**	Half a page answering UK and EU supply-chain questionnaires	You	Annually
14	**Sanctions screening record**	Dated record of OFAC/EU/UK screening for each client at onboarding	You	Per client
15	**Employment agreement / appointment letter**	For your first hire. Must have a Section 17 and Section 19-compliant IP clause, a defensible confidentiality clause, a consent-based moonlighting clause, and no void post-employment non-compete.	Advocate with employment expertise	Every 2 years, and as the Labour Codes land
16	**Employee handbook / code of conduct**	Incorporated into the employment contract by reference. POSH policy, IT and acceptable use, leave, grievance.	Advocate	Annually
17	**Exit checklist and confirmation**	Access revocation, device return, data deletion confirmation,	You	Rarely

		signed acknowledgement of continuing confidentiality		
18	**Founders' agreement**	Equity split, vesting, roles, IP assignment, departure, deadlock	**Corporate lawyer — never DIY**	On any change in founders
19	**Website terms of use and privacy policy**	Public-facing; must describe actual practice	Privacy practitioner	Annually, and on any change in data practices
20	**SaaS subscription agreement + order form**	If you sell a product: licence grant, restrictions, term, SLA, support, data, suspension	Advocate with SaaS experience	Annually
21	**Service Level Agreement**	Objective availability definition, exclusions, credit table, sole-remedy language, chronic-failure termination right, support tiers	You plus advocate	Annually
22	**Acceptable Use Policy**	What customers may not do with your product; the basis for suspension	Advocate	Annually
23	**Cease-and-desist letter template**	For clear-cut content copying; cheap first response	You, with one advocate review	Rarely
24	**Contract register**	Counterparty, document, date, value, renewal date, non-renewal notice deadline, liability	You	On every signature

		cap, governing law, key obligations. One spreadsheet.		
25	**Legal contact sheet**	Your advocate, IP attorney, CA, privacy practitioner, cyber insurer's incident hotline — names and phone numbers, stored somewhere reachable without your corporate systems	You	Annually

✓ **If you take only six things from this guide**

(1) Read the **definitions** before the clauses — that is where the dangerous drafting lives. **(2)** Never sign **uncapped liability or an uncapped indemnity**; offer a super-cap instead and anchor it to your insurance limit. **(3)** Define **Background IP**, keep a schedule of it, and make every assignment **conditional on payment in full** — and make sure the assignment complies with Section 19 of the Copyright Act 1957. **(4)** Specify the arbitration **seat**, not just the venue, and choose a forum you could actually afford for a claim the size of the contract. **(5)** Post-employment non-competes are **void** under Section 27 of the Indian Contract Act 1872 — confidentiality and narrow non-solicits are what actually bind. **(6)** Pay an advocate **once** for a good template set, then use it for a decade; it is the highest-return legal spend available to a small technology business.

✗ **Final reminder**

This guide is educational material written as at **early 2026**. It is not legal advice, it is not tax advice, and it is not a substitute for an advocate or a Chartered Accountant advising on your actual documents and facts. The drafting extracts are illustrative and must not be used unreviewed. Statutory references follow the law as in force at the time of writing: the **Income-tax Act, 2025** replaces the 1961 Act from **1 April 2026** and renumbers provisions; the **DPDP Act 2023 Rules** are phasing in; the **Labour Codes** are being operationalised state by state; **arbitration law reform** has been under consideration; and **GST rates** were rationalised in September 2025. Verify every section number, fee, threshold and timeline at **indiacode.nic.in**, **ipindia.gov.in**, **copyright.gov.in**, **meity.gov.in**, **mca.gov.in**, **incometax.gov.in**, **gst.gov.in** and **dgft.gov.in** before you act on it.